Exide Industries Ltd. (EXIDEIND)

Conference call transcripts, oldest-first. 8 call(s). Generated 2026-06-08.

Call: May 2023

Ref no.: EIL/SEC/2023-24/18
16.05.2023
The Secretary
The Calcutta Stock Exchange Limited
7 Lyons Range &EXIDI
The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers
Kolkata -700001 Dalal Street, Mumbai -400 001
CSE Scrip Code: 15060 & 10015060
The Secretary
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot no. C/1, G Block
Bandra-Kurla Complex, Bandra (E),
Mumbai -400 051
NSE Symbol: EXIDEIND
Sub: Transcript of the Earnings Call Q4 FY23
Dear Sir/Madam, BSE Scrip Code: 500086
-
This is further to our letter ref no. EIL/SEC/2023-24/12 wherein the Company had intimated that it will host an Earnings call on 1]111 May, 2023 for the Q4 FY23 business update.
Pursuant to the Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the transcript of the said earnings call, for your information and records.
The transcript of the earnings call is also available on the Company's website at https://www.exideindustries.com/investors/earnings-call.aspx.
We request you to kindly take the same on record.
Thanking you.
Yours faithfully,
For Exide Industries Limited
Jitendra Kumar
Company Secretary and
President- Legal & Corporate Affairs
ACS No. 11159
Encl: as above
Exide Industries Limited, Exide House, 59E Chowringhee Road, Kolkata-700 020
Phone : (033) 2302-3400, Fax : (033) 2283-2642/37
e-mail : exideindustrieslimited@exide.co.in,www.exideindustries.com
GIN: L31402WB1947PLC014919
 “Exide Industries Limited
Q4 FY '23 Earnings Conference Call”
May 1 1, 202 3
.
MANAGEMENT : MR. SUBIR CHAKRABORTY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – EXIDE INDUSTRIES LIMITED
MR. ASISH KUMAR MUKHERJEE – DIRECTOR FINANCE AND CHIEF FINANCIAL OFFICER – EXIDE INDUSTRIES LIMITED
MS. CHHAVI AGARWAL – HEAD INVESTOR RELATIONS –EXIDE INDUSTRIES LIMITED
MODERATOR : MR. ADITYA JHAWAR – INVESTEC

Moderator: Ladies and gentlemen, a very good afternoon, and welcome to the Q4 FY '23 Earnings Call of Exide Industries Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the pr esentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I will now hand the conference over to Mr. Aditya Jhawar from Investec. Thank you, and over to you.
Aditya Jhawar: Good afternoon to you all. From Exide Industries, we have with us MD and CEO, Mr. Subir Chakraborty; Director of Finance and CFO, Mr. Asish Kumar Mukherjee ; and Head Investor

Relations, Chhavi Agarwal. Before we proceed, here is the disclaimer for the call. A few statements by the company management in the call made could be forward -looking in nature, and we request you to refer to the disclaimer in the earnings presentation. W e will start the call with a brief opening remarks from the management, followed by a Q&A session. I would now like to invite Mr. Subir Chakraborty for the opening remarks. Over to you, sir.

Subir Chakraborty: Thank you, Aditya. Good afternoon ladies and gentlemen, and a warm welcome to everyone. Thank you all for joining us on the call. I hope you have gone through the presentation which we shared in the morning on the exchanges.

I will start by talking about the fourth quarter results. Overall, we contin ue to deliver a steady performance , despite inflationary pressures. In the automotive vertical, domestic sales grew year-on-year supported by OEM demand , though demand momentum was moderate in the replacement market. Automotive exports were impacted by anti dumping duties in the GCC countries and by the modest demand in the western countries. On the industrial side, demand was upbeat across verticals such as industrial UPS, solar, traction and telecom, supported by an increase in business and commercial activities .

If we look at the full year's performance, we have delivered impressive growth with sales and PBT growing by 18% , each . Our growth has been broad based with most sectors registering double -digit sales growth. On the automotive side, we continue to strengthen our position, both with the OEMs and in the replacement markets. We have launched technologically advanced products and our distribution reach has significantly expanded. We are making efforts to increase our international presence and to ventur e in new geographies like Russia.

On the industrial side, 70% of the business, including industrial UPS, traction, telecom and solar have grown at an inspiring rate of 20% to 30% in the previous year. This was driven by strong demand across all the end -markets in the industrial vertical. We have strengthened our product portfolio to offer a comprehensive product range catering to evolving market requirements. We are increasing our geographical footprint by building brand resonance in new markets and increasing customer connect , through the newly launched app called Exide Edge.

This year, margins were impacted by commodity inflation resulting not only in higher material prices, but also high freight and logistics costs . However, prices have broadly stabilized and

inflationary pressures have started easing, this should benefit us in the near term. We are also taking calibrated price increases, which is support ing margins.

Last time I talked about the accelerated digital transformation we went through in the past few years, and this has enabled us to be more agile and efficient. I would like to highlight the benefits we are driving from this exercise . In automotive vertical , now we have more micro -market level visibility and

hence sharper deployment of strategic initiatives . Today, our team member has almost real -time visibility of performance and channel partners also enjoy greater transparency and tools to enable growth for their businesses. In industrial vertical , we are better able to connect with customers and understand their requ irement through the digital app . Industry 4.0 initiatives have digitalized production process in factories and information is available on a real -time basis. Further, all processes are more streamlined, and we have been able to lower fixed costs.

Moving to our lithium -ion cell manufacturing projects under our subsidiary, Exide Energy Solutions Limited, the project is progressing extremely well. All necessary permissions have been secured and site -enabling work has been completed. On the ground , construction activity has been initiated and foundation linked work is progressing in full swing. We have recruited senior management team comprising experience and senior personnel in functions such as R&D, sales, procurement, quality, IT and oth ers. This team is expected to ensure timely project execution and delivery. We have so far invested INR715 crores in the project.

Other subsidiary, Exide Energy Private Limited, which develops and manufactures Lithium -ion-based modules and packs is also doing well. The company has received orders of INR600 crores to INR700 crores to be executed in the next 12 to 15 months for its various verticals such as 2 -wheelers, 3 -wheelers, commercial vehicles and telecom.

On the outlook for the lead -acid battery business , we are positive given both near -term and medium -term drivers look promising. With rising preference for personal mobility, increasing inter and intra state connectivity , increasing prominence f or technologically advanced products and solutions, demand is expected to be high in the automotive vertical . Increased Government spending on infrastructure development and increasing business activity is keeping order inquiry high in the industrial vertical. We are continuously evaluating the market scenario and wo rking towards introducing products which cater to changing industry requirements . Our balance sheet is strong with zero debt equity and our cash flows are positive. This places us in strong position to tap new opportunities .

With this, I close my opening remarks. We will now be happy to take your questions.

Moderator: Ladies and gentlemen, we will now begin the question -and-answer session. Our first question

comes from the line of Jinesh Gandhi from Motilal Oswal.
Jinesh Gandhi: Can you talk about FY '23 broader growth for the key segments - replacement, OEM and industrial and exports ? How they would have grown in FY '23 full year?
Subir Chakraborty: Sorry, I could not get your question.

Jinesh Gandhi: For full year FY '23, what would have been i ndicated growth rates for automotive OEMs, automotive aftermarket, industrial segment and exports?
Subir Chakraborty: FY '23, we have already said that we have grown at 18% for the whole company, and the growth rates have all been in double digits across v erticals.
Jinesh Gandhi: Okay. Got it. And second question pertains to the replacement market growth. So are you seeing any pickup in the replacement market, given that it has been moderate for some time now, both on 4-wheelers as well as 2 -wheeler s batteries?
Subir Chakraborty: Yes, there is some momentum in the replacement market as well. And we hope that this year should see a full pickup of the replacement market post the COVID scenario.
Jinesh Gandhi: Okay. Do you expect good growth in FY '24 in replacement as well?
Subir Chakraborty: Yes,
Jinesh Gandhi: Perfect. And in the presentation, you have talked about margin initiatives, which we are taking to improve margins. So can you highlight what kind of margin

expansion , and what are t he level of margins you would be comfortable with where we are today?
Subir Chakraborty: We have been working on 2 fronts. One is the digitalization initiatives, which have been taken, which has certainly given us more visibility across all costs, both in the factories as well as in the corporate. And besides that, we are also undertaking cost optimization measures in a very major way, particularly in our factory, which should result in margin expansion in the coming quarters.
Jinesh Gandhi: Okay. So do you expect it to go back to mid -teens margins? Or it should be much lower than what we were doing in the past?
Subir Chakraborty: We should certainly see a significant improvement , going forward.
Jinesh Gandhi: Okay. And you indicated for Li thium -ion project, we have invested INR750 crores so far.
Subir Chakraborty: INR715 crores, not INR750 crores. INR715 crores.
Jinesh Gandhi: INR715 crores. Okay . And any guidance for capex for the lead acid batteries for FY '24 and for Lithium -ion also for FY '24?
Subir Chakraborty: Mr. Mukherjee will answer that question.
Asish Mukherjee: See for lead acid business, we have to spend about INR500 crores to INR600 crores . For Lithium -ion, of course, we are in the process of placing orders for the equipment and all that. So this will come in due course of time, maybe late FY '24 or in FY25. So accordingly, it will be spent because out of the total Phase 1, expenditure of around INR4,000 crores , it is part of that.

Moderator: Our next question comes from t he line of Raghunandhan from Nuv ama Research.
Raghunandhan: Sir, 2 questions. Firstly, in domestic market, can you broadly indicate how the market share was for FY '23 across segments?
Subir Chakraborty: See, market share at the individual level, we do not really talk about. But at a broad level, I can tell you that we have, in most verticals, either we have remained steady or we have grown market share. .
Raghunandhan: Got it, sir. And my second question was on the customer base for the new business. You indicated that company has successfully won orders of INR600 crores to INR700 crores to be executed over 12 to 15 months. Can you indicate major customers or segments? Also, for the upcomin g lithium -cell factory, have you tied -up with customers? When can we expect announcements relating to this? I'm just trying to get a visibility on the utilization , in what timeframe the plant can reach optimal utilization.
Subir Chakraborty: See, first and foremost, for the Li thium -ion project, the developments which we have done , because you must understand that the homologation process in Li thium -ion takes over 1 to 1.5 years. So there are NDAs covering this, vis -a-vis, each customer that we have been working with. So I won't be able to tell you individual customer names, but I can tell you that it goes across 2 -wheelers, 3 -wheelers, commercial vehicles, and telecom. That is one.
Number 2, I will explain to you how the log ic behind what we are doing. See, the module and pack making facility today has got orders of INR600 crores to INR700 crores and , in the mod ules and packs which we are making the cells are imported. But ultimate ly, these cells will be produced in our own factory in Bangalore , now for which construction has already started. So the customer connect has started long back through our module and pack -making facility. And this will flow into the Exid e Energy Solutions Limited once we start making the cells in our own factory.

So to summarize, we are far ahead in the customer connect rate, vis -a-vis, the other players in this field because of our module and pack making facili ty, which is alrea dy on stream.
Raghunandhan: That's good to hear, sir. Just 1 clarification. So the factory cell manufacturing project is expected to start production by end

of FY '25. And would you expect that reaching an optimal utilization of 70% - 80% would be possible within the first 3 years?
Subir Chakraborty: So ideally, plant stabilization for Li -ion cell making facility takes about anything between 6 to 8 months. So, once we start the actual production run, we'll have to see how , we can quicken this timeline. But normally internationally if you check that this is the kind of timeline it takes. But we hope that with the help of our collaborator and so on, we will be able to compress this time.
Raghunandhan: Just the last question. Once you reach op timal utilization, say, 80% maybe 3 years after you commenced the plant, what would be the kind of ROIC you will be looking at?

Subir Chakraborty: Mr. Mukherjee will answer this question.
Asish Mukherjee: Once we reach the optimum capacity ut ilization, the ROIC should be in similar level of the lead acid business,
Raghunandhan: around 20%.
Moderator: Our next question comes from the line of Ashutosh Tiwari from Equirus Securities.
Ashutosh Tiwari: Yes. So firstly, on the margin side, if I look at your gross margins, what used to be in earlier years around 35% has now come down to 30%. And lead prices also as we look at, I think they were obviously higher a year back, but now they have come down. So why is there so much a pressure on the gross margin side? Is it because mix of change for us , in-terms of maybe industrial has grown higher and their values are lower? What's the reason behind that? And how should -- and considering all the things, how should we look at margin going ahead? Can we go back to the 13% - 14% kind of margin that you used to do , in the next 1 -year period?
Asish Mukherjee : So the margin, as you said, that it has come down. It's primarily because of the material price volatility, the kind of lead price fluctuations are happeni ng. Even in the last quarter compared to the previous quarter, sequentially, the cost has gone up by about 4%. So there is a impact on the margin of about 2%. So quarter -to-quarter fluctuations are quite large. And it is not happening in this quarter only, it's happening for the last 2 financial years. So that is the primary reason for the fluctuation of margins from quarter -to-quarter.
But as you said that earlier, our EBITDA margin was on the higher side. Now we have initiated a lot of cost optimization initiatives, particularly in the manufacturing sideas well as in the logistics area. And we expect the results to come in due course of time. And definitely, that will result in an improvement of margin going forward.
Ashutosh Tiwari: Sir, the factory cost cutting and all probably can only give you maybe a 1% or 0.5% improvement because other expenses that is not that large a component of the cost. The major reduction that has happened is on the gross margin side. So there things can change. Then only we can probably see a material improvement in the margin.
So just to understand on that part, can we see the gross margin normalizing? Because I mean the competition is mainly between 2 players. And despite that, we are not able to pass on the lead cost increase of customers. This was not the case 5 years back. We probably had much stable margins that time. But now we have seen this reduction happening. So how should one look at that intensity on the competition side now has been changed versus , what it was 5 years back?
Asish Mukherjee : Manufacturing is not restricted to only manufacturing expenses. Also, it includes materials. That is where you are talking about the gross margin, which is after material cost. So we expect a lot of improvement there. And also, once the material cost is also at a more stable situation, it also gives a lot of advantage for improvement of the margin.

Ashutosh Tiwari:

And you talked about that there's antidumping duty imposed in the Gulf coun tries. So how big was that market for us? And what kind of drop you see in the volumes over there after this duty? Are we still supplying or it is completely halted?
Subir Chakraborty: No, no, it has not been halted. Rather, the anti -dumping dut y was imposed on certain base level classes of batteries. But right now, we are exporting enhanced flooded batteries to the Gulf and that has started to pick up, which is not covered under antidumping.
Ashutosh Tiwari: So mainly the drop in exports is driv en by maybe European softness and all?
Subir Chakraborty: Pardon?
Ashutosh Tiwari: I mean you mentioned that exports have gone down versus last year. So is that really because of the European market is not doing well because Europe po rtion used to be sizabl e for us earlier?

Subir Chakraborty: There was some sluggishness in the market last year, international markets. But right now, we see exports growing in this particular year again.
Ashutosh Tiwari: Okay. And last question on this lithium -ion side, you mentioned around INR600 crores to INR700 crores kind of order that you have basically for execution over the next 12 to 15 months.
So we can assume that almost like INR400 crores sales c an come from there in this financial year FY '24?
Subir Chakraborty: So Li-ion is under a subsidiary, as you know, Exide Energy Private Limited, which is being now, we have already made the application to NCLT for merger of this company with Exi de Energy Solutions Limited. So the turnover will come in that company. And I guess in the consolidated balance sheet, it will show.
Ashutosh Tiwari: But we can look at INR400 crore plus kind of sales in this year FY '24?
Subir Chakraborty: Certainly look at INR400 crores to INR500 crores of additional turnover from that.
Moderator: Our next question comes from the line of Pramod Kumar from UBS.
Pramod Kumar: My question pertains to the lithium battery project. You've talked about ROEs in this business on a steady -state basis kind of matching your 20% profile what you have on the lead acid industry . I'm just trying to understand this because if you look at globa l names, even the best CATL or LG , they struggle to have even high single -digit ROEs consistently. So in that con text, what is giving us the confidence that we can match the lead acid industry ROEs in large business? It can just help us understand what the edge we have over some of these global peers when it comes to cost or , input side, which gives you confide nce that we even match lead acid battery business ROEs?
Subir Chakraborty: Basically, you have to understand not in a global context, but in the national context. In the national context, our factory perhaps will be the first such giga level factory, which will come up, number one. Number two, in the Li -ion space, the first mover advantage is huge. Wh y this is huge - because it requires 1.5 to 2 years to homologate any product. Unlike lead acid , where if

you have a steady supplier, a comp etitor can come in and present the product and after a few months of trials, that product can be accepted by an OEM, in lithium , it's not like that. The whole process of homologation approval takes 1.5 to 2 years. So, number one, we firmly bel ieve that Exide will have a huge first mover advantage in this space.
Number two, the OEMs today are having to import batteries from China or whatever. And import of batteries means it's a huge working capital requirement , in an industry which i s used to just in time operation. So, Exide will be able to offer the same just -in-time facilities that they are used to , rather than having to predict sales and then import and all the uncertainties and the freight and the logistics, everything else. So , that is another advantage. Third advantage

is that ,
we are tied with our collaborator for the supply chain aspect as well, which means we can ride piggyback along with SVOLT for our raw material requirements. And SVOLT is a very big player in China. So tha t gives us the third advantage.
Fourth, it will be a turnkey project where all the engineers will be here. There will be 300 to 400 experts from China and other places initially working on this project. So therefore, we can compress the time line to sta bilization of the plant and everything else. So we can quickly get out the ground. And I believe we will be far ahead of the race , in comparison with others who are also in this particular game. So this gives us a huge advantage. Now there is a premium, certainly, which we can look forward to from the customer for all the benefits which we are going to offer to them.
Pramod Kumar: No, sir, I'm just trying to understand because a lot of the company's large OEMs are alread y importing lithium cells from LG Chem .
Subir Chakraborty: This is exactly what I'm trying to tell you, the people who are importing the lithium cells, they are having to suffer all these issues right now.
Pramod Kumar: Even we will be importing the cells initially, right, for the foreseeable future?
Subir Chakraborty: No, no, no. We are not importing. We are going to make these cells.
Pramod Kumar: By '25, you mean?
Subir Chakraborty: This is a manufacturing plant. So w e will be able to make cyl indrical cells, make prismatic cells in our plant with LFP , NCM chemistry. So which g ives us a very wide portfolio. And we are already supplying those same formats through the module and pack making plant presently. So all these are translating to definite advantages for us in the medium and long term.
Pramod Kumar: Sir, understood. And among customers who have placed orders with you, is there any Tier 1 large OEM who has placed orders within either in the 2 -wheeler space or in the 3 -wheeler space? Or....
Subir Chakraborty: There are multiple OEM who had placed orders with us. Not only OEMs in 2 -wheelers and 3 - wheelers, also in commercial vehicles and telecom.

Pramod Kumar: Yes, that's what. Because the electric vehicle OEM space itsel f is quite wide. You've got like 500 brands of EVs in India. So I'm just trying to understand the profile of the customer, is it we're talking about Tier 1 names like Ashok Leyland or Mahindra or Tata in the SUV space or Hero or Bajaj or...

Subir Chakrabo rty: I'll tell you that we will not be able to name specific customers because they are ND As-associated with this development. But yes, it covers a lot of well -known OEM , and we are working with many more today because there is nobody else , because the OEMs understand the readiness of our projects. So there are many, many OEMs today who are already working with us in order to ensure that their customized products are developed and ready.

Moderator: Our next question comes from the line of Siddhartha Bera from Nomura.

Siddhartha Bera: Sir, first on the Nex charge order. So are we already booking any revenues in the last quarter or this entire order is incremental, which will come up in the coming years?

Subir Chakraborty: No, we have booked a certain amount of turnover in the last financial year, but this is the first year where there will be sizable operations.

Siddhartha Bera: Okay. And would it be possible to highlight the margins for this order? Will it be at the company average or it will be different?

Subir Chakraborty: No specific margins, we won't be able to highlight, but modules and packs are being made with imported cells. So you must understand one thing in this entire value chain, 70% of the value lies in the cell making and only about 30% lies in module , pack s and the rest of the other items. So right now, when we are imp orting the cells, we are missing ou

t on 70% of that value chain, which we will enjoy once our own plant comes on stre am.

Siddhartha Bera: Got It. Got it. And in terms of the cells, would it be possible to highlight the cells like we are now importing from China and when you make in India, how much will be the difference in the dollars per kilowatt roughly?

Subir Chakraborty: As I told you, 70% of the value chain is in the cell making activity , and these prices internationally go up and down based on the commodity prices. So , you can understand that there is a motivation to get into cell making because when you begin to ensure that 70% of that value chain.

Siddhartha Bera: Okay. Okay. But is it possible to highlight how much cheaper can we expect if we are making in India or that...

Subir Chakraborty: So how much is , it's very diffi cult to tell you in terms of dollars because it's a multiple cell chemistry plant , it’s a multiple format chemistry plant. So it depends which specific cell you are talking about. It will differ from cell to cell. And in any case, it is too premature at this stage. Once the plant gets under operation , then perhaps one will have a better visibility. All that I'm trying to tell you is , against importing the cell and making the cell, there is a huge difference.

Moderator: Our next questio n comes from the line of Binay Singh from Morgan Stanley.

Binay Singh: Just continuing on the earlier question, if one was to think about the competitive edge that Exide will get in the next 2, 3 years from the lithium facility, fair to assume that the fir st one will be cost that cell made in India will be substantially cheaper because broadly, your customers will have 3 options, right? Either they import like everyone is doing today, or they go to the PLI players, where they get an additional incentive wh ich Exide does not get, or they come with Exide. I do understand that like SVOLT is a credible player and you have a lot of technology support over here. But just any sense in terms of competitive edge , if you could quantify any numbers as broadly just for us to get more insight into the competitive positioning of Exide versus these PLI layers and importers?

Subir Chakraborty: You know the people who qualif ied for PLI. You can find out where they are in their manufacturing process. I don't wish to comment on others. But if you do that, you will understand where we are , vis-a-vis the others. So who are the people who q ualified for PLI, have you heard of them about their plant, where we are makin g, what is the technology?
So likewise, if you go through the list, we will come to know who are the players and what is the state of readiness at this point in time. All that we are saying is that perhaps , although one cannot say for sure, perhaps we will be the first giga -scale multi -chemistry multi -format plant in operation in the country. We have already started construction of the plant. How many people have started construction of the plant. You can scan the environment and see for yourself. As I've told you, this is resulting huge first -mover advantage because lithium -ion cell is not something that you can go and present one fine morning to a customer saying that I've got to cell for you. All these have to be customized to the customer requirements. And it's not only just the cell format, it is the module and the packs format, which have to be customized. And these require sophisticated engineering processes. And this takes time.
It is subject to a number of approvals, including approvals from Government of India. So therefore, the first mover advantage is huge. So somebody wants to catch up with us is already

2 years behind us. So this is a huge advantage tha t this factory or this unit will enjoy over competition, number one. Number two, this is not a product where there is any experience in the country. Th

ere is no experience set in this country. So we have to learn from others who are already doing Li -ion. A nd therefore, it is not like lead acid or any other kind of technology where you can import some machinery, get some people who already are in this business and you are all set to go.

Here, this is something which you have to learn and require a very stron g partner. And we believe we have got a very strong partner with us. And if you again scan the environment, you'll see many of the players you are talking about this project are still scanning for partners. It's not easy to get a partner. So we have alread y got a very strong partner, and we are at the point of ordering out the machinery. So we are well ahead at this stage. This is what will give us the competitive advantage.

Binay Singh: And sir, like if you look at the SVOLT's customer profile in China, th ey are working with all the major EV players. I think that's our EV players. So -- but in your commentary, you were talking

more about 2 -wheeler, 3 -wheeler and EVs. Is that more because you're talking about Nex charge, whereas I assume that passenger car wi ll be a big focus for this facility, right?

Subir Chakraborty: See, we started this project with Nex charge 3 years back. But now Nex charge will merge with our main unit, which is Exide Energy Solutions Limited, all one composite company. So it is this experience at Nexcharge, which has given us this head start.

Please understand this is not a product as I said, there is no experience set in this country. Unless you dip your feet into the water, you don't know what it is like and how deep that water is. So because we started with Nex charge 3 years back, we got the time to understand what this business is really all about, who are the players, what are the constraints, what are the issues that we need to address, which give us this advantage. Now somebody wants to start from today already is 3 years behind us . Because we know what time it takes to understand this technology , because there is nothing available in the country.

Binay Singh: Correct. And so fair to assume that even passe nger car companies, though a lot of them are doing their own thing in India on lithium ion , but that is also a target customer for us for this facility, right you will be...

Subir Chakraborty: Certainly, there will be some major OEMs who may decide to set up their own plant for cell manufacturing. However, this is not their core expertise. Making batteries is not part of the core expertise of any automotive plant. Certainly, some big companies may decide that, okay, we will invest in that and develop that expertise. But there will be many companies who will not want to get into it. Number one, it is not part of their core strength.

Number two, this is a very, very capex hungry project. It requires huge capex , USD 70 million to USD 80 million pe r gigawatt hour. Now an automotive company will need to have very big pockets to really invest in this. On the other hand, if you look globally, there are many models which are in existence today. Some have decided to get into it , like Tes la. But there are others who have tied up with battery manufacturers in terms of dedicating 1 line for their requirements and stuff like that. So all kinds of models are in place.

Now I firmly believe that all the auto companies in India will not have the appetite to get into this. It is a very different kind of technology, very different kind of expertise from what they already have. So many of them will want to tie up. And certainly, there are many companies which will not have the appetite for this kind of capex . So, I think that pure battery manufacturers like us will have a substantial role in this growing market.

Binay Singh: And sir, lastly, just on raw material sourcing. I recall there also you have a tie -up w

ith SVOLT
right? Because that's going to be another big thing as all these plants come up.

Subir Chakraborty: So this is important , because today lithium -ion plant s are of the order of 30 gigawatt or 40 gigawatt hour , So it require s scale to be able to actually command reasonable raw material prices for yourself. And our advantage is that we will ride piggyback on Svolt supply chain. So that gives us another edge in this market . Today, if you just on a standalone basis set -up a 2 -gigawatt hour plant, you will not enjoy the same raw material pricing as somebody who's buying versus

30 gigawatts one. So all these factors , together point to a certain ad vantage ous position for our project .

Moderator: Our next question comes from the line of Vibhav Zutshi from JPMorgan.

Vibhav Zutshi: My first question is on the lithium -ion side. So you mentioned in the past that in Phase II, you will likely also consider blade chemistry, corporate center vehicles, which is actually not going to happen in Phase I. So just also want to try to understand, potentially by 20 27 and '28, how are you also preparing for , the rise of advanced chemistries like solid -state, sodium -ion? Do you have the optionality to integrate that? Or would that potentially come later at Phase III or later part?

Subir Chakrabo rty: See right now, there are many technologies all over the world at various stages of development. There is sodium -ion, there is metal air , there are various kinds of things. Now in terms of scalability today, lithium ion is the only technology which is scalable. Other are at various phases of development. And I'm sure in course of time, many of these technologies will become scalable. Okay. So why we are not looking at other technologies right now is because none of these technologies in our opinion are scalable at this point in time. Are we open to look at alternate technologies in the course of time - Sure. Yes. We can look at it, provided something really crops up on horizon.

Number two, within lithium -ion also, there will be many developments which will t ake place. And certainly, we will look at each of these development and see whether it fits in with our requirement or not or with the requirements of our customers. And we will certainly, at that point of time, take a decision on this. Because no technolo gy remains static. Even lead acid is not static. Lead acid is also developing in every way. So therefore, there is no reason to believe that we will be static with respect to whatever we are starting off. This is just a starting of point. And the manufactu ring machinery is largely the same. What changes will happen will be in the recipes. So the manufacturing machinery, basically calendaring machines, so on and so forth , will not go through any rapid change. But the recipe will change with time.

Vibhav Zutshi: Got it. And when I look at your presentation, it looks like you've revised your lithium -ion demand forecast versus the last presentation that you posted in 2022 and it looks like the increase is broadly on the stationary side as well as slightly on 2 -wheelers and 3 -wheelers. So is the outlook looking more positive on the stationary side applications? I just wanted your thoughts on that.

Subir Chakraborty: See, this is again an evolving sector. And as time is passing and with t he government initiatives happening and so on and so forth, these estimates are getting progressively revised. So all the revisions that I've seen are on the increasing side. It is not on the reducing side. So now with time, I'm sure these estimates initi ally, it was thought that it will be 100 gigawatt hour total requirement by 2030. Now I'm seeing estimates of 150 gigawatt hours. And there are some positive estimates which are double this number. So it's all a little bit of guess work at this point in time.

All that I can tell you is that there is genuine interest now from all the manufacturers

both on the mobility as well as on the stationary side. Because most of the players have realized that they cannot depend only on traditional technology at this point in time.

So if you ask me what the world will look like, you see India is today growing or we have aspirations to go from USD 3.1 trillion to USD 5 trillion economy. If we are able to grow anywhere close to that, I'm sure there will be increasing demand for energy because without energy, you cannot grow. It is impossible for any one kind of chemistry to be able to satisfy this requirement of energy. So if you ask me through a bit of future guessing the world, which is going to emerge, I think we will have a multi chemistry format with respect to energy in the times to come. You will have lithium ion, you have lead acid, you may have metal air, you may have sodium -ion. So all these technologies come with their pros and cons. They are ve ry good for certain applications, not so good maybe for other applications. So therefore, each will find its own space. And if there is growth, I don't think there's anything to fear for any of the business.

Moderator: Our next question comes from the line of Prateek from Nippon AMC.

Prateek: Sir is it possible for you to share what kind of realizations for kilowatt hour we would fetch once the plant gets commissioned?

Subir Chakraborty: Realization depends on basically; they are all linked to the r aw material pricing and the situation. And as you know, it keeps on varyi ng. So it's too early now to get into that exercise, maybe 1 .5 years down the line, one will be able to give us better visibility. All that I can say is we'll be as competitive as an yone in the world because we are getting a world -class plant, which is going to be initially on a turnkey basis, it will be run. So there is no reason to believe that we will be not as competitive as anyone else in the world.

Prateek: That's helpful, sir. So then in terms of any benchmark your cells via SVOLT versus other competition, how would you s tack them? Are you right up there with the other competitor s?

Subir Chakraborty: We believe I mean, based on whatever discussions we ha ve had with the customers, we strongly believe that we'll be able to satisfy the requirement s. These are all customized to customer requirements. It is not a question of which is better, which is worse. Each customer has its own requirements . They want a certain energy density. They want a certain kind of feature elements on it.

Vibhav Zutshi: So if I was to ask the other reason?

Subir Chakraborty: Based on our discussions, we do not feel in any sense that we are at a disadvantage. We are abl e to reach whatever we have decided in terms of product portfolio. We will be able to satisfy the customer requirements, which are emanating as on date.
Prateek: So fair to say you have a very good conversion mix with the customers you are having a discussion?
Subir Chakraborty: Sorry, I did not get your question.

Prateek: No, I'm saying in terms of converting i.e. getting firm orders from them in terms of conversions , once you give your products , should we assume a very hig h conversion rate?
Subir Chakraborty: You are saying that whether these discussions will result in orders. We have already got INR500 crores to INR600 crores of orders.
Prateek: No, I was asking for cells. Because you said there's a 2 year homologation process, right? So since you are globally competitive, there is no difference in technology, I'm just trying to get that are you confident of very high conversions when you talk to a lot of OEMs. Are you getting that confidence that it will get tra nslated into orders?
Subir Chakraborty: Yes. that is what

I was trying to tell you. Many of the conversations today have resulted in these orders, which have already declared in our note, INR500 crores to INR600 crores of orders. These orders have resulted from these discussions and more discussions are ongoing at this point in time. We will be supplying cells, imported from SVOLT and from others. And those cells will ultimately be manufactured in our own factory. So it's like a start up to our entire project.
Prateek: Got it. Got it. And lastly, in terms of technology within lithium ion, who would do the R&D, would you depend on SVOLT for giving you the technical capabilities? Or do you also have to set up an R&D plant in India?
Subir Chakraborty: We have got our own R&D already set up. Our Chief Technology Officer, she has spent decades working in General Motors. So she is our Chief Technology Officer. We have sourced people from all over the world for this plant, people with experience in lithium -ion. And we will be having our own R&D setup, our own pilot line. So it will be a full-fledged operation. It's not a question of permanently depending on anybody.
Moderator: Our next question comes from the line of Deepa k Jain from Enam AMC.
Deepak Jain: I have 1 question. We have just seen lithium carbonate prices come down by 40%, 50% recently. Now in that scenario, theoretically, the battery prices or the imports may also become cheaper. And also on a long -term basis, we have seen battery costs have come down to, I think, $150 per kilowatt hour. So if prices of the battery imports come down, don't you think the return ratios of the project, which you are saying that it would be in line with the company average that will be impacted. And also, we don't have a PLI benefit?
Subir Chakraborty: The battery, first of all please understand what is this PLI all about. PLI is not something that will remain forever. Considering even if you had to imagine that somebody has got PLI and that PLI actually is a fixed time format incentive, which has been done by the Government of India. And I do not see any of the plants anywhere close to state of readiness that we are in at this point in time.
In fact, many of them don't even have tie -ups. This is a matter of 4 or 5 years if they are able to really put up a plant and then derive those advantages. So we are not that bothered about PLI at this point in time. As far as the rest of the things are concerned, impor t prices will come down

only if the commodity prices come down, in which we will also enjoy the same advantage, number one.
Number 2 is in a situation where domestic manufacturing is going to start in India, certainly, Indian government, you know requests can be made for them to look at the duty structure. Afterall the government is fully committed to encouraging domestic industry, and our honorable prime minister has been talking about Atmanirbhar Bharat. So if a lithium -ion plant comes up of gigawatt cell in our country, I'm sure the government will look at it very favorably.
Deepak Jain: Okay. Sir, what is the royalty agreement with SVOLT? Anything you can share?
Subir Chakraborty: It's a technology license agreement. The way it's got a fixed fee and a cert ain percentage on sales. So there's nothing special or unique about it.
Deepak Jain: So you can imagine 4%, 5% as royalty just 1 part?
Subir Chakraborty: I'm sorry, we don't discuss specific royalties or percentages.
Moderator: Our next question comes from the line of Kapil Singh from Nomura.
Kapil Singh: Sir, there were some new reports that FAME might not get an extension. So your base case in the presentation, I see that you have even called about FAME extension. So would this -- the orders that you have got, do you see some kind of risk to that going ahead? Because mostly, the benefit of FAME is there for 2 -wheelers and 3 -wh

eelers.
Subir Chakraborty: Yes. you are talking about which orders, the orders we have got fo r Nex charge?
Kapil Singh: Nexcharge and also the future orders that we have for battery cells.
Subir Chakraborty: So you're seeing the risk is because of what reason?
Kapil Singh: So basically, there are some news reports saying that FAME might not get an extension. And therefore, if the prices of 2 -wheelers and 3 -wheelers were to rise, 2 -wheelers currently get roughly about INR50,000 per vehicle.
Subir Chakraborty: I understood. You're talking about the PLI for the 2 -wheelers. You're talking about the PLI for the 2 -wheelers and 3 -wheelers, right?
Kapil Singh: No, it's not the FAME scheme the FAME benefit which is there.
Asish Mukherjee : Sorry, which scheme you are talking about, if you just make it clear, please?
Kapil Singh: What I'm saying is the FAME, which is there. If it is discontinued, yes.
Subir Chakraborty: Are you talking about paints, P -A-I-N-T-S?
Kapil Singh: No, no. F -A-M-E, fame.

Subir Chakraborty: I'm sorry, we are not able to really comprehend your question. Are you talking about 2 -wheelers, 3-wheelers, their PLI, talking about the battery PLI. What is it that you are talking about?
Kapil Singh: Sir, I'm talking about the FAME scheme, FAME. F -A-M-E, fame scheme.
Subir Chakraborty: Sorry. Yes, FAME scheme. Yes, that basically relates to 2 -wheelers, 3 -wheelers, the FAME scheme. Because the government has been very strict with respect to disbursement of the subsidies and all that, whether it will affect.
Kapil Singh: Whether it will be discontinued in future and therefore, the prices of 2 -wheelers and 3 -wheeler s can rise going ahead, right? That can impact the volumes of the players.
Subir Chakraborty: I have understood your question. See, you have to look at the broad picture. See, at the end of the day, it's a one-way street. I do not think there is any doubt in anybody's mind about electrification of the economy with the objective of making it pollution free. On that, there is no doubt. Now while joining this part, there may be many options, many obstacles, certain things that you're talking about may com e in the way . But I'm sure as a country, we'll be able to find the solution to that. Well, I don't think the solution lies in going on with fossil waste wells and internal combustion engines forever.
Of course, there will always be existence of a certain percent age of these vehicles. But the direction, I think, that has been set for the country and for the whole world , I do not think that is going to change because of one scheme or the other scheme. I'm sure, at some poin t of time, the economy of the country will take a call as to what is to be done with this. This will be a short -term problem. I'm sure the government will find a way to mitigate this.
Kapil Singh: Okay, sir. just one mor e thing. Wanted to ask that in terms of margin profile of the business, generally, it has been that B2B margins are lower and the replacement margins are much higher, and therefore, we get to an average margin of around 10%. So when we look at the lithium ion business, do you think the profile of margin will be much higher so that you can enjoy that 15% or 20% ROE that we are talking about? Are there initial signs that we will be able to get much higher margins with lithium -ion?
Subir Chakraborty: See we e xpect the EBITDA of lithium ion plant to be on par with that of lead acid . So it's only a drag on the lead acid business, number one. Number 2 is that as far as margins are concerned, I do not think that there will be an issue on this front. So going forw ard, I do not think that there is any cause for worry on this.
Kapil Singh: Basically, the question was like replacement margins generally are much higher, right?
Subir Chakraborty: So I'll tell you a replaceme

nt. Now you cannot look at lithium ion busines s in the same way that you look at lead acid. For the simple reason, lead acid has got an OEM market and replacement market. So it follows a certain model.
Now people who supply to OEMs. For example, if you look at people who supply other parts, carbonators or seats and so on and so forth. They enjoy a fairly good margins. And mostly, that

business is B2B business. So B2B business does not necessarily mea n a low -margin business. It depends on the business model. Now if the business m odel is one where you only supply B2B, then of course, the same equations don't hold, then you have to price your products differently .
Even for lithium ion, there will be some replacement business, particularly 2 -wheelers and 3 -wheelers , I believe there w ill be a good replacement business there.
Moderator: Our next question comes from the line of Krupashankar from Avendus Spark.
Krupashankar: I had a question relating to the raw material procurement for the lithium -ion plant. Is it mandatory to procure onl y via SVOLT channel or given that we have lithium reserves in India as well for at least discovered for this one.
Subir Chakraborty: There is nothing mandatory because SVOLT also procures from other people. It's not that they

are making all their raw materials. So there is nothing mandatory about it. The supply chain arrangement is such that we will be able to enjoy the same pricing power. Now if we get a source in India, which is acceptable from the point of view of quality and which gives us a bett er price, certainly we will consider that. There is nothing mandatory in the agreement, which states that you have to procure from a certain source.
Krupashankar: And the second question, if you can share sir, relating to what would be the proportion of revenues currently from 2-wheel ers, 4 -wheelers and industrial side. And how do you see this evolving over a period because eventually, you would see that the lead acid business would see a decline across 3 segments depending on the electrific ation. So how do you see that evolving as well?
Subir Chakraborty: So as I've said, if India continues to grow at this rate and we reach a $5 trillion economy by the time 2028 or so, there is no reason to fe ar for any energy chemistry. Because the growth will be such and the requirement will be such, it will be impossible for any one chemistry to be able to satisfy the entire requirement, number one. Number two, all chemistries come with the ir pros and cons. So if you ask me, I do not see lead acid disappearing. Lead acid is very much remain . Why will it remain? Because there are many segments where lead acid will be the battery of choice.
Even for EV, it is not a lithium ion. Every EV requires 1 auxiliary battery, which is lea d acid battery. Device is lead acid battery because lead acid battery is not only cheap, it actually technologically s erves the requirement very well, which is auxillary requirement. So lead acid battery is not going to disappear, number one. Other chemist ries are going to emerge. And ultimately, we will see a multi chemistry format in our energy space. That's the way I look at it. So there is nothing to fear for any chemistry, if India continues to grow. The problem where is if India does not grow, but I d o not think that is an option which we are looking at, at this point in time .
Kapil Singh: Sure, sir. And on the -- regarding the proportion of contribution from 2 -wheelers, 4 -wheeler and industrial?

Subir Chakraborty: If you look at electrification , then 2 -wheelers is a low -hanging fruit. Why is it a low -hanging fruit? Because you can actually charge it in your house. You can open that battery module pack you need, take it to your house and charge it. It's easy to charge , its a sm

all battery. Now a s the battery gets bigger and bigger, then you require formal charging stations and so on and so forth, which are not yet fully developed in our country. But I'm sure in the course of time that will also take place. Now starting 2 -wheelers, obviously, we will see as a low -hanging fruit. Now intracity buses, they also provide a certain facility, which makes it convenient for them because they do their round and go back to their depots. So depots can have either battery swapping stations or battery charging statio ns. So it's easy to do that. And that's why we see many road transport undertakings , intra-city buses getting electrified. Then you have the 3 -wheelers. 3 -wheelers a lot, of them run on lead acid. It could also run on lithium ion. Agai n, it's possible out there. In the telecom sector, yes, certain applications, 5G and so on and so forth, there is a case for lithium -ion battery. So similarly, there will be many last -mile delivery vehic;es . And also, the taxis which lies within the city, th ere is a case which may be possible to make out for lithium ion. So certain segments will obviously be the first mover in this exercise. Certain segments will take time.
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.
Subir Chakraborty: So thank you very much for your patience and for listening to us. I hope we have been able to answer all your questions satisfactorily. If you have any further questions or would li ke to know more about the company, we'd be happy to be of assistance. Thank you.
Moderator: Thank you. On behalf of Investec Capital, that concludes this conference. Thank you for joining us, and yo u may now disconnect your lines.

Call: Nov 2023

Page 1 of 16 “Exide Industries Limited Q2 FY24 Earnings
Conference Call”
November 08, 2023
MANAGEMENT : MR. SUBIR CHAKRABORTY – MANAGING DIRECTOR &
CEO, EXIDE INDUSTRIES LIMITED
MR. ASISH KUMAR MUKHERJEE – DIRECTOR OF
FINANCE & CFO, EXIDE INDUSTRIES LIMITED
Ms. CHHAVI AGARWAL - HEAD, INVESTOR
RELATIONS , EXIDE INDUSTRIES LIMITED
MODERATOR : MS. SWAPNA BHANDARKAR - INVESTEC

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Call of Exide Industries Limited hosted by Investec Capital Services.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.
I will now hand the conference over to Ms. Swapna Bhandarkar from Investec. Thank you and over to you.
Swapna Bhandarkar: Good morning, everybody, and thank you for joining for the Q2 FY24 Earnings Call of Exide Industries. My name is Swapna, and we apologize for the little bit of delay. We have the Management of Exide with us, and I think without further delay, we can start the Q&A please.
Moderator: Yes, ma'am. Thank you. We will now begin the question-and-answer session.
Swapna Bhandarkar: While we wait for the call, we have the Management, Mr. Subir Chakraborty – Managing Director & CEO; Director of Finance and CFO - Mr. Asish Kumar, along with them is Head of Investor Relations, Chhavi Agarwal. Sir, while we wait further questions, I would request you to make some opening remarks for the audience, please.
Subir Chakraborty: Good afternoon all of you and thank you for joining this call. We have concluded the board meeting and announced the results, which you may have seen in the various kinds of media. We are looking at a situation where there is robust growth in lead-acid industry, particularly in Q2, which is also backed up by very healthy growth in profit margins and profitability. We hope that the trend will continue in the near to mid-term as I have stated in the press briefing.
We are very well poised today, to not only grow in lead acid, but also complete our lithium-ion project on time, so that we are able to start production on schedule.
Moderator: We will begin the question-and-answer session. Our first question is from the line of Vibhav from JPM. Please go ahead.
Vibhav: My first question is on the lithium-ion side and particularly, what is happening to prices of lithium cells and raw materials, looks like prices have come down considerably and we could be heading into over-supplied market. At least in the near term, it looks like profitability across the value chain is getting impacted. Now obviously it is early days for you, but just want to get a sense as to how you are reading into this environment. Is it getting easier for you to find alternate sources of suppliers? Is the decrease in raw material costs more than offsetting the decline in cell prices…, any early lead would be helpful?
Subir Chakraborty: See commodity prices globally keep on fluctuating. Nobody has control on commodity prices. They depend on various factors including geopolitical factors, demand supply factors and so on.
So, now the question is, how does one see our project given the fluctuation. Now the answer is

not very complicated, we also operate in another such kind of environment, which is the lead acid, lead is also fluctuating, it is also a commodity, keeps on fluctuating, so therefore fluctuation, which happen in the commodity prices, that should not be the deciding factor in getting to a project or getting out of a project, because that is a fact of life. The question is how does one then ride over these fluctuations? So, all that I can tell you is that, our technology agreement with supply partner also includes supply chain management, we get access to their supply sources and so therefore, to a large extent, we can float with the global trends and depending on the commodity prices, the pricing of the end product also changes as we all know, for all such cases and

this is what is likely to play out. We do not feel that this in any way will affect the profit or the profitability of the venture, because obviously, these corrections will have to happen in the marketplace.

Vibhav: And as a follow up, could you provide the revenue and EBIT break up in your subsidiary EESL for this quarter and how much are you expecting in this financial year because you have a strong order book of around Rs. 600 to Rs. 700 crores?
Subir Chakraborty: EESL has not yet started operating. EESL project is still in progress, and I think you are referring to EEPL.
Vibhav: It will be merged….
Subir Chakraborty: Yes, so you are referring to that, yes, we have a strong order position which will get executed in the next 8 to 12 months. The order book is going to grow intime and right now, that particular unit is importing lithium-ion cells, making the packs and modules and supplying to the market. It has certainly helped us to get a feel of the market and what it takes to actually build a module and pack plant and also to start a very meaningful dialogue with all our customers. So, that unit has certainly been a good precursor to the main unit, which is going to come up and ultimately it is going to source cells which will be manufactured by us, that is when it will get on full stream.
Vibhav: And my second question is on the lead-acid side, we hope so just for the full year, if you can just highlight how do you see the blended growth because it looks like the inverter sales have been kind of weakest on a high base, but all the other segments are going well. So just some thoughts on demand going forward?
Subir Chakraborty: So, overall, as you know, the replacement demand kicks in about 3 years after the OEM supplies are made. So, we are still going through those COVID years, so now while the OEM demand has picked up, but the replacement demand, which is a follow-through of the demand of the OEM vehicles during the COVID period, to some extent that affected last year and to some extent this year as well. But gradually we are seeing an uptick in that market as well. So, going forward, I think both in four-wheelers and two-wheelers, we see the demand pick-up, as we go from quarter to quarter, so I don't see any particular major worry on that front.
Moderator: Thank you. Our next question is from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Sir, on the lithium-ion business, can you talk about what are the areas in which or segment in which you are having good conversations with the customers, where you think you will have good penetration to start-off with?
Subir Chakraborty: First and foremost, thank you for your question. Now, we have a very well diversified portfolio. We have a multi-chemistry multi-format product portfolio, essentially lithium-ion phosphate, and in terms of formats, we have the cylindrical, we have the prismatic and in course of time we could also think of blade cells. So, we have a diversified portfolio catering to the diverse requirement in the Indian market. We have already started having very meaningful discussions with four-wheeler customers, two-wheeler customers, also, for example, telecom customers in the stationary space and many other such discussions. So, therefore, as you can see, we would be one of the early movers in terms of getting up the gigawatt factory going in the country and therefore, we should be enjoying the early mover advantage in this particular business.
Now, why early mover advantage is important for lithium-ion business? Let me take a minute to explain- it is because homologation of lithium-ion products takes about anything between 12 to 18 months for any customer. An early mover advantage is a tremendous boost to the prospects of that particular supplier. I think we are well-positioned in that space.
Kapil Singh: Sir, initially which chemi

stry we would be starting off with?
Subir Chakraborty: In the first phase, we are starting with both Lithium-ion Phosphate (LFP) as well as NCM.
Kapil Singh: And sir, can you also talk about what is the breakeven capacity utilization for this facility? And by when can we expect the company to hit that?
Subir Chakraborty: The project of this scale and size will take a number of months to stabilize. Globally that has been the experience. So, this will take some months to stabilize. We are expecting to start production sometimes towards the end of next financial year and thereafter it will take a few months to stabilize and then the actual commercial production I suppose will start. So, that is the time scale that we are talking about and so breakeven should happen subsequently.
Please understand one thing, there is no dearth of orders. Evacuation of capacity is the least of the problem as far as this project is concerned. Today, we are talking about national demand of anything between 100 to 200-gigawatt hour, 200 being most optimistic, 100 being most pessimistic, so I guess the number will be somewhere in between, and in the first phase we are talking about 6-gigawatt hour. So, the kind of customer response that we have got and we are getting increasingly, it informs us that I do not think evacuation of capacity will be a problem.
Moderator: Thank you. Our next question is from the line of Ankit Merchant from SBI Life. Please go ahead, sir.

Ankit Merchant: First question is related to the lead-acid business, so can you also highlight on the export front, how is the export growth momentum going for us. As well as on the industrial front, are we seeing any changes related to telecom or even solar as an opportunity?
Subir Chakraborty: So, let me take your second part first. I think the industrial environment is extremely dynamic as far as India is concerned, positively dynamic in the sense that it is growing by leaps and bounds. So, the industrial segment, I think presents a huge promise as far as the Indian market is concerned because you have smart cities coming up, data centers coming up, you have more telecom, more of power plants. So, you have a huge developmental agenda, particularly in the public sector and also now we are seeing that uptick in the private sector as well. So, industrial business presents a huge promise, number one.
N umber two, exports also present a promise, for both automotive as well as industrial. In industrial, as far as exports is concerned we are globally competitive, and our quality is one of the best in the world. So, particularly let's say traction batteries, we are supplying to German OEMs and so on and so forth. So, it is globally accepted. So, therefore there is a huge uptick in potential which we are trying to leverage. Automotive also presents a good potential because there is a lot of demand everywhere and we have lead-acid plants which are particularly in places like Europe and so on and so forth. They have challenges out there and so; therefore, we feel that automotive presents a very good growth potential as well. So, overall, if I were to make a comment, I think lead-acid business presents a good potential going into the near term.
Ankit Merchant: So, between domestic industrial as you highlighted, within those sectors as such, if you could quantify what could be the growth?
Subir Chakraborty: Industrial, we are seeing good growth across all segments. It is not one segment, telecom, solar, UPS, power sector, project sector. So, there is no sector which is not showing robust growth, as on date.
Ankit Merchant: and the market share?
Subir Chakraborty: Market share, industrial, we are the market leaders in every segment, other than in telecom, which is a conscious decision. Other than telecom, we are the market leaders in ever

ything.
Ankit Merchant: And in exports, we were facing some anti-dumping duty in UAE or Middle East countries, has there been a workaround related to that?
Subir Chakraborty: So, yes, you are correct, in automotive exports, we did face a roadblock in-terms of anti-dumping duties earlier, but we have now been able to configure products which are outside the ambit of anti-dumping and therefore we have started supplies.
Ankit Merchant: And just my last question related to lithium-ion business, so in the last presentation, you had given an order book of nearly about Rs. 600 to Rs. 700 crores, so has the order book changed materially or the execution or if you could give us some more color related to that?

Subir Chakraborty: Order book has not changed, and this is just I should say the incipient stage, because this was the first year of production, taking of orders. The order book has not changed, but the timelines have changed a bit because of certain difficulties being faced by two-wheeler manufacturers with respect to the PLI schemes. So, there are some orders which will get executed not as per the original schedule, but as per the revised schedule. So, the order book remains unchanged, and it is growing. So, there is no difficulty in that, and this is just the start of.
Ankit Merchant: And the order book had good component coming in only from two-wheelers or were there any industrial or four-wheeler as well into it?
Subir Chakraborty: No, there was high component of stationary applications like telecom also.
Moderator: Thank you. Our next question is from the line of Mukesh Saraf from Avendus Park. Please go ahead.
Mukesh Saraf: First question, again on the lithium-ion side, is it fair to assume that once your plant gets stabilized in 2-3 years down the line, you will still have a much higher exposure to four-wheeler, three-wheeler OEMs in the lithium-ion cell side, given that some of the larger four-wheeler OEMs are also looking to set up their own cell manufacturing units? So, could you give some sense on that?
Subir Chakraborty: So, let me tell you one thing that globally there are three models which are in operation. One is for large particularly four-wheeler OEMs, they are thinking of or have set up dedicated plant, for example if you take Tesla and so on, then there are OEMs which have agreements, long-term agreements with battery manufacturers because they are not interested to set up their own plant and then you have others who don't have long-term agreements, but they source from various battery manufacturers. Now, this is a function of the CAPEX appetite of these individual OEMs because this lithium ion requires a huge CAPEX to the extent of 70-80 million US/gigawatt hours, number one, number two, OEMs per se do not have any special skill or specialization in battery manufacturing. This is a completely different subject. OEMs are basically assembly units and their expertise is in the automotive area, rather than in the battery arena. So, this is a new

expertise which they will have to develop those who are thinking of getting into this area. So, this is a huge challenge for many companies and therefore they adopt either of these three models that I talked about. And I do not think all OEMs will certainly get into battery manufacturers and from the discussions that we are having, we are fairly confident that a good number of them will rely on the other two models that I talked about, going into the future. So, that is the way it will play out. Two-wheelers, certainly bulk of them will not get into lithium-ion manufacture, and stationary applications, certainly not. You do not expect Airtel or Vodafone to start manufacturing lithium-ion batteries. I don't see that happening. So, therefore, there is adequate space as I have talked about that demand is, let us say, if I take it as 150-gigawatt hour, which is i

n between the pessimistic and optimistic estimate. We are talking about first phase of 6-gigawatt hour, where is the challenge and then in the second phase, maybe

another 6, which is 12-gigawatt hour. So, the market is very large, and it is going to grow and therefore this poses well, places this particular lithium-ion venture in a very good position.

Mukesh Saraf: So, we are not going to have a significant skew towards just one of those segments basically?

Subir Chakraborty: No, it is, we are having a very diversified portfolio spread out across all sectors and as you know, Exide has got deep connects. We have been in this country for 75 years. All the OEMs that you see today, their first launch was with Exide battery in this country. So, therefore, we have very deep connects with not only with OEMs, but also with customers in the stationary application area, where again we are the market leaders in practically every segment. So, therefore the conversations which are happening today are very positive and we are very confident that this particular project will take off very well.

Mukesh Saraf: And my second question is more on the aftermarket side currently, so we have a vast network of touch points across the country and obviously have a strong brand in Exide, how are we looking to use this over a longer term? Are we looking at adjacent products, other consumable kind of products which we do not even manufacture, but use the brand user network that we have? What are our plans there?

Subir Chakraborty: So, we are right now not thinking of adding additional products, means unconnected products, let me put it this way, using the Exide brand because we think there is sufficient scope and opportunity to expand in the core business areas that we are functioning and as you may have seen Exide largely sticks to the knitting that we deal with and we would like to continue on that journey. We are not thinking of adding other products to the Exide brand at this point in time.

Moderator: Thank you. Our next question is from the line of Jinesh Gandhi from Motilal Oswal Financial Services Limited. Please go ahead.

Jinesh Gandhi: A couple of questions from my side, first is on the lithium-ion side, just a clarification, the battery pack revenues gets reflected in standalone or in the Nexcharge subsidiary?

Subir Chakraborty: So, Mr. Mukherjee will answer this question.

Asish Kumar Mukherjee: So, this is part of the Nexcharge subsidiary. So, it is reflected in consolidated financials, not in the standalone Exide results.

Jinesh Gandhi: The homologation process for the cell which will be manufactured by us, that process starts after production has started of cells or that is based on the cell sourced from SVOLT from China?

Subir Chakraborty: No, we are presently importing some cells from SVOLT for our Nexcharge production, where we make modules and packs. Once we start making the cells, there is no need to import, unless, of course, there is huge demand and we need to cater to that demand to our supply capacities, but we will be manufacturing the cells in our own plants.

Jinesh Gandhi: Sorry, my question is, on the homologation process for our cell plant, so the process will start after plant has started operation?

Subir Chakraborty: No, the process has already started because those cells we will be making here. So, that process has already started. That is part of the discussion and dialogue which is going on present.

Jinesh Gandhi: And lastly, can you talk about the growth which we have seen on the lead-acid business in 2Q? What was the growth between volume and ASP/mix change benefit on revenues?

Subir Chakraborty: Sorry, we don’t get you?

Jinesh Gandhi: Price increase versus volume growth in 2Q?

Subir Chakraborty: We expect reasonable growth in our lead-acid bus

iness going forward.

Jinesh Gandhi: My question is for the second quarter, the quarter for which you have reported number?

Subir Chakraborty: Second quarter, we have reported 10% value growth in Q2.

Jinesh Gandhi: Then how much was volume growth?

Asish Kumar Mukherjee: So, volume growth is almost quite similar because there is no significant price revision during this quarter.
Moderator: Thank you. Next question is from the line of Arvind Sharma from Citi. Please go ahead.
Arvind Sharma: So, the first question would be on a lithium-ion cell facility, for an OEM customer, how much would be the cost savings versus if they continue to import?
Subir Chakraborty: You see, it is like this, first you must understand the ecosystem in which the OEMs operate. Forget about lithium-ion. If you look at all their other components, most of the OEMs operate on just-in-time basis and basically, they do not stock huge amounts of inventory. What lithium-ion has done is, because lithium-ion batteries are not available in the country, they have had to actually go through a huge working capital cycle in order to be able to make EV batteries because you cannot import from China or wherever on just in time basis. So, therefore you have to stock for 2 to 3 months, keep these batteries and so on and so forth. So, therefore there is a huge inconvenience today which is happening as far as the OEMs are concerned. Now, the advantage of having a local supply is that you can again revert back to the earlier process by which you can, the way you source other components, you can also source the batteries or the packs or the modules. So, this is the first point of convenience.
Second point of convenience is that the dialogue which can take place, which takes place today between let us say Exide lead-acid batteries and let us say any OEM customer. There is a continuous dialogue on quality, on improvement, on future products and so on and so forth. So, that is a huge advantage, which the OEMs have got. So, therefore one has to look at it from a

very holistic point of view and not look at only what will be the import price. However, having said that, we are fairly confident that we should be able to manufacture the products at the international cost and be able to command a fair margin on our products going forward. We do not see any difficulty in that along with all the other conveniences that I am talking about, which I think will be a huge advantage for which many OEMs may be willing to pay a premium.
Arvind Sharma: Second question was on the usage of cash for the first phase and the second phase. How much debt do you think will you have or you do you plan to liquidate some of your current holdings?
Asish Kumar Mukherjee: Yes, phase 1, approximately the requirement will be about Rs. 4,500 to Rs. 5,000 crores around that and it will be largely from equity infusion, and we will need some borrowing whenever it is required. It is kind of bridge finance and the subsequent generation from the core business, we can repay that. So, there is no requirement for liquidation of our investments.
Arvind Sharma: Sir, on the related note, I just wanted to get your thoughts on the investment in HDFC Life, how do you treat that? Do you treat that as a long-term strategic investment or at some point in time you would want to liquidate it because that makes a difference between treating it as a usable asset or treating it more like a very long-term strategic asset?
Asish Kumar Mukherjee: As I said, at least for the phase 1, we don't need any liquidation of assets and we will review the decisions going forward.
Arvind Sharma: So for some time, it will remain in your balance sheet .
Moderator: Thank you. Our next question is from the line of Pramod Amthe from InCred. Please go ahead.
Pramod Amthe: Again, this is regar

ding the SVOLT arrangement. Considering the global ambition of SVOLT, what type of opportunities or restrictions does the agreement gives you both in domestic exports?
Subir Chakraborty: There are no restrictions in the domestic market. Exports, which we are not even envisaging right now because it’s a new subject for us, which we have to learn, and the domestic market is quite huge. So, therefore, at this point in time for the capacities that we are envisaging, we are not thinking of immediately getting into exports. So, we will think about it when the time comes.
Pramod Amthe: And will you be allowed to sell openly the cells, or you are to go through a battery pack only of your own?
Subir Chakraborty: Customers all over the world again, I am going by the global trend, they require in either of the three formats. Some customers prefer only cells and then they do the modules and the packs themselves; some customers want it in module form and then they build the pack themselves; some customers want it in fully complete condition, that is, cell module pack. In India also, we will see that way.
Pramod Amthe: But your agreement doesn't restrict you to sell the only cells if the customer needs?

Subir Chakraborty: No, there is no agreement with anyone. I mean, you are talking about the SVOLT agreement?
Pramod Amthe: Yes, exactly.
Subir Chakraborty: The SVOLT agreement is we can sell cell module packs. We are already doing it.
Pramod Amthe: Now, I was saying the free cell is like for some OEMs need.
Subir Chakraborty: Free cells also, we can sell. There is no issue.

Pramod Amthe: And the second one is, if I had to look at the growth on the led-acid business this quarter, it seems to have come back to double digit, is it more of a base effect or are you seeing any green shoots for a double-digit sustainable growth in the business?
Subir Chakraborty: I think it must be fairly obvious to the people who are reading various kinds of annual reports that we have gained in market share. It is very obvious. So, it is there on the paper in the sense that one can easily calculate that. So, I think we are well poised as a company with all the efficiencies which we have built-in, to be able to gain in market share further.
Therefore, one is of course market growth that is happening, other one is winning market shares. I think both the processes are simultaneously on and I think, this places us in a very good, very strong position as of now.
Moderator: Thank you. Next question is from the line of Raghunandhan NL from Nuvama Institutional Equities. Please go ahead.
Raghunandhan NL: Sir, firstly, on the lithium project, once the production ramp up starts off from FY26 onward, how do you see the ramp up happening? Would it be possible to reach optimal utilization of 70%-80% in 2-3 years? As and when you reach that utilization, what would be the kind of ROE that would be targeted by the company?
Subir Chakraborty: See, these are a little premature, in the sense that the project is actually now coming up, but we certainly would like to stabilize production as soon as possible. Any project of this scale requires time. There are global benchmarks and so on and so forth. So, I am sure with the active support of SVOLT, we will make it sooner than later. Once that happens, we would like to ramp it up to full capacity because as I have said earlier, the evacuation of capacity as far as orders are concerned should not be an issue.
Raghunandhan NL: And would you be targeting 15% to 20% kind of ROE on this business?
Subir Chakraborty: This is a very broad-based discussion because the numbers can only be worked out once the project goes on stream, but roughly, we would like to attempt the same kinds of EBITDA that we have today in lead acid. So, it will not be a drag on our consolidated accou

nt.

Raghunandhan NL: And sir, you mentioned that phase one investment would be Rs. 4,500 to Rs. 5,000 crores. Just wanted to clarify that number because I think last time you mentioned Rs. 4,000 crores, has there been an increase in the investment budget?
Asish Kumar Mukherjee: There is no increase in the investment budget. Rs. 4,000 crores is the equipment, the CAPEX basically. There are other elements also, OPEX as well as GST element on that, so all these taken together. It will be approximately around Rs. 4,500 crores.
Raghunandhan NL: And given that the investment limit has also been increased by the board and already you have done an investment of the Rs. 1,500 crores, so the remaining investment should complete by FY25?
Asish Kumar Mukherjee: Yes, it will be within FY25.
Raghunandhan NL: In the core, lead-acid factory business, what would be the kind of annual CAPEX, around Rs. 500 crores?
Asish Kumar Mukherjee: Yes, it will be around Rs. 500 crores.
Raghunandhan NL: And lastly, on the inverter segment, lead-acid batteries, how do you see the performance, or do you expect growth this year? How are you seeing that segment?
Subir Chakraborty: This particular segment, I will not say it follows a very defined kind of logic, because every year the situation is different based on power availability and so many other factors. So the fact is that for the last 20 years, we are thinking that this market will basically not be there because of increasing rural electrification. But what we are witnessing is that with increasing electrification, this market has continued to grow, basically because the quality of power and the kind of power which is available, particularly in the hinterland, that is not of the same quality that is available in the cities. So, therefore there is a requirement for inverters.
Now, with increasing digitalization and the entire rural India practically getting used to the digital way of working, so therefore power requirement has become a huge issue, not only for day-to-day life, also for education and everything else. So, I personally feel that this market is going to be there. It is not going to just go away because people want that 24x7 assurance of power in their houses or hamlets or wherever they are and so this market, how much it will grow next year, how much it will grow a year after that, is very difficult to predict, but this market certainly will remain. I do not see it going away very soon.
Raghunandhan NL: One last question if I may, on the gross margin side, there has been an improvement quarter-on-quarter basis, some benefits of like softening commodities also there in the play, just wanted to understand for next quarter, would you expect input cost to be stable or are you seeing any kind of increase?
Asish Kumar Mukherjee: We cannot give any future guidance on that, but the commodity market is always volatile. It is very difficult to predict what will happen in the coming quarter. We can only say that in Q2 it

improved on Y-o-Y basis as well as on quarter-on-quarter basis, in spite of there was some increase in the lead cost. In fact, Y-o-Y basis in the lead cost increase was 4% which had an impact on the margin of 2%, but actually our material cost has come down. So, that shows the improvement we are having in cost optimization.
Moderator: Thank you. Next question is from the line of Ashutosh Tiwari from Equirus Securities. Please go ahead.
Ashutosh Tiwari: Firstly, on the Y-o-Y growth side, like you mentioned, the entire growth of 10% has come from volume only, but the lithium was soft, so is the industrial vertical has grown in like mid-teens in this quarter of Y-o-Y in terms of volumes?
Subir Chakraborty: No, both the segments have grown. I mean both the divisions have grown. So, we do not get into micro leve

l analysis of each particular sub-segment, but both the divisions have shown growth.
Ashutosh Tiwari: Lithium and battery pack revenue that we have booked in this quarter?
Subir Chakraborty: In Q3 you are talking about?
Ashutosh Tiwari: Yes, Q2?
Subir Chakraborty: See, this is not part of the standalone results.
Ashutosh Tiwari: It is part of consolidated, I guess.
Subir Chakraborty: Yes, I mean quarter to quarter disclosure of volumes of particular segments.
Ashutosh Tiwari: In the first half, you can provide some color, how much revenue we would have booked in the battery packs?
Asish Kumar Mukherjee: We will get back to you.
Ashutosh Tiwari: And lastly, on the lithium-ion cell part, obviously government has focused a lot on localization of this entire value chain in India and we obviously have not got the PLI, but do you think that once the cell plants start coming into India, there is a possibility that they might do some custom duty, increase something on the cells which we are largely importing in India right now. Is there any discussion on that with government right now?
Subir Chakraborty: We cannot predict what the government will do, but certainly the government is encouraging Make in India. The Honorable Prime Minister has specifically emphasized this point in a number of meetings. So, therefore, I do not see why the government should not be following the same line with respect to lithium-ion, because this is a major point of focus for the government of India. But how and when they will consider this is something that we cannot comment on that. It is for the government to decide.

Moderator: Thank you. Next question is from the line of Saif Sohrab Gujar from ICICI Prudential AMC. Please go ahead.
Saif Sohrab Gujar: So, first question would be on exports, it would be what proportion of our total revenue, maybe you can have it for first-half, or for the quarter, as you wish. What would be the volume growth we are witnessing- specifically for exports? In-terms of our strategy, what level of exports are we targeting and that would be on the back of how, so we are targeting to be a low-cost supplier and does that mean a profitability can deteriorate from the export segment? How should we think about that?
Subir Chakraborty: Well, as I have stated earlier, if you take industrial exports, we are really on top of the value chain, in terms of quality, in terms of consistency, in terms of acceptability, so our strategy is not to sell some cheap product. We are selling quality products at a fair price and realizing the full value of our brand, globally. That has been our strategic focus and exports will gradually increase in course of time, because of the quality of our products as well as the reach that we are trying to build now globally.
Saif Sohrab Gujar: What would be the proportion of exports to the total standalone business revenue?
Subir Chakraborty: Right now it is about 9%, but in course of time it will go up. Also, the domestic demand is very robust. So, we will see how to balance this out.
Saif Sohrab Gujar: And what sort of growth this 9% has been based upon? What growth we have achieved in exports maybe last year?
Subir Chakraborty: We have achieved, as I said, we do not get into micro-level discussions on each customer segment, but the growth in exports has been extremely robust.
Saif Sohrab Gujar: And second question would be on some capacity utilization if you can help us at capacity utilization levels for two-wheelers, four-wheelers, industrials?
Subir Chakraborty: Again, overall capacity utilization will be upward of 80%.
Saif Sohrab Gujar: And what level can be achieved and beyond what level we would have to go for capacity additions?
Subir Chakraborty: See capacity additions, it is not only capacity additions, it is also reconfiguring the shop floor, an exercise which we contin

uously engage upon trying to make it more efficient. So, therefore
capacity addition right now may be in one or two sectors debottlenecking is necessary, but
overall we have reasonable capacity now to meet the demand going forward.
Moderator: Thank you. Our next question is from the line of Aditya Rathi from Aequitas Investments. Please
go ahead.

Aditya Rathi: Sir, my first question was related to industrial division, so recently, we have seen a lot of
announcement as far as data center is concerned. So I wanted to understand what is the market
opportunity for us and how do we see the growth panning out in this segment or how much of
our revenue is contributed by this segment specifically?
Subir Chakraborty: See, data centers are a growing segment in the country. It is something like, for example, if I
were to take a parallel, like the drone segment, now, these are just started. This data center
business was not there, let us say, 10 years ago, now gradually, this is picking up. So, once this
starts picking up, this is nowhere near the kind of scale that we have in Singapore. US, California
and so on and so forth. But it is going to grow because data center is a business which a lot of
companies are embarking on this because of the sheer digital scale of our country and the
growing prospects. So, this business is going to grow by leaps and bounds and we are well
positioned.
Aditya Rathi: Sir, I wanted to understand for us, let us say per megawatt of data center, what kind of
opportunity is there, how the growth can come for us?
Subir Chakraborty: So, as far as we are concerned, this presents a huge opportunity and we are catering to this. Now,
as I have said this particular segment is at a very incipient stage. It is minuscule compared to
what is there in some of the more developed countries. So, let this segment develop, then it will
become clear to everybody.
Aditya Rathi: And secondly, my question was again on the margin side, so we have definitely seen some
improvement over the last 3 quarters in terms of EBITDA margin, but when we compare this
with our historical averages, we are still almost 1.5%-2% away, so what could be the reason now
and how do we see this going forward?
Asish Kumar Mukherjee: We cannot give any future guidance on the margin, but we stated earlier also, we are having a
lot of cost optimization initiatives, and this is showing results. That is what I said a while back
that in spite of some commodity price increase, we could get a better Q2 margin compared to
the previous quarter and so going forward, definitely we are likely to see some benefits on the
cost and that should result better margin. There are lots of other volatility like commodity price
and etc., those are also there. So, very difficult to predict any margin, but our cost initiatives are
on.
Aditya Rathi: Sir, for us, what is the target, let us say, of EBITDA margin going forward? I don't want any
guidance, but what is the target that we are trying to achieve?
Asish Kumar Mukherjee: Target is again, to go back to our earlier position, so 14.5% to 15%.
Moderator: Thank you. Our next question is from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Sir, you had mentioned that we have not seen an increase in order book for the lithium-ion battery
pack, so just wanted some color on the industrial side, You mentioned two-wheelers, but on the
industrial side, why have we not seen an increase in order book?
Subir Chakraborty: Industrial side, there is an increase in order book. Industrial orders do not come on a steady
stream. Industrial orders, they come lumped up. So, you supply one order, then you wait, and
then the next order comes. It is like that right now because this particular unit is just starting
now. Once it well on its way with our battery

cell manufacturing unit and everything else, then
it will be more continuous, but industrial orders certainly have been good, more than our
expectations.
Kapil Singh: So, like overall order book has increased or it has not increased?
Subir Chakraborty: No, the order book is increasing, but please understand Rs. 600 crores is nothing for this sector.
It is just like getting your toe wet. Once the main plant comes, cells start getting manufactured,
then is the time to really assess what kind of order book will come and what will exist and what
will happen going forward. This is just the starting point.
Kapil Singh: And if you could also talk about, I was looking at some of the projections you made on the
demand side for two-wheelers in particular, what I am seeing is that industry side would become
very large, for example, it would be by 2025, we are talking of let us say 3 million plus kind of
two-wheelers probably, so one challenge it could pose is that the lead-acid business could start
to see a decline, just how do you assess that as a risk and could it have implications for the
company? How are you planning for capacities in that context?
Subir Chakraborty: See, our opinion is not that it will decline. Our opinion is that there will be a certain percentage

of the business which will go to lithium-ion, but the overall pie is going to increase. I think none of the projections that I have seen, any OEM, or any other manufacturer is showing a decline in lead-acid business. What they are showing is a certain percentage in the future dedicated or will be taken up by EV business, number one.

Number two is that if you look at the projections of the OEMs, the major OEMs, if you look at Suzuki, if you look at Mahindra, if you look at Hyundai, they all are making robust projections of the standard format. This is the internal combustion engine format cars with hybridization, some component of that will have hybrids, which again, for us it is okay because we supply batteries for that. So, therefore, I do not see any huge sudden change in the market where you will have only EVs and none of this. This is not happening. So, I am very sure that the future will play out with a multi-chemistry, multi-format kind of situation because the demand is going to be huge. We want to grow from $3.7 trillion to $5 trillion and then beyond. That kind of growth cannot be supported by any one kind of technology. This is our opinion and going forward we will have coexistence of all formats.

Even EVs require one lead-acid battery for auxiliary application. Now that is not a compromise. That is the best supported battery for that application. The lithium battery in that application,

which is a 12-volt application, is not the ideal technology solution. So, therefore lead acid is not going away too soon and we will have not only lithium ion, emergence of other technologies, all technologies will find their own niche applications because all technologies come with pros and cons. There is no technology which has only pros and no cons. Therefore, that is the kind of world we are looking at. That is our opinion, but certainly, other people are entitled to have their own opinions on this matter. This we feel is logical.

Moderator: Thank you, sir. Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Subir Chakraborty: So, thank you, ladies and gentlemen, for joining us in this call. It was a pleasure, very exciting, for us to discuss some of our plans and programs with you as well as answer your questions. We found it very engaging and fruitful, and I hope you also found it likewise. Thank you very much.

Moderator: Thank you. On behalf of Investec Capital Services, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

Ref no.: EIL/SEC/2024-25/24
30.05.2024
The Secretary
The Calcutta Stock Exchange Limited
7 Lyons Range
Kolkata -700 001
CSE Seri Code: 15060 & 10015060
The Secretary
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot no. C/1, G Block
Bandra-Kurla Complex, Bandra (E),
Mumbai -400 051
NSE S mbol: EXIDEIND
Sub: Transcript of the Earnings Call Q4 FY24
Dear Sir/Madam, The Secretary
BSE Limited GEXIDE
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai -400 001
BSE Seri Code: 500086 ------------1
This is further to our letter ref no. EIL/SEC/2024-25/19 wherein the Company had intimated that it will host an Earnings call on 24th May, 2024 for the Q4 FY24 business update.
Pursuant to the Regulation 30 read with Part A of Schedule ·m of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the transcript of the said earnings call, for your information and records.
The transcript of the earnings call is also available on the Company's website at https://www.exideindustries.com/investors/earnings-call.aspx.
We request you to kindly take the same on record.
Thanking you.
Yours faithfully,
For Exide Industries Limited
Jitendra Kumar
Company Secretary and
President- Legal & Corporate Affairs
ACS No. 11159
Encl: as above
Exide Industries Limited, Exide House, 59E Chowringhee Road, Kolkata-700 020
Phone : (033) 2302-3400, 2283-2171, 2283-2118
e-mail : exideindustrieslimited@exide.co.in, www.exideindustries.com
CIN: L31402WB1947PLC014919

"Exide Industries Limited
Q4 FY'24 Earnings Conference Call"
May 24, 202 4

.

MANAGEMENT : MR. AVIK ROY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – EXIDE INDUSTRIES LIMITED
MR. ASISH KUMAR MUKHERJEE – DIRECTOR , FINANCE AND CHIEF FINANCIAL OFFICER – EXIDE INDUSTRIES LIMITED
MR. ARUN MITTAL – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER - SUBSIDIARY EESL – EXIDE ENERGY SOLUTIONS LIMITED
MR. JITENDRA KUMAR – PRESIDENT AND COMPANY SECRETARY – EXIDE INDUSTRIES LIMITED
MS. CHHAVI AGARWAL – HEAD INVESTOR RELATIONS – EXIDE INDUSTRIES LIMITED

MODERATOR : MR. AAKASH GOPANI – INVESTEC CAPITAL

Moderator: Ladies and gentlemen, a very good afternoon and welcome to the Q4 FY'24 Earnings Conference Call of Exide Industries Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aakash Gopani from Investec Capital. Thank you, and over to you, Mr. Gopani.
Aakash Gopani: Thank you, Mitchelle. Good afternoon to you all. From Exide Industrials, we have with us, MD and CEO - Mr. Avik Roy; Director Finance and CFO - Mr. Asish Kumar Mukherjee; MD and CEO of Subsidiary EESL - Mr. Arun Mittal; President and Company Secretary - Mr. Jitendra Kumar; and Head Investor Relations - Chhavi Agarwal. Before we proceed, here is the disclaimer for the call. Few statements by the company's management in the call may be forward -looking in nature and we request you to refer to the disclaimer in the earnings presentation for further details. We will start th e call with brief opening remarks from the management followed by Q&A session.
I would now like to invite Mr. Avik Roy for his opening remarks. Thank you, and over to you sir.
Avik Roy: Thank you, Aakash. Good afternoon ladies and gentlemen. A warm welcome to all of you who have joined the call. At the outset, I would like to take this opportunity to thank all our investors for their continued support and trust in the company. At Exide, o ur focus remains on delivering sustainable performance. We have taken multiple initiatives over the years to be future ready , to make this company efficient, agile, innovative and ready for the future. These are exciting times and we are all well prepared to look forward to a promising future.
Let me start by giving a flavour of the quarter that just passed by , the last Q4 , and give you some colour of the performance which we had in Q4. This was , we consider it one of the strongest quarters we had in the recent past. We posted sales growth of 13%, double -digit revenue growth, which was broad -based across the verticals that we play in. This was quite satisfying because it was not based on only one vertical, but all the verticals, more or less, they posted same level of performance.
We also reported one of the best operating profitability in the last few quarters , with EBITDA margin expanding by 250 basis points to 12.9%. In the automotive vertical we continue to do well in both OEM and aftermarket segments. Four -wheeler demand made a good comeback in Q4, in both OE as well as aftermarket. Exports also saw an uptick , on the back of demand from Middle East.
For the industrial vertical, the macros remain extremely positive, presenting opportunities across all end -market verticals. Most of our verticals, including institutional UPS, solar, traction and infrastructure have delivered solid double -digit sales grow th during the quarter. Industrial exports has also shown resilience , amidst harsh operating environment arising ou t of the geopolitical concerns.

Let me give you a quick look at the full year ’s financials. We maintained a healthy sales growth momentum of 10% , driven by a strong volume growth and improved product mix. On the automotive side, the second half saw a strong pickup across all product categories. Aftermarket was impacted in the first half due to lower demand arising out of lower vehicular sales in the COVID period , as replacement demand typically kicks in nearly 3 years after the OEM supplies. So the impact of the first lockdown in OEM sales , impacted the aftermarket in the first two quarters of this year.
We have a strong pan -India network of more than 1 ,15,000 channel partners and we are also taking a lot of data -driven approach to identify areas that need further strengthening to serve our customers better. We also provide quick and efficient support through our Exide Batmobile doorstep service to our vehicular and inverter battery customers. This service is available in more than 300 cities and the turnaround time is less than 2 hours. This is what we consider as our strength and the differentiator in th e market.
On the industrial side, an investment super -cycle coupled with government focus on infra spend , led to an accelerated demand and we were very well positioned to benefit from these opportunities. Like last year, our key verticals such as UPS, solar, telecom, infrastructure, motive

power have grown in high double digits, even at the high base. We continue to keep an eye on the future and have launched a series of innovative solutions for tomorrow.

For example, Exide has forayed into this rooftop solar solutions, which we call Exide Sunday Solution. This is to encash the opportunities that have been thrown up by the Prime Minister, Suryoday Yojana , recently. We have come out with special energy storage solutions for data centre applications. We have come out with B ESS (battery energy storage solutions) for specific power applications. These are few innovations we have got into , actively. We augmented our manufacturing capacities in areas that we believe are the clear growth hot -spots for the future.

Talking about margins, EBITDA margin has increased by nearly 100 basis points in the full year, growing by 19% in absolute terms. Our sharpened focus on operational efficiency and cost optimization led to lower operating costs. As a result, fixed cost as a percentage of sales have declined in the last 2 years. Even though raw material prices have largely remained range -bound in the last few quarters, we have taken calibrated price hikes, which have supported the margin. Our digitalization initiatives conti nue to help us in streamlining our operations and be more efficient.

Exide is now a true tech -enabled organization, which I'm very proud of. In the automotive sector, the channel partners connect directly to Exide from placing orders , to channel finance , to on -spot warranty decisions. This is the power of digitalization.

Now talking about our lithium -ion cell manufacturing subsidiary, Exide Energy Solutions Limited. As mentioned in the presentation, the project is progressing very well on all fronts. We have a team of more than 300 professionals tirelessly supporting the e xecution across key functions: sales, manufacturing, procurement, R&D, IT, finance, quality, safety. Across the organisation we have manned our people. We are working towards onboarding new customers

and securing raw material supplies, both in domestic as well as from international markets. Our recent alliance with Hyundai and Kia is a testimony of our technical expertise in the lithium -ion cell manufacturing space. So far the parent company, Exide Ind ustries have invested INR1,285 crores in FY '24 alone. And with this, the total equity investment in EESL is INR2,302 crores till March '24.

In terms of the outlook for the lead -acid business, the core business of Exide, the demand scenario remains up beat in the near to medium term. In FY'24 alon e, domestic production of passenger vehicles reached close to a 5 million mark. This gels very well for our replacement business in the coming years. With rapid urbanization, increasing inter and intra-state connectivity, demand is expected to remain high in the automotive vertical. Additionally, new opportunities like auxiliary batteries for electric v ehicles are also rising.

On the industrial side, the government's focus on infrastructure spend h

as worked as a major growth driver for the products and solutions that we have. Our exports has always been a focus and it is getting even more focused now that we are going global as a company. Our focus is to strengthen our presence in the existing markets by offering new range of products which are fit for the market, for example, AGM batteries for SLI applications and enhanced flooded batteries for SLI. We are also expanding geographically by placing resources in key markets to drive business growth and to provide prompt on -ground support to our customers and channel partners, wherever required.

So with this, I come to a close of my opening remarks, I'll be very happy to take your questions now. Over to you, Aakash.

Moderator: Thank you very much, sir. We will now begin the question -and-answer session. The first question is from the line of Vibhav Zutshi from JPMorgan.

Vibhav Zutshi: Congrats for a strong quarter as well as the MOU with Hyundai and Kia. My first question is basically on this partnership. Could you provide some more details around the potential size of this contract and share , if you are going to be the exclusive supplier of this deal . Basically, Hyundai, globally has announced building battery plants of 20 to 30 gigawatt hour with LG and SK innovation. So just trying to understand whether Exide can also look at such scale or cell capacit ies over the longe r-term. So some more details on this partnership will be really useful?

Avik Roy: Thanks, Vibhav, for the question. Regarding this, we have already made a statement in the public domain, which you can refer to. Beyond that, you have to appreciate that we have signed a nondisclosure agreement with our client. So , we have limitations in giving you more details at this stage. However, I'll request my colleague, Mr. Arun Mittal, MD and CEO of EESL, to throw some light on this, based on the public disclosure that we made.

Arun Mittal: Yes. So, Vibhav, as you're aware, we have signed a nonbinding agreement with Hyundai and Kia. This is a global platform which Hyundai is developing. And till now, they were using NMC

Chemistry from SK. And the customer is realizing that there's a lot of merit in shifting to LFP chemistry . And looking at the readiness of our plant and we be in a very sweet spot and be able to offer them local supplies, which is very critical for all the OEMs going forward.

They have gone ahead and signed a nonbinding agreement at this point of time. We are working on the details in terms of capacities and all that, and that is something which is still work in progress and has not been finalized. So I think the shift, which I can confirm is from NMC to LFP. I think that is what has got them inte rested. And secondly, our readiness of the plant, which should be able to give them local supplies , because domestic value addition is a significant aspiration of all the OEM manufacturers in the country.
Vibhav Zutshi: That's helpful. And just as a follow -up. So , you have been mentioning in the past that margins in lithium -ion manufacturing for you won't be materially different from what you do in the lead acid business , due to the pricing advantages. Now given that we are only a few quarters away from commissioning, would you be able to provide some colour around margins, ROCE, any range? Or would you stick to that guidance that it will be similar to what we do in the core business?
Arun Mittal : I would request Mr. Mukherjee to take that question.
Asish Mukherjee: Yes, that's right. Asish Mukherjee here. So, we are in the process of first starting the commercial production and then there will be the stabilization process. And the margin will come when we reach the full capacity utilization. At that stage, we expect it to be in the range of the mid -teens , as far as margins are concerned. And the return on capita

l, it depends also on the commodity
prices, because while the margins we can expect to keep around mid -teens, but i n the absolute terms, it de pends on the commodity prices.
Vibhav Zutshi: Absolutely.
Asish Mukherjee: Yes. It is too early to comment on that. I think going forward , closer to the time, we can give more colour to it.
Vibhav Zutshi: Sure. And my second question is on the lead acid battery business. Given the strong volume growth that we've been seeing for the last 2 - 3 years, any capacity expansion that you think would be required for this business? Or is the current capacity is enough to meet demand for the next few years?
Avik Roy: So, Vibhav let me take this question. So you must have heard in public domain, the top 2 auto manufacturers of the country, the way they are investing in their IC -engine capacity. So we are in a reflect ive business. So obviously, we have to take steps towards adjusting our capacity to the demand, which we are doing constantly, and we keep on doing that. And we'll adjust our capacity to m eet the entire demand. We are in vesting in that .
Vibhav Zutshi: Okay. So to the adjustments only you'll be able to do it for now?
Avik Roy: Yes. Generally, if you have seen our trend of the last couple of years, around the ballpark of INR500 crores, which is more or less equal to our depreciation, that has been our capex outlay for lead acid business.
Moderator: The next question is from the line of Kapil Singh from Nomura.

Kapil Singh: My question is on the lead -acid business. I just wanted to check what is the demand outlook there for different segments. And also you mentioned rooftop solar , so if you could give your thoughts on what could be the competencies that Exide could have in this business?
Avik Roy: Sure. So , I'll first take the outlook on some of the important segments, some of the larger segments. The way we have seen this year, the way we have seen the automotive production bouncing back in the last two quarters in H2, and particularly quarter 4, and with t he capacity addition plans of some of the major OEMs of the country, we're extremely bullish on our aftermarket potential after three years. We have maintained our market share very strongly in this environment and we think we should be able to do it. More urbanization, more mobility, more intracity as well as intercity mobility , and more there is a demand for passenger vehicles. And we think that Exide will be able to ride on this demand.
On the industrial space, as I've already mentioned in the opening remarks, we are benefiting out of the infra capex of government, the infra capex outlay, number one. And you have to understand battery business is a short -cycle business which generally ha ppens at the late cycle

of the capex. So whatever capex programs or announcements or the outlays you see today, actually these projects will result in our business, maybe 12 to 18 months later. So whatever growth we are seeing now is basically a tail end o f the earlier cycle , as well as the short -cycle business which we do in the aftermarket of industrial space.

So this gives us a lot of confidence and we are also preparing ourselves in terms of competence and in terms of capacity to ride on this. The outlooks vary from segment to segment. I-UPS segment is riding on more and more data usage and data penetration in the country, the need for critical power is increasing. It's no longer a power backup, it's more of critical power. Healthcare, hospitals, banks, schools and everywhere, you see this requirement of UPS going ahead. This digital UPI payment has led to a l ot of opportunities in UPS business in rural India.

Similarly, renewables, I don't need to mention. You are all reading in the newspapers , the future renewable s has in this country. The other segment which has come back actually , is the t

hermal

power segment. The thermal power generation and power transmission segment which was lying dormant for the last six years or eight years maybe, it has come back. And this is where we see an incremental huge demand year -on-year, which will c ontinue for the next five to six years to just complete the ongoing projects. This is more or less the outlook for the future.

Regarding rooftop solar, let me tell you that we are trying to organize , an otherwise unorganized sector. We are using the power of Exide brand to our consumer, the service which they were getting from local unorganized sector , in terms of rooftop installations . And what are we providing is a value - You may have noticed that we are designing the complete solution for them.

We are designing and we are using technology for that, from remote, from our office, from GPS activated devices. We are designing the plan for the layout of the roof and designing a solar solution for them. And we are installing it for them and we are givi ng a five -year comprehensive warranty on the total solution, not on individual products only. So this gives a lot of confidence

to the consumer that they have Exide brand to stand behind them for any kind of service requirement or warranty requirement. So this is how we are generally leveraging on the power of our brand and the quality of our service. Does that answer your question ?

Kapil Singh: Yes sir. Thanks. Also, just on the lithium -ion business, I had one question. Just in terms of pricing policy for sales, what are we following in general? Is it a cost -plus model or is it a fixed - price model? And how does our pricing compare to current pric es in China? And also, if you could talk about at what level of utilization , does that facility break -even?

Avik Roy: So I'll request Arun to take this question, please.

Arun Mittal: Yes. So this lithium -ion battery pricing is normally indexed to the major raw materials. This is a standard practice which is being followed. And we plan to follow the same indexed approach so that any increase or decrease in raw material prices is passed on to the customer, number one.

Number two, as far as the current pricing of lithium -ion batteries is concerned, as far as customers are concerned, they are looking at parity of imported landed. So, I think as a company, we also have to offer prices which are at par with imported landed. So we have a comprehensive agreement with SVOLT which entails also helping us in setting up the supply chain. And we will leverage on their buying volumes. We will club our volumes with their volumes. And we will be also able to source raw materials compe titively with SVOLT sourcing. And that gives us the confidence that we should be in a position to offer prices which are at par with imported landed.

And regarding your second question, I think Mr. Mukherjee already answered that. Once we reach 80% to 90% of capacity utilization, that is the time where we can get our intended margins.

Kapil Singh: My question is not on an intended margin. My question was what is the breakeven capacity utilization?

Arun Mittal : Sorry. Just your voice cracked. Can you just repeat the question? I just lost your voice.

Kapil Singh: Yes. What I was checking is, what is the capacity utilization for breakeven of this facility, say EBITDA breakeven is possible at what percentage utilization?

Arun Mittal : So breakeven, I think we should be able to do at 50% to 60% capacity utilization.

Moderator: The next question is from the line of Jinesh Gandhi from Ambit Capital.

Jinesh Gandhi: My question pertains , firstly a clarification on arrangement with SVOLT - So we have an agreement to pay variable royalty or its on fixed technically fee basis?

Arun Mittal : This royalty thing is not in the public domain. So , we would request you to not press us for this in

formation.
Jinesh Gandhi: Okay. But it's a royalty basis, not a technical fee basis. Got it. And second question again continuing on the lithium -ion side , when we say non -binding agreement with Hyundai and Kia

group, it means there is no clarity on what kind of volumes offtake will be there or pricing . What do you mean by non -binding agreement?
Arun Mittal : So non -binding agreement basically means that both the parties intend to work together. And between non -binding to binding , lot of loose ends have to be tied up – in terms of the entire timelines of the plan, in terms of the development of the cell with the help of SVOLT, in terms of setting up additional plant and machinery for meeting their particular requirements. So , I think there's a lot of work to be done , all that work is still work in progress . As soon as it materializes, I think that is the time we'll probably be able to share more information. Right now, as I said, this is still work in progress.
Jinesh Gandhi: Okay. And this would not be a exclusive arrangement which Hyundai will be having with us , for the Indian market?
Arun Mittal : So let me tell you this. The way it works is that when a vehicle manufacturer , and particularly I speak in reference to passenger vehicles , when they partner with a battery manufacturer , the entire development is done jointly. It is kind of a co -development actually. Both the battery manufacturer and the vehicle manufacturers work very closely , in terms of optimizing the energy density , optimizing the space, optimizing the cost, quality, everything.
T this is more of a partnership and in these kind of programs , it is normally not a practice to work with multiple partners , from battery sourcing point of view. So Hyundai for this particular model would be exclusive to Exide. And that is because this is the global practice. No OEM works for one program with multiple battery manufacturers because that increases the complexity and the variable s.
Jinesh Gandhi: Got it. Now this is very insightful. And lastly with respect to lithium -ion. So from here on you indicated we have invested close to INR2,300 crores so far. What would the balance investment...
Arun Mittal : Yes. Mr. Mukherjee can answer this question.
Asish Mukherjee: Yes. As of now, we have invested INR2,000 crores in EESL. And the other unit , which is a pack and module -making unit , we invested about INR300 crores. So put together it comes to around INR2,300 crores. Now total investment in the Phase I , in capex , will be approximately around INR5,000 crores. And we are quite confident of financing this project. Initially, there will be some bridge loans , because cash inflow and outflow there is always a mismatch, and the project cannot wait for the cash flow to happen. There will be bridge loan initially for certain amounts , which we are confident enough to repay over a period of time.
Jinesh Gandhi: Right. But Mr. Mukherjee what would be incremental further investment from Exide into EESL?
Asish Mukherjee: Investment for the current year, we expect to invest around INR1,000 crores.
Jinesh Gandhi: Okay. But the Balance INR2,000 would be through bridge loans?

Asish Mukherjee: As of now, but it all depends on the cash flow. And as I said, that this loan will be kind of a bridge loan whenever it's required. And depending on the cash flow of the core business , we're confident of repaying it.
Jinesh Gandhi: Got it. And last question for the fourth quarter performance. So we have seen a very good improvement in margins in fourth quarter vis -a-vis third quarter. So this would have been driven by what mix and price increases or we have seen anything else also? And what kind of price increases we have taken in replacement market in the fourth quarter?
A

vik Roy: So the last question first. We haven't taken major price increases in fourth quarter. But we have been taking calibrated price increases throughout the year , as and when it favoured us. To answer your question about the fourth quarter margin expansion over Q3, there are a couple of things which favoured us.
One is our core raw material lead. We had a favourable lead environment in Q4 which was better than last year's Q4 also as well as the previous sequential quarter also. We also had a better mix in terms of two things. One is our high -margin products sold more than the low -margin product s, across the verticals.
The third reason is that also our trade to OEM ratio improved in fourth quarter. So that

improvement may be at a very high base, even 1%, 2% shift of that ratio creates a lot of favourable impact on the company's bottom line. And most importantly, we have been undergoing this cost -optimizing initiatives for the last 2 years , particularly on factory costs . That project is almost coming to an end and the results are starting accruing. So fourth quarter, we got some favourable benefits from those cost -optimizi ng initiatives also which we'll see more and more in this fiscal year. All these put together , has created a favourable bottom line environment for us in the Q4.

Jinesh Gandhi: Got it. This is very helpful. Thanks and all the best.

Moderator: Thank you. The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.

Arjun Khanna: Congratulations on good set of numbers on the fourth quarter. Sir, my first question is on the lithium -ion side. In terms of yields etc ., are there any agreements that we have with SVOLT in terms of the output ? Are there any milestone -based payments that could accrue to them that we would need to pay in this year or next year?

Arun Mittal: Yes. the agreement what we have with SVOLT is exhaustive. It covers four aspects. One is the transfer of IPs and designs for the intended cell , what we intend to manufacture. Second is , helping us in design and setting up of the plants and procurement of capital equipment s. Third is, to help us in setting up the supply chain from China because unfortunately supply chain does not exist in India. And lastly, also to help us in ramping up the production and help us in achieving the required yields. So it's a very comprehensive agreement with SVOLT accompanying all these four aspects. And the payment terms , I would not like to discuss because that is something which is not in the public domain.

Arjun Khanna: Sir, I just wanted to understand, would the payments be front -ended or they would be over the lifetime of the product?

Arun Mittal: No, these are milestone based , as those agreements span over these four broad areas of collaboration.

Arjun Khanna: Right. Sir, since we are on the lithium -ion, in terms of phase 2, at what point in time we take the call on going ahead with it? Would it be 1 - 2 years after phase -1 commences production , we scale up , or phase 2 would probably happen quicker ? just current thoughts at this point in time?

Arun Mittal: So, as soon as we have a visibility for kind of evacuation of our Phase 1 capacity, we start planning for Phase 2. Phase 2 will be much faster because the entire land has been developed, all the utilities are already in place . So it is just a kind of a very short cycle, we'll be able to set up the additional capacity. And that we will do as soon as we see the visibility of evacuat ion the Phase 1 capacities.

Arjun Khanna: Sure. Sir, my second set of questions were on the lead -acid side. We did mention some of our key export segments such as motive power, etc . Are we seeing a decline in motive power given that the world is moving towards advanced cell chemistries?

Avik Roy: See, on the motive power

front, this is not so much driven or decided by the consumer , its driven by the OEM and their strategies for sustainable goals. Now , just to give you sense , on the vehicular space, the shift is from IC engines to batteries, which means from fossil fuel to electric. So likewise, in motive power, you already have electrified forklift, which is running on lead acid today , so that the diesel -to-electric shift is happening, but the diesel -to-lithium -ion is not a mandate for the market. We see more and more electrification in favour of lead -acid battery. Now some of the OEMs have come out with lithium. There are applications, but we don't see a threat in it , because when we talk to our customers and even some of the OEMs, this will be part of their portfolio, but this will take a long, long time to become their core business. There are many reasons for that. I'm not going to the detail. But you have to also u nderstand that for some of the rick trucks and forklifts trucks, the lead acid battery which is much heavier than lithium , also work as a counterweight.

So this is something we'd see lot of value in it. And the innovative products, which we and many of the players are developing on the lead acid side , to increase the cycle life of a lead acid battery , we see that the global penetration of lithium -ion will be much slower than electric vehicle. And we are not worried about it. In any case , we have very little world market share, So to feel that we reach a 60%, 70% market share , there is a whole lot of opportunities for all of us.

Arjun Khanna: No, perfect. This is very good to hear, sir. Thank you. Sir, just the last part to this. In terms of margins, we had given a guidance, maybe we are not as a hard guidance, but our trajectory is that 12% to 14% EBITDA margin range is what we are comfortable on the lead acid side. We have obviously moved closer to that zone at this point in time. How difficult do you believe would be for us to maintain in this band? Are there risks that for next quarter or the quarters after, we may come below?

Avik Roy: See, first thing, I'll just take the first sentence and then hand over to Mr. Mukherjee. You have to understand our product deals with the commodity, which is hugely volatile. So giving our guidance based on a volatile commodity, will not be proper for eit her you or me. Having said that, we have taken a lot of other operational actions to sustain our margins and we have declared that we'll reach our pre -COVID margin levels within a short time and we maintain that. I hand over to Mr. Mukherjee to give you further colour on this.

Asish Mukherjee: Yes. As Mr. Roy said, first thing I would say that , we don't give any guidance on the margin for the future. As Mr. Roy said that we are engaged with some cost optimization initiatives , which have started giving results. We definitely expect our margin to stabilize at pre -COVID level. But there will be fluctuations quarter -to-quarter , because the commodity prices are extremely volatile. And over a period of time, it is passed to the market. But it doesn't happen on an on-line basis . There i s always a lag. So at times, it affects the margin to that extent.

Moderator: The next question is from the line of Nishit Jalan from Axis Capital.

Nishit Jalan: Congratulations on good set of numbers. I have 2 questions on the lithium -ion battery business . So good to see that Hyundai MOU, any more such customers where you are working with or where you have started getting orders - big incumbent OEMs , in terms of whether orders or MOUs , because your plant will get commissioned towards the end of the year. So how should we look at a commissioning of that plant and what kind of orders you have already received? That is number one.

Number two, since you mentioned you

rself that supply chain for battery doesn't exist anywhere except China, what are the key areas where we are doing localization? And what would be the localization content that we could have in our battery plant?

Arun Mittal : So let me take the second question first. So the supply chain follows the capacity of the batteries. So, unless there is a capacity of 50 gigawatt hour in the country, we will not see a good growth in supply chain here. Having said that, there are some large players who have spent out their intention of setting up local supply chain, Himadri Chemicals, for example, is one large player which has shown interest in setting up capacities for the LFP and also for the anode material. Similarly, we have another set of companies who are looking at various active and passive components that will go into a battery. So the short answer is that as we see more and more battery capacity coming up in the country, the automatically supply chain will follow the battery capacities. And can you just please repeat your first question?

Nishit Jalan: My first question -- sorry, first a follow -up on this. So yes, you're right that industry needs to start first, and then we will see localization happening of other components. But when we start our plant or start manufacturing in the first year, it will largely be import -based? Is it fair to assume that ? And import context will be fairly high?

Arun Mittal : Yes, that's correct.

Nishit Jalan: Okay. My first question was on basically remains order wins from OEMs. So we are starting our plant. So like we have got...

Arun M: Sorry, I have a constraint in disclosing the name of the customers.

Nishit Jalan: But not the names, Without disclosing the names, if you can give some colour if you have got orders from any incumbent big 2 -wheeler or 4 -wheeler OEMs, which will get into production as you start the plant, the plant, because we will be starting our plant towards the end of this financial year, right?

Arun Mittal : So, may be, what I can share at this point of time is the telecom industry is moving to lithium -ion batteries. And I think we have started our commercial supplies to tower companies. And on the automotive side, we are working with 2 -wheeler, 3 -wheeler, 4 -wheeler and the bus companies, all sets of customers we are working. And these are at various stages of engagement with the customer. We have a very high level of confidence that we should be able to evacuate our full capacity , as soon as we ar e able to ramp up the production and stabilize the production.

Nishit Jalan: Okay. That would be great. Just one more follow -up. I'm not asking for any non -public information, but just to understand how it works. So when you sign an MOU, how much time can it take to translate that into an order and you start supplying them? And is there a possibility

that even after signing an MOU that does not translate into an order?
Arun Mittal : So let me answer the first question first. it is already a developed cell with either Exide or SVOLT, when the lead time for supplies is very short, actually. So for example, if the customer is interested in taking up one of the cells which we intend to buy. And this is already in production with SVOLT in China, then I think the lea d time for supplies can be very, very short, actually. For example, many of the 3 -wheeler customers, the telecom customers are planning to take a particular cell, which is in mas s production in SVOLT and we also plan to make in India. This is something, which gets into a smooth kind of migration from China to India , as soon as the plant ramps up .
But if it is a new cell development, then it normally takes a year of time to develop , design the cell and validate the cell. So this is the difference between an existing cell and a

new cell. have
I answered your question?
Nishit Jalan: So the only part which is left is, is there a possibility that even after signing an MOU, it does not translate into an actual order and supplies?
Arun Mittal : A non-binding MOU means that there can be a slip between the cup and the lip. Having said that, I would only mention this that this was a global announcement by Hyundai . We are very actively engaged with Hyundai in terms of the next steps , in deciding on the capacities , that we've built up for that cell and the development and all that. So , I would say that the chances could be very, very minimal of not getting converted into a n order .
Nishit Jalan: And this will be for Hyundai India, whenever it translates into an actual supply order.

Arun Mittal : Yes. These platforms are global platforms, as I mentioned earlier. These global platforms are like whatever vehicles Hyundai makes in India. These are exported all over the world. It is a global platform. This will be made in India, and they wish to procure these cells locally made in India. An d these vehicles will be sold in India and all over the world , that is the whole plan.
Nishit Jalan: Okay. Okay. Sir, one question, one clarification...
Moderator: Sorry to interrupt, sir. I may request to kindly re -join for follow -up questions. We'll take the next question from the line of Deepak Jain from Enam AMC.
Deepak Jain: Sir, congrats on good numbers. Sir, my question is that on PLI, have you opted out , or can you give some clarification on that?
Avik Roy: Yes Arun, you can take that.
Arun Mittal : Yes. So as you all know, PLI is only meant for greenfield projects. And since we have progressed so much into the project, it was difficult for us to meet the tender conditions, which are basically one of the conditions in the tenders take place that the c onstruction has to start after the signing of the agreement with the government of India. So that m ade it be very difficult for us, and that is the reason that we did not participate in the PLI.
Deepak Jain: Okay. Sir, my next question is the agreement with Hyundai. You said it is for one global model. Sir, does the negotiation with other customers also happen model -wise? Because I believe Hyundai is planning to launch three, four EVs globally till 2030. So it is model -by-model negotiation?
Arun Mittal : So, I said the platform. The models can be on the same platforms. So right now, what we are talking of and what is relevant to us as a platform. So one particular platform that we are working with Hyundai. We plan to give one of the cells of LFP prismatic type.
Deepak Jain: Okay. And sir, can you give the order book of EESL?
Arun Mittal : I think we have a strong order book. From like last September, we are having an order book of INR600 -700 crores. And we see a strong pipeline going forward.
Deepak Jain: Okay. Sir, my last question is on lead acid. Can you tell me the value and volume growth for Q4?
Avik Roy: Well, the value growth is 13% that we already announced. The volume growth is around that number. As I said, volume was a key driver for value growth for us. So around that number only.
Moderator: The next question is from the line of Diya Brijwani from White Whale Partners.
Diya Brijwani: My question was how are we looking to fulfil the EPR obligation? I understand that we have an internal recycling unit, but just wanted your perspective on how are things on ground? And what's the penalty levied in case of non -compliance?

Avik Roy: So let me request our Company Secretary and Chief Compliance Officer, Mr. Jitendra Kumar, who's in the call to respond to that.
Jitendra Mohanlal: So, this EPR certificate, as we understand, this is coming out of the BWMR requirement . This is still work in pro

gress - in terms of quantification of the entire obligations . We understand that this portal is still being developed by the CPCB , and we are ready at our end. But as soon as we get more clarity on this in this quarter , more clarity on those rates and quantification of the liability, then we will be able to comment. B ut as far as we are concerned, we are confident that we are mo re or less meeting our requirement as of now. And depending upon how this situation pans out, we will quantify the outflow requirement to the EPR obligations.
Diya Brijwani: Got it. Just a follow -up on this. So how do you manage the supply chain for the chloride plant? Don't you see any leakages towards informal recycling guys , given that they offer a higher price to the dealers. So just wanted your sense as to how do you procure the use d lead acid batteries.
Avik Roy: So let me take this question. Chloride metals is a very important material subsidiary that we have within Exide industries. And more than 60% - 70% of our requirement is fed by chloride metals, which includes even pure lead procurement and things like that. And we have multiple sources of collecting these batteries. And one of the major sources is imports, which we are actively engaged in , and we are increasing our shares of collecting imported batteries. This is to feed the lines. And as far as fu lfilling our BWM R obligations, we have opened up new channels through our sales team , activated them to increase collections from our dealer network , from the B2B business , and we participate in auctions and get these collections. So from the industries, we make a collection.
So some of the customers and most of the customers, they also want to work with people like us. So we have been fairly successful, and that is why my colleague told you that we are well prepared to make this obligation. And I think we are best placed because we have our own recycling unit for which also we are investing in augme nting the capacity. So chloride metal themselves are investing in increasing their smelting capacity. So more and more whatever we pick up, we can recycle it in -house within the gro up. I think we are much more prepared on this than many of our competitors because we have this in -house recycling facility ourselves.
Diya Brijwani: So how much is the percentage of imports, which is used for the recycling plant?
Avik Roy: At this moment, I don't think it's safe for me to give a percentage. But overall, because this is related to chloride metals, Exide does not import , chloride metals imports. So I would not like to give an exact percentage for chloride metals because it's not in public domain. But all I can tell you, chloride metals today supplies about 60% to 65% of Exide sales requirement, which is only to go up beca use they also plan to invest in their capacity.
Moderator: Thank you. We'll take the next question from the line of Aditya from Investec. Please go ahead.
Aditya: Congratulations on a good set of numbers and congratulations on the partnership with Hyundai. Sir, it's very heartening to hear this partnership for the 4 -wheeler batteries. Similarly, if you can give us some light on the 2 -wheeler side, has there been any development? So once our cell

capacity comes onstream, we can clearly supply to nexcharge facility in Ahmedabad. But beyond that, have you entered into any discussions for supplying lithium -ion cells to any 2 - wheeler manufacturer, whether incumbent or a new -age company? And if you can throw some light on this aspect?
Avik Roy: Yes. I'll request, Arun to take this question, please.
Arun Mittal: Yes. So, Aditya, we are in active discussions with all the 2 -wheeler manufacturers who have electric wheel program. And these discussions are at the various stages for supply of cell and pack . Since we have an NDA, I am under cons

traint not to reveal any specific details at this point of time. But as and when the agreements mature and there is a public disclosure, we all will come to move through it. But just to reinforce that we are in active discussion with most of the 2-wheeler manufacturers who have electric vehicle program.
Aditya: Okay. Sir, and just one thing on our partnership with SVOLT , we are in partnership with NMC and LFP battery for automotive application. And over a period of time, are we also working on application on the industrial side, whether it is storage cell or these kind of applications for storage? Or is there a separate agreement that we need to do?
Avik Roy: So, these cells, what we plan to make the LFP prismatic cells. These cells are for electric vehicle application or for industrial application. We are planning to make 4 types of cells, and these cells have applications on both automotive side and industrial side. So certainly, we have plans of using SVOLT cells and technology for industrial applications also.

Aditya: Okay. And sir, is there any restriction from SVOLT side for tapping some export opportunity , if you're either directly exporting or supplying to OEMs who export that vehicle?
Arun Mittal : This is the technology collaboration agreements , normally have a territory clause, but there is no blanket ban or something. The agreements normally allow both the parties to discuss mutually and take a call , on a case -to-case basis.
Aditya: Okay. And sir, final question on SVOLT . So now, do you think also earlier I mean our impression was SVOLT and Exide partnership with exclusivity. But do you think that the way things are progressing at a rapid pace, EVs volumes are ramping up? Do you think that SVOLT can potentially partner directly with an OEM or it has to go via Exide only?
Arun Mittal : I think. These are fin er aspects of the agreement, which is not in the public domain, Aditya, and I would not like to make a comment on this at this point in time.
Moderator: Thank you. The next question is from the line of Apoorv from Whitestone Financial Advisors Private Limited. Please go ahead.
Apoorv: Sir, I have one question regarding the lithium -ion cell manufacturing plant. What is the asset turnover we are looking for this plant?
Avik Roy: Mr. Mukherjee will answer this question.

Asish Mukherjee: Yes. As I said earlier also, because this absolute number is very difficult to give now , because we have just constructing the plant and then we have to start with the commercial production, then stabilization process. And then when we reach the full cap acity utilization, all these questions come , but it also depends on the commodity prices at that point of time. So very difficult to answer now. As I said that there is some outlook on the margins we can expect , at the full capacity utiliza tion, but I think closer to th e date , we can give more clarity on the return on capital or the asset turnover.
Apoorv: So just like some ballpark number, like, for example, if we take the price which is going as of today , what number do we come at for maybe the potential asset turnover? Just to give me like some numbers in the mind?
Asish Kumar : It will be more of a theoretical in nature, because I don't think the situation will remain at the same level. It's more realistic to be closer to the date.
Avik Roy: Actually, at this mome nt for lithium -ion, there is no industry benchmark in India, possibly, that's why all of you are struggling. But once the capacities come up, you'll also have an industr y benchmark so that you can compare who is better than who and things like that. That is the kind of a disadvantage of being the first, but we'll be able to give you more colour going forward.
Apoorv: My next question is regarding like as mentioned that around I

NR5,000 crores is required for the
capes . So out of that, like how much is from internet approvals and how much we have taken from loan?
Asish Kumar : Yes. As of now we have already invested INR2,000 crores. And we are quite confident enough to finance this project from our internal accrual s, without compromising anything, any investment requirement for the core business. But we cannot finance it at one go , so there will be some bridge loans which we are confident to repay over a period of time. And so , out of total INR5,000 crores, we have already invested INR2,000 crores in the last financial year. And going forward also, we are confident enough to infuse capital, depending on the cash flow situation.
Apoorv: So most will be from maintenance accruals, remaining 3,000 would be, right?
Avik Roy: Mostly from internal accruals, but the cash flow happens over a period of tim e and we cannot delay the project just waiting for the cash flow to happen. So we have to take some loan just to fill that gap and that will be, in the subsidiary E ESL books bridge loan. And depending on the cash flow situation from the core business, we can increase further capital and the loan can be repaid from there.
Apoorv: And sir, my last question is on the lead acid battery side. So what percentage do we sell in aftermarket?
Avik Roy: So the aftermarket share is about 75% of the total automotive trade business, 20% from being OEM and about 5% from exports. That's the split. It has reduced in this quarter.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Avik Roy: Yes. So thank you, everybody. Thank you for your participation. It was very engaging and encouraging to answer to all your questions. I hope we have been able to answer the questions satisfactorily. However, if you have any further questions or would you l ike to know more about the company, we would be happy to be of assistance. So please get in touch with us. Thank you.

Moderator: Thank you, members of the management. On behalf of Investec Capital, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2024

Ref no.: EIL/SEC/2024-25/65
18th November 2024
The Secretary The Secretary
BSE Limited &EXIDE
The Calcutta Stock Exchange Limited
7 Lyons Range
Kolkata -700 001
CSE Seri Code: 15060 & 10015060 Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai -400 001
BSE Seri Code: 500086
The Secretary
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot no. C/1, G Block
Bandra-Kurla Complex, Bandra (E),
Mumbai -400 051
NSE S mbol: EXIDEIND
Sub: Transcript of the Earnings Call of Q2 FY 2024-25
Dear Sir/Madam,
This is further to our letter ref no. EIL/SEC/ 2024-25/61 dated 4th November 2024 wherein the Company had intimated that it will host an Earnings call on 11 th November 2024 for the Q2 FY 2024-25 business update.
Pursuant to the Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the transcript of the said earnings call, for your info1mation and records.
The transcript of the earnings call is also available on the Company's website at https://www.exideindustries.com/investors/earnings-call.aspx.
We request you to kindly take the same on record.
Thanking you.
Yours faithfully,
For Exide Industries Limited
Jitendra Kumar
Company Secretary and
President-Legal & Corporate Affairs
ACS No. 11159
Encl: as above
Exide Industries Limited, Exide House, 59E Chowringhee Road, Kolkata-700 020
Phone : (033) 2302-3400, 2283-2171, 2283-2118
e-mail : exideindustrieslimited@exide.co.in, www.exideindustries.com
CIN: L31402WB1947PLC0149 19
Page 1 of 16 “Exide Industries Limited
Q2 FY '25 Earnings Conference Call ”
November 11 , 202 4
.
MANAGEMENT : MR. AVIK ROY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – EXIDE INDUSTRIES LIMITED
MR. ASISH MUKHERJEE – DIRECTOR , FINANCE AND CHIEF FINANCIAL OFFICER – EXIDE INDUSTRIES LIMITED
MR. MANDAR DEO – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – EXIDE ENERGY SOLUTIONS LIMITED
MR. JITENDRA KUMAR – PRESIDENT AND COMPANY SECRETARY – EXIDE INDUSTRIES LIMITED
MS. CHHAVI AGARWAL – HEAD INVESTOR RELATIONS –EXIDE INDUSTRIES LIMITED
MODERATOR : MR. ADITYA JHAWAR – INVESTEC CAPITAL

Exide Industries Limited
November 11, 202 4
Page 2 of 16
Moderator: Ladies and gentlemen, a very good afternoon, and welcome to the Q2FY'25 Earnings Conference Call of Exide Industries Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by

pressing * then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Adity a Jhawar from Investec Capital. Thank you, and over to you, sir.

Aditya Jhawar : Yes. Thank you. Good afternoon to you all. From Exide Industries, we have with us MD and CEO, Mr. Avik Roy; Director of Finance and CFO, Mr. Asish Mukherjee ; President and Company Secretary, Mr. Jitendra Kumar ; MD and CEO of Exide Energy, Mr. Mandar Deo ; and Head Investor Relations, M s. Chhavi Agarwal.

Before we proceed, there is a disclaimer for the call. A few statements from the company management on the call may be forward -looking in nature and we request you to refer to disclaimer in the earnings presentation for further details. We will start the call with a brief opening remark from the management followed by Q&A session. I would now like to hand over the call to Mr. Avik Roy for opening remarks. Thank you, and over to you sir.

Avik Roy: Thank you, Aditya. Good afternoon , ladies and gentlemen, and a warm welcome to you all to the Exide earnings call. In the beginning, I will talk about the industry dynamics and later I will take you through our operational and financial highlights for the quarter as well as half year.

In terms of the industry demand scenario for the businesses that we operate in, it was actually a mixed bag. While the automotive replacement demand was strong for both 4 -wheeler and 2 -wheeler, the demand from auto OEMs was quite modest in quarter 2. On the Reserve Power segment , both industrial UPS and solar trade markets are seeing steady increase in business. Home UPS market was soft , because of early arrival of rains in many parts of the country , and the o verall heavy rains during the quarter.

Private and public sector capex continues to keep order booking healthy in industrial infrastructure sectors - such as Power, Railways, Traction, etc . However, as you know, the Telecom sector have seen tepid demand due to a very high base effect , because last year they had rolled out all those 5G towers, and that rollout is almost complete this year. And also, there is a shift of technology from lead -acid batteries to lithium -ion batteries. Export demand was robust, both in existing as well as new countries.

Given this industry landscape during the quarter, nearly two-third s of the business, including automotive aftermarket, industrial UPS, solar, industrial infrastructure, they have all grown by strong double -digit numbers. However, the remaining one-third of the business, which comprises of Home UPS, automotive OEMs, Telecom, they have seen a sharp decline as for the reasons I've stated before. As a result, overall sales have grown at a modest rate of 4% in the quarter 2 and 5% in H1.

If we look at margin, our gross profit margin in the current quarter increased both on year -on-year as well as on quarter -on-quarter basis. Driven by favourable product mix, the OEM

businesses and Telecom businesses, which are low -margin business are going down, and therefore, the replacement share was going up. That has resulted in an improvement of gross margin, as well as there was a movement in the material lead prices also in quarter 2 over quarter 1.EBITDA was 11.3% during the quarter v s. 11.8% in the same period last year, largely due to the lower absorption of fixed overheads , because our top line growth in m

any of the segments
was very low. However, for the first half year, w e delivered a steady performance with EBITDA margin of 11.4% compared to 11.2% in the previous year for the same time period.

At Exide, we have recently undertaken an organi sation realignment with a focus on strengthening and consolidating the go -to-market strategy in both B2C and B2B markets. I'm happy to inform you, this resulted in some top leadership hiring who are being onboarded now. Some announcements we have already ma de and some more announcements we will make shortly. This high -quality leadership talent will drive the growth agenda in the next years.

Moving on to lithium and cell manufacturing project, which is under our subsidiary, Exide Energy Solutions Limited. The construction works, including the main cell building, admin building, warehouse and other support buildings are closer to completion. Equipment placement and installation work in our lithium -ion factory are ongoing at site. We have also started relocation of teams to site offices to support product activities. In the current fiscal year, Exide has already invested equity of INR550 crores till October. With this, the total equity investment by Exide todate is INR2,852 crores.

Going forward, the outlook for the lead-acid business remains positive in the near to medium term. We are a diversified player catering to multiple sectors, both in automotive, aftermarket and automotive OEM , industrial infrastructure, Telecom, Railways as well as exports. This gives us a lot of resilience across sectors, and we can also capitalize on the large opportunities that these sectors deliver. With this, I close my opening remarks. I'll be happy now to take your questions, please. Over to you.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Vibhav Zutshi from JPMorgan.

Vibhav Zutshi: First question is on the core business, given that you've seen some moderation in the first half and there are a few segments in muted volumes. How should we think about the second half? I mean you talked about outlook is positive near to medium term. But given that the base of last year is also high, can we expect to go back to double -digit growth? Or it could be a bit lumpy atleast in the near term? And if you could give a broad level outlook for individual segments, that will be helpful .
Avik Roy: So thank you, Vibhav, for your question. Let me give you a little more colour on our segment level growth , that will actually give you some details of our performance. See, in the first half year, our strongest growth segments have been automotive aftermarket, particularly 4 -wheeler aftermarket, and the same in quarter 2 as well.
Solar was very good. It was very strong, almost close to 25% to 30% growth. Industrial UPS trade was almost 14%, close to 14% to 15% growth. The infrastructure space other than Telecom

was also double -digit. Exports were also double -digit. So that's why I said almost two-third of our business, they grew by about 14% to 15%. The balance one-third , which comes from basically Telecom, inverter battery as well as auto OEM, that was on the decline.
Now there was a reason for each one of them, which is different from each other. Auto OEM, you have read, it's in public domain because of the increased channel inventories , there was a cut-down of production by almost all OEMs in quarter 2. The channel inventories went up to 70- 75 days. But the positive side is , in October during the festive month, there was an extremely good auto sales, both 4 -Wheeler and 2 -wheeler . One of the best sales they have reported, which means the inventory levels have come dow n to 30 -35 days, which is normal for the indu stry. And the association body they have also predicted that for the full year, the automotive indust

ry
will grow by about 5%. Now just consider that the first half was 0 %, and if the full year is 5%, obviously, the H2 growth will be far stronger than the first half. So , the declining segment of auto OEM is bound to come back in the second half , because of thi s industry will also pick up.
Now coming to Telecom. I mentioned that Telecom had a high base effect because of the 5G rollout last year . Slowly, the pace is getting corrected , and more or less, 5G rollout was over by last year's Q3. So going forward, we don't see this kind of a decline year -on-year on Telecom. On top of that, we have also started supplying our lithium -ion battery -packs to the telecom tower operator s. Though it is done through Exide Energy, but we also have quite a substantial market share on the lithium -ion side also. So even if there is a shift of technology from lead to lithium, we will still encash the opportunity through our subsidiary.
Now coming to inverter. There was early onset of monsoon in Q2, we suffered, but we have a very strong strategy in place. Now we have additionally augment ed our go -to-market and finding out new channel networks. Quarter 3 will be not so positive , because this is not the season for inverter batteries. But from Q4 onwards, from January onwards, we can again see a rebound. And with our enhanced network presence, we'll be able to encash on the opportunities. So , in short, the businesses which declined in the first half year , are going to rebou nd, that is our expectation in the rest of the year.
And in the other businesses, where we are already growing double -digit, we are very strong. And we don't see any kind of demand going down in the next half, particularly in the aftermarket and in the industrial infra. Just one additional comment on the industrial infra. If you look at the macros of quarter 2, the lagging indicators are disappointing. Most of the economic indicators of quarter 2 w ere not good. But we still posted a double -digit growth because of our order backlog.
Going forward, I just came across the October results, if I see the leading indicators of October, the manufacturing Purchase Managers Index, it's showing an increase to 57.5 or something. So I believe, the order inflow from infrastructure will increase , with increased economic activity in the country. So that's in short to answer your question, Vibhav.
Vibhav Zutshi: Second question is on the lithium -ion business. So given that we are now a few months from completion of the plant , given that 2025 is the target year guided for. Atleast give some idea on

how many customers have been on -boarded so far , because it looks like you're now focusing on - boarding the larger customers as well . I understand that you have the ND A, but at least some broad number s, and which segments are they?
Avik Roy: Yes. Vibhav, as I have also told in the past quarters, that we will have some limitation giving out too much of details on the customers , because the NDAs and all. But still, I will also hand over to Mandar Deo , who's the Managing Director and CEO for Exide Energy, to give you some insights.
Mandar Deo: Yes. Thank you, Avik. Thank you, Vibhav.

Mandar Deo: Okay. So , like Avik said, we have very significant portion of our customers covered through NDA, if not all. Therefore, we cannot go into the details right now. However, those customers that have put in the public forum , for example, Hyundai, we can talk about, but others we cannot say right now. However, the only thing that I will add is that we are seeing a lot of traction now in terms of volume offtake.

Vibhav Zutshi: Okay. That's great. And I'm assuming that the start of production will happen sometime in 2025 and then will take 6 to 8 months for stabilization, and basically, major ramp -up will happen from FY '27?

Avik Roy: Yes, Mandar. Some ins

ights on the target date of completion?

Mandar Deo: Yes, certainly, happy to do that. So , like we have repeatedly said in the past also, our schedule remains unchanged, where we have said that in the middle of 2025, we will have our installation and commissioning as well as initial runoff completed. And then in the due course of certification and customer approval, we should be seeing SOP i n 2025. So , no change in our originally published schedule.

Moderator: The next question is from the line of Siddhartha Bera , from Nomura.

Siddhartha Bera: Sir, my first question is on the battery pack business. So , would it be possible to share any order book number for the battery pack business which you have right now?

Avik Roy: For the lithium -ion, you mean, right?

Siddhartha Bera: Yes.

Avik Roy: Again , I'll request Mandar to take this question.

Mandar Deo: Yes. Thanks, Avik. So , on the battery pack business, due to several NDAs, we are not in a position to mention numbers. However, all I can say is that given the recent demand, we have seen good utilization and in fact, some capacity expansion because of the order book that you see. However, we are not able to say the numbers in the public domain yet.

Siddhartha Bera: Sir, the second question is on the lithium -ion cell business . Now a s we are very close to commissioning within the next few months, how do you think the pricing will be done? Will it

be on a cost -plus basis? Or it will be more on a landed cost parity basis? So , some thoughts there how we are looking at pricing in the lithium -ion cell business?

Avik Roy: Siddharth, our first objective is now to start the production and increase the utilization of the operations. We have committed capital. We have gone far ahead than many people in terms of progress of the project. The first one is, we'll start the producti on, we'll increase the utilization of the factory and everything else will fall in place.

We are not theoretically trying to forecast something right now because our whole focus is on starting the factory and developing the products, getting it homologated, getting the entire homologation process complete and start delivering. And of course, raw material prices are volatile, lithium prices, how it will look like after 6 -7 months or 8 months, nobody can tell you. This is also a function of some kind of underutilization in China, people are dumping prices. So we do not know how sustained this will be. So therefore, we would refrain from a comment . For us, it is more of a hypothetical q uestion because right now, the whole focus is on absolutely with zero error starting the factory , stabilizing it, and then increasing the utilization.

Siddhartha Bera: Sir, lastly, can you talk about the total investment, which you will be doing in the lithium -ion cell plant for this year and next year? And the Phase -1 of it is awarded by when the whole capacity will come on stream?

Avik Roy: So definitely, we'll answer that. I'll request Mr. Mukherjee, our CFO, to take that question for you.

Asish Mukherjee: Yes, please. So the Phase 1 investment will be around INR5,000 crores.

Siddhartha Bera: That will be complete by next year? Or do you think it will take longer?

Asish Mukherjee: [Inaudible 20:25]

Moderator: No, sir. Line is not good. Should I reconnect you, sir? We have connected the management line. Yes, sir go ahead.

Asish Mukherjee: Okay. So starting with your last question on the investment in the lithium -ion business - as I said, that Phase -1 investment will be around INR5,000 crores, and a large portion of that will be in this fiscal . There may be some spillover to the first quarter of the next financial year, but that's as what looks as of now.

Moderator: The next question is from the line of Raghunandhan from Nuvama Research.

Raghunandhan: Sir, firstly, on the

lithium business. In terms of cell chemistry, how are you planning your mix of chemistry between LFP, NMC within the Phase -1 of 6-gigawatt hour? And if you can talk a little bit about how easy or difficult it is to shift capacity from one chemistry to another, the fungibility part. And within lithium, given that you're investing INR5,000 crores in Phase I, another INR2,000 crores in Phase 2, your thoughts of getting private equity or some funding for the lithium business , considering the large funding requirements?

Avik Roy: So Raghu, for the first part, regarding the cell chemistry and fungibility of capacity, I'll request Mandar to take the question. And regarding funding, I'll again come back to Mr. Mukherjee, our CFO, to respond .
Raghunandhan: Yes, sir.
Avik Roy: Over to Mandar.
Mandar Deo: Yes. Thank, Avik. So in terms of the chemistries that we have chosen , as we have earlier announced, after having a comprehensive analysis of the market for India, we have chosen LFP and NMC. There is no change in the plan and we see that our approach of having a solid experienced technology partner in helping with both the chemistries , is actually resulting in a good confidence of delivering both the chemistries on time.
As far as the fungibility of the capacity is concerned, we would refrain from answering that in the public forum . Giv en it's 2 things , One is we are under NDA with several suppliers and technology partners. And two, there are different approaches industries can take around this. Therefore, we can't answer that in a public forum. But in terms of LFP and NMC, both the capacities will go online at the stated times earlier.
Avik Roy: So regarding the funding, Mr. Mukherjee will give you.
Asish Mukherjee: So as I said earlier, the Phase -1 investment will be expected to be around INR5,000 crores and we are quite confident of managing this investment. The large portion of that will come through the equity infusion. The balance, we will have to take some bridge loan because we cannot match the outflow immediately. So in due course of time, we are also quite confident to repay the bridge loan in the future.
Raghunandhan: Maybe at the future stage, once the capacity has been at a more matured level with the higher utilization, would that be the time when you might think about monetizing or getting in some kind of investment partner or the strategic partner?
Asish Mukherjee: As I said that we are quite confident enough of managing this investment and we do not anticipate any such equity partnership as of now.
Raghunandhan: Understood, sir. Very clear. Sir, on the lead acid batteries , exports you've been seeing a strong growth. If you can elaborate a little on the drivers of growth, the segments, and the main regions where you're seeing a good traction.
Avik Roy: So I'll take this question, Raghu. See, one of the major reasons why our export is showing a very strong growth because historically, our vehicular exports, automotive exports were at a very low base. We never actually took it very seriously once upon a time. We were supplying, but it was not a part of our core strategy.
So since that was at a low base, therefore, the growth potential right now is very strong. We are also coming out with some new portfolios for new markets. We have diversified our portfolio beyond what we were supplying so far. Those portfolios are also pr emium category, and are also

targeted at the developed world. And all the homologation and trials are in process, and that will be a major growth driver going forward in the short term, maybe in 1 -2 quarters, which is incremental in nature.
We also have substantial industrial exports, which is going on well. There were some hiccups because of the geopolitical situation in Europe, because Euro

pe is quite a big market for us. But we have to live with the geopolitical uncertainties. There are so me economic downturn in countries like Germany and France. I'm sure , they predict that by end of winter , which means around springtime next year, those demands are also going to come back . So these are our export strategies, new products, new markets, not too much of a complicated thing. We have identified markets, and we have developed those products for those markets, and we are now homologating and carrying out the trials for them. Yes, t hat's our export strategy.
Raghunandhan: Just 1 last question to Mr. Mukherjee. Sir was there any one -off in other expenses because Q1, Q2, other expenses have grown at 1 7% and 11%, which is much higher than the revenue growth. Just trying to understand any one -offs there.
Asish Mukherjee: Just to answer your question, the other expenditure has gone up, but it is primarily as a percentage of revenue it has gone up , because of the lower top line growth of under absorption of the fixed cost. There is nothing in particular.
Moderator: The next question is from the line of Sonal Gupta from HSBC Mutual Fund.
Sonal Gupta : So just wanted to understand on the same point of other expenses. I mean like in absolute terms also it's up INR30 crores quarter -on-quarter and year -on-year, it's up almost INR55-56 crores. So could you just explain a little bit more on what's happening here?
Asish Mukherjee: As I said that other expenditure, there is nothing, in particular , few elements have gone up . There

is some increase primarily because of the normal inflationary factor and certain expenses have gone up. But as a percentage, it is higher compared to the previous year, primarily because lower top line growth as a result of which , it has caused a lower absorption of fixed cost.
Sonal Gupta: And. Overall, in terms of the profitability, I think one of the objectives has been to improve the profitability of this lead -acid business. So what do think are the main drivers for that? And how long will it take for you to get that?
Asish Mukherjee: If you look at the profitability, this quarter we are at 11.3%. We do not give any guidance on the margin in future. But just to give you a feel, that our immediate objective is to get around 13%. And at a longer horizon, we'll look at around 14%.
Sonal Gupta: Sure, sir. So no, what I was trying to understand is how do you get to that 13% ? Like what would drive it? Are you looking at some cost -cutting program? Are you looking at some greater efficiencies coming because of certain process changes ? I mean like you mentioned in your opening remarks, you're making more investments in personnel as well. So just trying to understand what will drive it.

Avik Roy: So just a couple of things here. First of all, I mentioned in the last call also that we had undertaken a comprehensive cost excellence project for over 2 years. And this was done in a very structured manner. That project is almost coming to an end. And th e large part of the savings, which will be accrued are supposed to be in the back -end, a lot of changes on reduction s for increasing efficiency, reduction of factory rejections and all those kind of things. So that is a major driver , and we should get benefit out of that.
Secondly, as you are seeing we are constantly working towards our mix. And going forward, the trade market or aftermarket looks very robust. And just to give you a feel. For example, motorcycle OEM business, the demand, last 3 years, it grew by10%. I'm talking about the OEM production figures. In the first 6 months, it grew by 16%. So these are all the things which gives us confidence of a huge rebound after 18 months on the replacement side.
So similarly, if you look at the top 3 automobile manufacturers, 4 -wheelers , everybody has committed

their capex for IC engines as well , on top of electric vehicles. The top manufacturer of the country, they have announced that they are increasing the capacity by almost 80%, 1.8x. Out of that, 60% will be IC engines , So which means about 25% will be clear capacity expansion in lead acid business, and this is the top manufacturers saying.
So there are the things which actually is encouraging us to debottleneck our capacities with our assets , and make some additional investments on the lead acid side to encash on the opportunity because the aftermarket will only go up as a ratio . So this is one , mix plays a role. Secondly, we are also focusing on some profitable exports, as I mentioned in the previous question , which will also improve our utilization as well as also give us penetration into high -margin markets with high-margin products. So there are multiple levers.
Cost excellence is just one part of it, but also mix and go -to-market plays a major role, and this gives us a feeling that we will be able to drive the margins up through better mix, better cost efficiencies and premium product.
Sonal Gupta: Sir, just last question. Have you taken any price hikes in Q1 for the lead prices or in Q2?
Avik Roy: See, there are 2 parts. One is the aftermarket. In aftermarket, in quarter 2, we have taken price hikes in 2 tranches . And cumulatively it will be about 1.5% . So on the OEM and industrial side, these are mostly pass -through. So these prices are indexed with the customers , through LME or HZL or any kind of standards. So , it goes up and down based on a particular formula. But for the trade market, yes, we have taken corrections.
Moderator: The next question is from the line of Pramod Amthe from Incred Equities.
Pramod Amthe: So the first question is with regard to, can you elaborate the reorganization effort which you have taken, which are the segments you are trying to revive , so that we can look forward to build the same?
Avik Roy: We are realigning the B2C businesses of the company and the B2B businesses of the company together in 2 parts. And therefore, there are leadership hirings. We have hired some of the best

talents to drive agenda in both B2C group and the B2B group, and there will be an international group, which is exports. So this is how we have reorganized. This will give us a lot of power in go-to-market.
Pramod Amthe: Sir, is it to revive the distribution or strengthen the distribution , how do these leaderships will help you? Because this is not on the product side, right?
Avik Roy: No, this is on the go -to-market side. This is to make sure that there is a clear strategy , so that the size of the wallet of the network doesn't get melted , because multiple guys going to the same person , and taking a share of wallet within the company. So it's a comprehensive strategy. I won't

be able to give you more details than this. But basically, on the go -to-market side, we are strengthening the network.
Pramod Amthe: Okay. And when you expect this to start yielding results? Is it early part of FY '26?
Avik Roy: You'll shortly hear the announcements. Maybe within 2 weeks or within a month, you will hear the rest of the announcement s. Some announcements we have made. But we are on -boarding the leadership. So , this will be all informed officially to the exchange.
Pramod Amthe: And when do you expect them to start yielding results, early part of FY '26 or later part ?
Avik Roy: That's basically the expectation , that once they're on -boarded, 2 -3 months or quarter 4 will, have some kind of seasonal push from the demand side. And by quarter 1, they will be fully on the job because this is also the time period when we plan for the next year . So, they will be part of that management team.
Pramod Amthe: Okay. And the second question is with regard to lithium -ion. I want

to check , since you are
almost entering the production stage middle of next year, when you expect the BIS approvals to come through, one. Second, at what stage your labs are , in terms of approving local component supplies or a chemical supplie r, so that you can get into the next part of localization and the cost control?
Avik Roy: I have to pass this to Mandar once again.
Pramod Amthe: Sure.
Mandar Deo: Thank you, Avik. So in terms of the lab readiness question, either for localization or for other purposes , the labs are running in parallel to the giga factory. So like Avik mentioned in the opening statement, the buildings are completed , equipment is moving in , the lab progress is inline. So labs will be ready along with the giga factory.
Now as far as the BIS certification and not just BIS, other required customer certifications, we have a comprehensive timeline that aligns , because there are requirements of what the equipment state has to be , before we can apply for certification , and some customers most stringent, some customers equal to BIS.

So in terms of comprehensive plan, we plan to finish all of those , typically from the industry experience in the same manner, as you have seen globally. So our lithium -ion certifications will be in timeline, with what the global certification timelines are. But we don't see that we will take more time or less time. It will be in line with what global industry standards are.
Pramod Amthe: Sure. And in terms of vendor approvals for chemicals and all, any update?
Mandar Deo: Yes. So once again, we have a very robust approval mechanism for any supplier approval . So we have a partner that is helping us with that , before our labs come in. And once our labs come in, typically, those also take depending on what the component and the supplier capability is , those also take the variable amounts of time. Once again, we don't see any reason , why we should take a longer or shorter , than what typically a chemical supplier needs to get approved in a lithium -ion cell.
Moderator: The next question is from the line of Lakshminarayanan from Tunga Investments.
Lakshminarayanan : You had mentioned that , your put an equity of close to INR2,800 crores in your joint vent ure and you also mentioned that , you would invest up to INR5,000 crores. Is it the same thing which you'd like to do in the Phase I?
Asish Kumar : This is the Phase I. In the Phase I, the expected investment is around INR5,000 crores.
Lakshminarayanan: And by when the Phase -I get commercialized?
Avik Roy: So this is just what Mr. Mandar Deo said, that commercialized will be in the middle of the next year, we'll fund the production, we'll take time to stabilize and complete homologation. So, in 2025, we should be able to commercialize it. And this is for the first Phase -1 6-gigawatt hour.
Lakshminarayanan: And what about Phase 2, what is the outlay that is planned?
Asish Kumar : So Phase -2, we'll take a call-in due course of time, depending on the market situation and demand scenario. And as of now, it is too early to comment on Phase -2. Of course, Phase 2 investment outlay is expected to be lower , because we are already investing in the common facilities as well as land, et c.. But we will decide in the due course of time.
Lakshminarayanan: And what kind of project IRR you actually expect at Phase -1?
Asish Kumar : I think situation is now a little volatile. Lithium prices are extremely volatile and also on the lower side. So I think it is too early to comment on that. Our first outlook is to complete the project , as well as go through the successful stabilization process, and then we can have a feel on this.
Lakshminarayanan: Sir, just one more question. Do you intend to take a part in the grid energy storage system , Exide as an organization?
Avik Roy: So Mandar, would y

ou like to take this question?

Mandar Deo: Yes, absolutely. So as far as our lithium -ion cell product plan is concerned, we have selected product portfolio that will serve both mobility as well as energy storage market segments , with different products. So we will be serving both the stationary as well as mobile lithium -ion consumers.
Avik Roy: Yes. Some of the cells will be common for both. That is how we are developing.
Moderator: The next question is from the line of Aditya Jhawar from Investec.
Aditya Jhawar: My first question is to Mandar. I understand, Mandar, that you have signed NDAs for your lithium -ion projects , but if you can qualitatively throw some light on what kind of business wins, we have seen so far? Number one, for example, out of the first 6 gigawatts, how much of the capacity are you seeing commitment s from? And what kind of customers are we seeing in terms of percentage of customers going for only cells, percentage of customers going for the battery pack? And are we also seeing engagement from OEM on hybrid cars?
Mandar Deo: Yes. Thank you, Aditya. Avik, I'll take a first cut at it. Is that okay?
Avik Roy: Yes, Mandar, it's for you.
Mandar Deo: Yes. Okay. So as far as the mix of pack versus cells is concerned, Aditya, what we have experienced , is that there is a good mix of customers that would like only to focus on their product and leave the complete battery pack with us. And also, there are others who fairly evolved in terms of their pack, design pack manufacturing , would like to focus only on getting a cell from us.
So if you look at our origina l business plan that we put out in the public domain, the cell and battery pack product mix remains pretty much unchanged. Now, the NDAs are there , therefore, we can't go much into the detail. However, qualitatively, what I can say is that across different target market segments, we have seen now a fairly good traction , as we get closer to our SOP. And as customers deeply engage with us and look at our factory, look at our preparedness, we have seen a lot more tightened deeper engagement from our customers , in terms of capacity evacuation. So , while I'm not at the liberty to talk about names and percent evacuation, all I can say is that we are really energized by the heightened interest by OEMs across the segment .
Aditya Jhawar: Yes. So does it also include hybrid cars?
Mandar Deo: Right. So in -terms of hybrid right now, the current technology takes us into the EV segment , BEV is not in our current product portfolio.
Aditya Jhawar: Okay. Fair enough. Now the next question, Mandar, is on profitability. I understand it's too early, but we are very close to commercialization, and you would have already entered your agreement with multiple customers, whether 2 -wheeler, 3 -wheeler, or 4-wheelers. So what is the line of sight of breakeven? And what capacity in terms of gigawatt hour and utilization , do you think that we will be able to do breakeven? And one of the competitors commented double -digit profitability target in the near term. So what is your overall thought process on profitability?

Mandar Deo: So in -terms of breakeven capacity profitability, IRR, we are right now focused very methodically and laser -like on making the factory running, stabilize, improve yield. Therefore , right now the organization is focused on that. However, all I could say is that when we look at the global industry benchmarks, both in terms of capacity breakeven , as well as other financial measures (such as ROEs), we will be in line with what we see in the market . If you look at the industry trends, we don't fundamentally see any reason to be different from where the industry on lithium -ion cell side is right now.
Avik Roy: Just a thought, may I request Mr.

Mukherjee, do you have any additional points to what Mandar said?
Asish Mukherjee: Yes. So, our primary focus is now on the completion of the project and stabilization of the product. And then, we'll have a better feel. But, across the globe, there is a wide variation in the margin profile of the business. Some players are extremely good and certain other players numbers are on the lower side. But what we feel that going forward, we should look at the margin similar to lead -acid, which is kind of mid -teens. That's what we expect , when we reach the full capacity utilization.
Aditya Jhawar: Sir, my final question is on the lead -acid business. What is the pricing difference between the recycle d lead and pure lead on the spot market? And what has been the trend in this spread , over the last couple of quarters? Are you expecting it to change in near future?
Asish Kumar : See, lead prices is extremely volatile. And LME is as of now it's slightly on the lower side. But there is no constant delta kind of thing between pure lead and recycled lead. As we are s eeing that sometimes the pure lead, the LME prices are pretty low, but the local market prices on the recycled lead is on the higher side. So there is no constant delta kind of thing. Of course, in general, the recycle d lead is lower than pure lead. But again, it all depends on the situation.
Avik Roy: But Aditya, we are playing this game for many, many years now. I mean this is our bread and

butter. Finally, what we have seen is that it evens out , over a slightly longer period of time. With lags, it evens out.

Moderator: The next question is from the line of Mumuksh Mandlesha , from Anand Rathi Institutional Equities.

Mumuksh Mandlesha: Sir, I just want to understand on the industrial side, BESS -battery energy storage system. Any order traction there in th at segment . Any order wins there also? And also , just want to understand how is that industry shaping up in India , what kind of size would be now and next 2 -3 years, what could it be, sir?

Avik Roy: So let me give you just some colo ur on how the industry might shape up. See, with the government announcements that you see on solar and other renewables, the capacities that they are planning to put up till 2030, which the government has announced, and a lot of steps have been taken towards that also. It is obviously going to lead to a huge amount of intermittency on the grid. The transmission grid will be under pressure , as is to take that intermittency of the

renewable load. Therefore, the only technical solution at this moment is battery storage, to make the grid more resilient.

Also, at a very high voltage level, the point of generation of renewable , and the point of consumption , will be far away from each other. In India, it's such a large country, and we'll put up the plants in some states, but the main load centres will be in some other states, which is likely to have longer distances. So , the transmission grid is susceptible to even more inefficiency. So, if that is the big driver, if the solar targets of the government have to be successful, then battery storage is a no -brainer. There has to be large storage systems installed, both at the point of generation , as well as on the point of consumption.

So having said that, given portfolio we are developing , there must be some kind of synergy between automotive batteries and storage batteries, because we have to have the benefit of scale also. So as Mandar mentioned , that some of the cells which we have developed will be used for the EV packs as well as for BESS. This is something which we are going to get ready with. Now , there is always a question at the regulatory level or at the government level on liability gap funding , how does the economics look like .

Moderator: Sorry, I'm sorry to interrupt, sir. You

r voice is not clear. Your voice is breaking, sir.

Mumuksh Mandlesha: So I think it was fine, so you can go ahead. It was fine.

Avik Roy: Okay. Like I said, the only question and only driver for the market to pick up is the economics , that will this increase the tariff? If yes, then who is going to fund the gap. So the BESS business will be largely be in the regulated environment of power. So therefore, a lot of policies need to happen to support the real growth. And I think , it should happen because otherwise, the renewable policies will not be implementable. So that's on the market side.

Mandar, would you like to add anything more on this?

Mandar Deo: Yes. Just maybe 1 -2 technical points. Like Avik mentioned, our product portfolio benefits from the scale , between the automotive and energy storage. So some of our cells are fairly close to each other, and they benefit. Therefore, we think that we will have a really good product lineup for battery energy storage solution, number one. And number two, given that in some of these segments , where we already have a good foothold through lithium -ion, we see that as an extension of that business. So both scale , as well as the connect with the potential customer is already on our side.

Avik Roy: And it is BESS business, finally for all government tenders, the prime bidders, the lead bidder is always a system integrator or the EPC, or this kind of corporations, who are not essentially battery manufacturers. They are system integrators, solution pro viders. We would like to stick to manufacturing. So we are on the left side of the value chain. And obviously, these lead bidders will be our customers. This will also help us to mitigate our risk exposure to regulated environment if that helps.

Mumuksh Mandlesha: And just generally, sir, how would be the competitive intensity in this segment v s. like an auto? Because in the renewable energy side, there were multiple customers and will be much large r. So how do you see that competitive intensity in this space, sir?

Avik Roy: What I feel is that there will be a few players with large capabilities in BESS. That is how it is globally also , because everybody cannot have the scale. Only a guy who's active on the EV side , will also be competitive on the BESS side , because he gets the benefit of scale. No manufacturer can have their setup only targeting BESS. That is too subscale.

Secondly, these are tender -driven businesses, number of tenders will be at the most , 5-10 projects going concurrently. So that way, I don't think this is going to be any kind of capacity shortage . But these are also long duration contracts. These are regulated contracts. So these have to be

treated completely differently from our EV side of the business. The only synergy comes from the scale on the cell side.
Mumuksh Mandlesha: This is to Avik, sir. I just want to understand what is driving such a strong growth in the auto replacement market. And just want to get sens e how you're seeing the market share there , we are growing double -digit. And just anything you want to indicate on how the enhanced network can further strengthen this segment.
Avik Roy: So there are 3 questions. I think I forgot to note down...
Mumuksh Mandlesha: So firstly, how do you see what is driving strong growth in the...
Avik Roy: Driver for growth. Second is market share, you wanted to know?
Mumuksh Mandlesha: Yes.
Avik Roy: And the third one is forward -looking, future strategy?
Mumuksh Mandlesha: Yes, sir.
Avik Roy: So I think this is more or less in public domain , that you have to define the market between organized players and total market. And we do not track the total market, which includes the small scale and unorgani sed sectors. So market share is a bit tricky subject , because it depends on what do you consider as a market.

If you consider all the grey market of lead acid battery,
then it's infinite. But largely in the auto market, the car market and the motorcycle market is largely consolidated , with only organized players. And I mean, I don't have to tell you that we are very strongly placed on the aftermarket side. I will not be able to give you exact numbers. I have it in front of me, but I'm sorry. We are the leading player in 4 -wheeler, this much we can tell you.
Having said that, there are a lot of other segments like, tractors, rural parts, which is also growing. And a lot of shifts is happening from unorganized to organized sectors. The only macro in quarter 2, which was positive for us, was that , rural consumption was far higher than urban consumption, and our penetration in the rural dealer network is quite strong. So this gives us a hope that on the rural side, there are people who are having aspirational purchases, whether it's

a motorcycle or even a small car , and it's not only tractor batteries , but also aspirational vehicles. So this rural side is going to go up, and also these people have started having some brand awareness. So they want to go for organized brands , rather than buying from a roadside grey market. So the rural consumption pattern for us is changing very favourably going forward, and beyond tractors. So these are the positive signs.
Our market share, in 4 -wheeler is more than half, if I consider the organized sector. What is driving growth , I told you , the rural consumption. And we have also identified those white spots in our go -to-market strategy to capture that.
In the future, in the new realigned organization, we will be able to capture many white spaces like this , where we might have subscale presence at this m oment . But when you pull our might , then we can really capture those white spaces , just for example I mentioned rural, but there are 2-3 other areas where we have identified white spaces, and we'll go full blast f or those markets.
So today, as I said, we are growing double -digit on the 4 -wheeler side. On the 2 -wheeler side, we will also become double -digit because the demand is so strong. And these are also more profitable , so it helps us in the mix also. That's more or less kind of summary answer to the 3 questions.
Mumuksh Mandlesha: So fairly to say over a medium term, double -digit can be seen in the auto replacement segment?
Avik Roy: Yes. Confident about it.
Moderator: As that was the last question, I now hand the conference over to the management for closing comments. Over to you, sir.
Avik Roy: So thank you very much. Thank you everybody for dialling in. I hope we have been able to answer all your questions satisfactory to the extent possible. And also you have to excuse us for certain details, which we were unable to give you because of the situation, which are not in public domain. But we have tried our best to give you as much colo ur as possible on our company operations. If you have any further questions or would like to know more about the company, we would be happy to be of assistance. Thank you. And over to the moderator.
Moderator: Thank you , sir. On behalf of Investec Capital, that concludes this conference. Thank you for joining us, and you may now dis connect your lines. Thank you.

Call: May 2025

Ref no.: EIL/SEC/2025-26/13
l 3th May 2025
The Secretary
The Calcutta Stock Exchange Limited
7 Lyons Range &EXIDE
The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers
Kolkata -700 00 I Dalal Street, Mumbai -400 00 I
CSE Scrip Code: 15060 & 10015060 BSE Scrip Code: 500086
The Secretary -
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot no. C/1, G Block
Bandra-Kurla Complex, Bandra (E),
Mumbai -400 051
NSE Symbol: EXIDEIND
Sub: Transcript of the Earnings Call of Q4 FY 2024-25
Dear Sir/Madam,
This is further to our letter dated I st May 2025 wherein the Company had intimated that it will host an Earnings call on 6th May 2025 for the Q4 FY 2024-25 business update.
Pursuant to the Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the transcript of the said earnings call, for your information and records.
The transcript of the earnings call is also available on the Company's website at https://www.ex ideindustries.com/investors/earn ings-cal I .a px.
We request you to kindly take the same on record.
Thanking you.
Yours faithfully,
For Exide Industries Limited
Jitendra Kumar
Company Secretary and
President- Legal & Corporate Affairs
ACS No. 11159
Encl: as above
Exide Industries Limited, Exide House, 59E Chowringhee Road, Kolkata-700 020
Phone: (033) 2302-3400, 2283-2171, 2283-2118
e-mail : exideindustrieslimited@exide.co.in, www.exideindustries.com
CIN : L31402WB1947PLC014919

"Exide Industries Limited
Earnings Update Conference Call "
May 06, 202 5

.

MANAGEMENT : M R. AVIK ROY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – EXIDE INDUSTRIES LIMITED
MR. MANOJ KUMAR AGARWAL – DIRECTOR FINANCE AND CHIEF FINANCIAL OFFICER – EXIDE INDUSTRIES LIMITED
MR. JITENDRA KUMAR – PRESIDENT AND COMPANY SECRETARY – EXIDE INDUSTRIES LIMITED

MODERATOR : M R. ADITYA JHAWAR – INVESTEC CAPITAL SERVICES INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Earnings Update Conference Call for Exide Industries Limited hosted by Investec Capital Services India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Aditya Jhawar from Investec Capital Services (India) Private Limited . Thank you, and over to you, sir.

Aditya Jhawar: Thank you. Good afternoon to you all. From Exide Industries, we have with us our MD and CEO, Mr. Avik Roy; Director Finance and CFO, Mr. Manoj Kumar Agarwal; President and Company Secretary, Mr. Jitendra Kumar. Before we proceed, here is a disclaimer for the call.

A few statements by company's management in the call wi ll be forward -looking in nature and we request you to refer to the disclaimer and earnings presentation for further details. We will start the call with a brief opening remarks from the management followed by Q&A session.

I would now like to hand over the call to Mr. Avik Roy for opening remarks. Thank you and over to you, sir.

Avik Roy: Thank you, Aditya. Good afternoon, ladies and gentlemen, and a warm welcome to you all for the Exide E arnings Call. At the outset, let me take this opportunity to welcome on Board, Mr. Manoj Agarwal as the new Director Finance and CFO of Exide. He takes over from Mr. A.K. Mukherjee, who after a long stint of 18 years has retired from the position of Director Finance and CFO. Manoj had been with us for the last 2 years. He j oined this company as a Deputy CFO and through a routine succession planning, now he is on Board as the Director - Finance. So I welcome Manoj on Board.

I will take you through the key highlights of our performance for the last quarter and the fiscal year '25. During the fourth quarter, near ly 75% of the business of our business has registered double -digit growth , even on a high base. Within this, mobility aftermarket, solar and IUPS businesses continue to contribute to strong growth. The remaining 25% of the business witnessed a decline in revenues, impacted by a weaker demand scenario in businesses like auto OEMs, telecom and home inverters.

This led to an overall modest 4% sales growth during the quarter, though on a high base. However, if you notice that on a quarter -on-quarter, sequential basis , we have grown 8% in quarter 4. Also in quarter 4, I'm happy to inform you that we exported the first batch of our advanced AGM batteries for SLI applications.

Operating profitability was impacted due to high input costs in the quarter on account of a considerable increase in the cost of antimony , which is one of our major alloying elements in lead-acid battery chemistry. And on top of that, we had some write -off of certain slow and non-moving operating assets.

Prices of antimony have massively surged in the last 6 months, thereby impacting profitability margins, both on year -on-year and quarter -on-quarter basis. However, EBITDA in absolute terms has increased by 4% on a sequential basis. Even cash flow from operations at a pre-working capital increase level has sustained at the last year's level.

Before I move to the annual performance, let me talk briefly about the economy and the industry dynamics. While the GDP growth of India subsided from 8.2% in FY '24 to an estimated growth of 6.4% in FY '25. T he manufacturing growth has further slipped from 8% in '24 to an estimated growth of 3.4% this year. This signals the slowdown in manufacturing activity. Domestic auto replacement de

mand was robust throughout the ye ar, while the OEM demand from automotive were muted, especially in passenger vehicle segment.

In Reserve power, both industrial UPS and solar trade markets witnessed steady growth in demand, but home inverter market remains soft with its demand expected to pick up in Q1 of FY '26 .. Government spending and capital outlay have decelerated in key sectors like railways, power and infrastructure over the last couple of quarters. Automotive batteries continue to perform well in exports, but demand for industria l batteries, which has been a major s tay for us in European markets have been impacted by the ongoing slowdown and recession , and this is pre-tariff era. This is last fiscal year I'm referring to.

With this context, the annual performance mirrored that of the fourth quarter with around 70% of our business performing strongly, while the rest experienced some demand headwinds.

EBITDA margins were marginally impacted due to higher raw material prices, as I mentioned and lower -than -expected growth in a few bus iness verticals.

However, I would like to highlight that despite the tough macro environment, our performance has shown signs of resilience. Our balance sheet still remains very strong with zero debt and high cash flow generation. As we enter FY '26, the outlook for the lead-acid business remains positive across most business verticals. I believe that Exide with its advanced product portfolio and pan-India distribution network and a strong brand recall will continue to benefit from the growth opportunities .

During the year, we have strengthened our business and go-to -market strategy by transforming from an SBU -led organization to a functional organization. We have also strengthened our senior leadership team by bringing in seasoned business leaders from gl obal corporations.

Apart from this, on operational front we have undertaken multiple initiatives on cost excellence and upgrade of manufacturing technology. For example, we moved a substantial part of our 2-wheeler MC battery manufacturing to punched grid technology in Q4. All such initiatives have started delivering results and we will continue going into the next year.

Moving on to the lithium -ion cell manufacturing project have invested nearly INR 1,000 crores in FY '25 and additional INR 300 crores equit y has already gone in the month of April ’ 25 to EESL, our 100% subsidiary. With this, the total equity investment by Exide to date is INR3,602 crores.

Construction works are progressing well and project is expected to start commercial production in the current year. We have a range of commitments secu red, ranging from MOUs to pack in production, to co -investments in line with leading e2 -wheeler, e3 -wheeler and e4 -wheeler OEMs.

And with this, I close my opening remarks. We will now be happy to take your questions. Over to you, Aditya.

Moderator: Thank you, sir. We will now begin with the question and answer session. The first question comes from the line of Pramod Amthe from InCred Equities. Please go ahead.

Pramod Amthe: Thanks for taking the questions. S o, the first question is , you had called out in home inverter, there has been a weakness. Do you think this is more short term or any structural changes you feel are challenges there?

Avik Roy: Thank you, Pramod. Let me give you the context. One is interna l and the other one is external market driven. E rstwhile , our home inverter business was sitting under our SBU automotive. So, it was mainly a part of the automotive SBU, though it's a non -automotive business. So it was a major portion. So our only go-to -market was with the automotive network. Now we have separated our reserve power and mobility business, under the new organization system. So now reserve power home inverter is going to build its own network. And that wo

rk has started from Q2 once the organization changed. And they have been getting success because we are now expanding independently in their own network and not relying solely on the automotive network like in the past. So this is a go -to-market shift for which we have readjusted the organization.

And therefore, both the mobility as well as the home inverter, both these business verticals will benefit because now they will rid e on their own strength and not rely on each other's network.

So that was a very conscious decision which we took on the market side . On the demand side, yes, we had some early onset of monsoons , so the peak season we missed out.

However, if I look at my last 2 months performance, I see that it is coming back, which gives us a hope that Q1, which is a peak season right now is going to be a strong season for inverters. So this year, inverter growth is a key element of our growth agenda.

And I can tell you some of the new actions we have taken in the last quarter or so. Now we are entering new white spaces, which we had ne ver had to do in the past. For example, we are entering the white goods space with our complet e inverter systems as well inverter batteries. We are launching RP Home. If some of you have noticed, we have launched this RP Home series targeting the home UPS systems through this new channel.

So these are the few go -to-market initiatives with which we are confident that we' ll get back to the position where we are in the growth path. By the way, we are still the lead ing manufacturer in inverter batteries in Ind ia despite the decline.

Pramod Amthe: Sure. Thanks for that detailed answer. Si r, second one is with regard to EV cell manufacturing.

Considering that you might be approaching the OEMs or other parties for the same, what is the type of cell formats you are getting a better traction with a nd how are you planning capacity distribution for these cell formats as you build capacity? That's one. And second, any development on Hyundai MOU, which you have signed?

Avik Roy: So let me take the first one. When we star ted this project, we tried to mitigate the risk through multiple chemistry and multiple f ormat methods. So we have two lines of cylindrical and two lines of prismatic , which means two lines of NMC and two lines of LFP as well. So we see traction on both sides from different end markets. We have be en in advanced discussion with two of the leading OEMs for 2 -wheelers on the cylindrical side. And similarly, on the 3-wheeler side, we are talking to some people on the LFP side at a ver y advanced stage.

Also, prismatic is helping us to address the stationary market. So I think we are in a reasonably safe position because the entire project is going on parallelly. Maybe the production will start 1 month in advance of the other or 2 months in advance of the other. But still, the investment has been made in all the four lines together. So that's why we are not too worried about finally where the volume of tech will shift, because we'll be able to cater to all use cases.

And the last questi on was on Hyundai. I think whatever you see in the public domain, whatever we have announced regarding the binding agreement that still stands. As I said, it's in active stage where we are putting up all the resources to get ready. The p roduct development has started and will soon come out with additional information in public domain.

Pramod Amthe: Thanks and all the best.

Moderator: Thank you. The next question comes from the line of V aibhav Zutshi from JPMorgan Chase. Please go ahead.

Vaibhav Zutshi : Yes. Thanks for taking my questions and best wishes to Mr. Manoj for the new role. My first question is on the lithium -ion business. Could you just elaborate the range of commitment that you mentioned with respect to the customers and if there are any dela

ys on the plant side, because initially we had anticipated completion by the end of FY '25. And I think the project cost for the first phase is almost INR 5,000 crores, but the investment right now is around INR 3,600 crores. So yes, I mean just sense on the ra nge of commitments and when do you expect the SOP would be great?

Avik Roy: So there are three questions, V aibhav. One is on the commitments with the client. The other one is the timeline and third one is a detail on investment . So let me start with the timelines first. As I said, if you recall in the last analyst call, we already said that we will be ready with commercial production within this year which means FY '26. Earlier, of course, we planned for FY '25 or we announced FY '25.

But then there were s erious problems on visa issues and things like that, geopolitical issues, which we overcame very quickly. We are lucky to have overcome that. And now we have

more than 130 to 150 Chinese engineers in the sh op floor commissioning all the equipment, including people from our technology partner. So that's why we said we will start the trial production within this calendar year. And then we will need some time for homologation with the OEMs.

You know how the proc ess works because your design validation is done by the OEMs on the prototypes and which has been done already. But now, once you start your serial production, from the production line, they will pick up volumes and put it in their vehicles and run homolog ation process for about 4 to 5 months. And then the commercial serial production starts. So this is a standard process, which we are following for lithium also. This we followed for lead -acid in the past also.

And therefore, even if I start the trial production of the commercial line, start of production happens in month 0, in month 4 or 5 the serial production will start , because that much time we will require for homologation. So that is how we have decided on the timeline s, more or less.

And also all four lines will not be commissioned together , it will be one after the another.

We'll start with the cylindrical NMC line, which is meant for 2 -wheelers, for which we are in advanced discussion with many of the clients. So that will be our first priority. And then take it one by one. Then the next one will be one line of electric prismatic, targeting 3 - wheelers and 4-wheelers. So this is how we are planning.

Regarding the commitments, as I said, I mean, all I can tell you is that it's in multiple stages. For some, we have already started pack manufacturing . The pack manufacturing is happening through outsourced cells. But the moment we are ready with our own cells, we'll shift to our own cell and manufacture the pack.

With some, we are at MOU stages , where co -development and design validations, and things like that are happening. And with some, we have a binding agreement, as we have already mentioned, which you know it's in public domain. So there are 3 types of engagements we are having with customers right now.

Good to see that at least the largest 2 -wheeler OEMs, 3 -wheeler OEMs, and some of the 4 -wheeler OEMs are engaging with us because they see a value in sourcing local cells. Does that answer your question?

Vibhav Zutshi : Yes. Just a follow -up. Can you tell us the number of customers like 5, 10, 15 that you're engaging with? And I mean, given that cell prices in China are now -- these LFPs are around $55 a kilowatt hour. Just a fact to mention that we still see value cell manufacturing in India like ho w much would these cost ?

Avik Roy: Vaibhav please excuse, I may not be able to tell you the number of customers because the major EV OEMs are so huge it is easy for you to crack the names which will not be fair for them.

So all I can tell you,

today, the government is incentivizing cell imports and de -incentivizing pack and module imports. So, which means the government is incentivizing that imports from China and the packs and models in the country, but that's not going to be the future. Once the domestic manufacturing capacity of cells are in place, the government has to switch the priority on incentivizing local cell manufacturing. Otherwise, this industry will never grow in India.

In the current structure, do you feel that the industry will grow , if you incentivize, you put only 5% import duty on cells and only make the module and pack, then India will miss the capability building in cell manufacturing forever. It's not only us, it's for everybody. But at this moment, since the demand is more than the supply of cells and since we will be the first one to start in a giga scale, I think till that time, this environment will stay where cell import gets incentivized and pack import gets d e-incentivized.

But once we have a domestic capacity of cell manufacturing and particularly high -quality giga scale, I'm sure the government will switch the priorities, and that is what I get to hear from various forums. And then the discussion will be a different discussion. Then it will be more of how you can deliver large -scale, large volume sales to the OEMs at market prices. So that's my short answer.

Vaibhav Zutshi : Very helpful. And just last question, if I may squeeze in. On the lead-acid side, you mentioned that antimony prices have risen sharply. Can you just tell the contribution in the raw material basket, because lead, plastic and sulfur are the major contributors? So I mean, how would the rise in antimony prices impact the margin going forward?

Avik Roy: Two questions. One is what is the impact of antimony is currently, and what will be the impact in the future. So V aibhav in Q4, we had a negative impact of about INR 50 crores in absolute value due to purely and this is net of the price increase s which we have announced to the market.

The problem was this antimony was rising so sharply from $11,000, it went up to $6 0,000 per ton in the same quarter. By the time we announced our price increases, it had further gone up. By the time we announced our second increase, it has further gone up. Therefore, we could not recover everything. So net -net, we had INR 50 crores of downside impact on antimony itself in Q4.

Going forward, and we have seen in the initial comments, I have said that there are 2 elements. One is antimony, and the other is also some write -offs of some non-moving operational assets. So if I do the math and if I add this back, we were at a very good EBITDA margin level even in Q4. We were actually close to 13%. So now, how do we mitigate that?

First of all, these one -time write -offs will not come back. Secondly, antimony, we have taken a price increase in mid -February, we took 1.5%. And March 1st, we take another similar amount. And from 1st April, again, we have announced. So we are pass ing on the increase to the market regularly.

In April, antimony prices have somewhat stabilized. So we'll get a value of this increase. But then it is always lagging because it is continuously increasing. I'm sure you know the reason for this. This is a g eopolitical reason, and this has started much before the tariff war. And this is just because China decided to ban exports of antimony because of national security issues. And therefore, the prices started shooting up.

China produces about 40% of global a ntimony production. And one of the largest applications of antimony is also in the military, which is in bullets. So there are a lot of geopolitical and military considerations that China has decided not to export antimony. We are the collateral, what should I say, we got damaged, the battery industry. However, as of now, we have to only

pass on the pricing cost increases to the market.
And some of our customers, even with whom we are indexed on lead, they appreciate that this non-lead increase is also a r eality. They also track the international market. And we have been able to convince a lot of them of the price increase, including institutional customers. So that's the answer on antimony current and future.
Vibhav Zutshi : Okay. Thank you so much.
Moderator: Thank you. The next question comes from the line of Aditya Jhawar from Investec Capital. Please go ahead.
Aditya Jhawar: Continuing with this question of antimony, what is the extent of price increase left to pass on the incremental increase?
Avik Roy: Aditya, thank you. It depends on at what level you are pegging the antimony price. So if I look at the current price levels of the $60,000, $62,000 average, I think we are more or less, with the increase from the 1st of April, which we have announc ed, we are more or less covered. But going forward, we do not know to what extent it will move again. So that is the answer to your question.
Aditya Jhawar: Sir, the second question is can you quantify the write -off that you have taken in this quarter?
Avik Roy: Yes, it's about INR 25 crores.
Aditya Jhawar: INR25 crores. Sir, on continuing with the margin question, now we are doing a lot of cost - saving initiatives, and there is a tech upgrade as well as con -caste. If you can help us understand that, how s hould we think about our margin trajectory in the next couple of years? Because when we benchmark ourselves with Amara Raja our competitor, profitability is much lower. So if you can throw some light on whether on tech upgrade, cost savings, or warranty cost, what are the drivers of margin expansion? And how should we see it will play out in the next 2 years?
Avik Roy: Yes. Thanks, Aditya. So first of all, as I just now mentioned, even in quarter 4, if you add back these effects, negative effects, which I s aid, we are already close to 13%. We have done that

math ourselves. And this mainly came because we switched over to punched grid for motorcycle for 2-wheelers in the month of January. And that has given us 3 major benefits. One is on the material cost. S econdly, with the level of automation this punched grid lines have, we have a lot of impact on the manpower cost on the ground. And third, which I personally feel is the most significant impact, is the improvement and consistency, and quality. So this has started benefiting our internal rejections, our warranties, and we are monitoring. And this is, I think, the most significant long -term impact. But we invested in only 50% of the capacity last year. So, having seen the benefit coming in once half of the capacity shifted to punched grid, we immediately made a capital investment for the remaining portion, which will come on live around, let's say, November of this year with the machines coming in and commissioning and everything.
So from November onwards, even the balance 50% will also go into punched grid. So, whatever benefit we are getting on 50% of the volumes, we get on 100% of the volumes. And motorcycle is one of our key growth drivers and margin drivers going forward. So this is on the punched grid.
We have similarly invested in continuous casting process, which we have , I think we are the first one in the country. We have done it through collaboration with our partners in USA, East Penn. And this has also given us a huge positive impact on quality as well as benefit on the cost. That machine has also started running from March. And again, this was one line we converted first. And with the success of that, we have also decided to invest on the subsequent lines, another two lines we have decided to in vest, which will also come maybe end of this calendar year.
So these are the actions we are taking on the

cost margin improvement agenda. Now this takes time. For two years, we have been only like maybe 1.5 years, we have been running pilots on these mach ines, because we wanted to invest in 1 line, run pilot, polish our hands and then horizontally deploy.
And that is why this was taking time. But the results of the pilot trials have been extremely positive and we are very happy that we'll be able to drive. So this is on one of the examples of

our margin agenda -- improvement agenda. There was one more question, which I'm missing out Aditya. Can you repeat?
Aditya Jhawar: It was the warranty cost, I think you covered it.
Avik Roy: Yes, warranty I covered. We are trying to address this problem through manufacturing technology because most of the warranty issues which we faced was from manufacturing inconsistencies at large scale, which we are trying to move to automation, like I mentioned just now.
Aditya Jhawar: My second question is on the lithium -ion business. Now looking at the decline in the prices of LFP, NMC globally, what is your assessment in terms of what could be the profitability and

ROC E of the project now? And also now you are engagi ng with customers, you are getting a sense that who is looking for cell, who is looking for a battery pack. So if you can give a ballpark range that what could be our EBITDA margin expectation and ROC E maybe at about 50% utilization, what should we expect and at 100%, what should be that number?
Avik Roy: So Aditya, at this stage, I think it's a bit too early to comment on EBITDA margins. Our focus is to get into customer contracts, run, complete the homologation process and scale up the production. Once we reach about 80% which means in Phase 1 about 4 gigawatt hour 5 gigawatt -hour of utilization. That is the time when we will start getting a view on the returns because it's quite possible that once we reach 80% of utilization, we might observe that no, we need to put up some more capacity immediately to get faster breakeven. You see what I mean?
So at this moment, we have said that we'll not go for more than 6 gigawatt -hour plus the Hyundai contract will kick in. And once these are all in line, let us reach about 80% of utilization ramp up as fast as possible in 1 years, 2 years' time and then we will see on our returns. Simple reason, unlike lead -acid and this is a global standard, you will know for first couple of years typical cell manufacturing plant ha s huge amount of internal rejections as well as yield losses.
You may have heard from other players in China or any other places. So first 2 years, we have to improve our manufacturing process maturity, which means reduction of our internal scrap and impr oving on our yield. Once we do that, our manufacturing cost, manufacturing efficiency will reach a level which today we cannot imagine. Today, while calculating our returns, we are factoring all these kinds of wastages, double-digit scrap, high single -digi t yield loss.
So this will only see after 1 - 2 years when the manufacturing process matures. And this is not only for us. Every manufacturer has to go through this learning curve. And once that 1 - 2 year cycle is over and we reach maybe 80% utilization level, we'll be in a much better position to recalculate our returns and the time line of that.
Aditya Jhawar: Sure, sir. That’s very helpful. That’s it from my side. Thank you.
Moderator: Thank you. The next question comes from the line of Kapil Singh from Nomura Wealth. Please go ahead.
Kapil Singh: Good afternoon. Thanks for taking my question. Sir on the growth side if you could give some thoughts , last year was a little bit tepid on growth. We had roughly about 4% growth for the lead-acid business. So if you could just share some thoughts on why the growth was slow and what other initiatives you are taking and what kind of growth

do you expect for next year?
Avik Roy: Yes. So is this question focused on quarter 4 or full year, Kapil?
Kapil Singh: Full year.

Avik Roy: So I mentioned like you have heard in the previous call or the previous releases, if I break down our growth, overall growth into our segments. So let me give you a color.
4-wheeler aftermarket contributes to about 25% to 30% of our sales. So that has grown by double digit full year.
Solar. Solar business has grown substantially every quarter to almost 25%, 27% growth. This has been a very strong year for solar. And now they have -- they are planning to build a INR1,000 crores, INR 1,200 cr ores kind of a franchise out of solar business alone for the next year.
2-wheeler aftermarket in the first couple of quarters, we did very badly because we were almost starving the market because of shortage of supply. Why? Because we were moving over from this conventional cast

plates to punched grid plates . So there was a lot of transition
happening in the factories. Therefore, we were almost star ving the trade market because we could not stop supplies to our OEM commitments. So trade market was suffering. So first two quarters for motorcycle batteries, 2 -wheeler batteries has been very big.

Overall, we have grown by just touch ed double digit for motorcycle. But if you look at quarter -on-quarter , I can give you first quarter we were 2%, second quarter we were plus 6% , third quarter we were plus 10% and last quarter, we grew by 18%. So as the supply improved quarter -on-quarter after this punched grid was commissioned, you see the motorcycle growth rate has now gone from 2% in Q1 to 18% in Q4.

So therefore , we have taken a very aggressive plan for next year also on motorcycle growth , now that the lines are operating. And so this is how it is. Our auto exports - - auto exports also jumped because there are many white spaces we hardly have any market share an d it also grew by close to 25% to 30% full year. S o I would say , if you look at complete mobility, complete mobility full year, they contribute to about, let's say, one -third of our business, 35% of our business has almost grown by 15%, both put together, 4-wheeler and 2 - wheeler.

On the infra, we had a drag mainly because of telecom itself . Our lost to telecom was almost minus 25% to 30% because of very high base in the previous year . Because the 5G rollout happened in FY '24 when there was a boom of towers and then that 5G boom went off in December '23. And then from then on, the telecom demand came down, both from the demand side as well as shift to lithium ion solutions. So telecom dragged down the business a big time.

And the other good thing was that the IUPS business, which is basically the VR LA business of IUPS, which goes into industrial UPS for critical power backup, that also grew by double digit. And this also gives us hope because we have a very high -quality product for this market where we have invested in our factory. And we have come out with new products addressing specific use cases like data centers, like hospitals, for critical power applications. And we are very hopeful that those new products which we launched are yielding results.

What drags down, I mean, a major contributor is, as I mentioned, inverter batteries. And for inverter batteries, we have fixed up a complete strategy of building new network architecture

and also coming out with the RP Home series of campaigns, which you are seeing all over. So we want to gain back our entire market pan -India. We are strong in some pockets. We are not so strong in some pockets. So whenever we are weak, we are trying to come back. So this is broadly how it was.

European exports declined because of, as I mentioned, Europe was just between bad to worse in last fis

cal year, recession has hot some of our main markets, Germany, U.K. and Italy, where we saw this downturn of our traction battery sales. Hopefully, right now with this new trade eco nomics going on and with the new exchange rate being in our favor, we might see uptick in the next upcoming year.

So all in all, as I said, about 70% of our business grew more than 10% and about 30% of our business grew by, let's say, minus 9%. So that br ought down the overall growth to the number which you know. So Kapil, does that give you a full picture?

Kapil Singh: Yes sir, v ery detailed answer. Thank you so much. The drag that we are seeing in the teleco m business is that in the base or do you see further declines from where we are?

Avik Roy: What I hear from the customers is that I think it has bottomed out last year. Even if it does not have a growth potential in lead -acid, it should have a growth potential on the lithium side. And lead-acid portion, I think it has bottomed out because there are still some geographies where lithium does not have a business case , Lead -acid has . Because there are areas which they call green sites, for example, which means the power cuts are not so heavy that they need a diesel generator as a backup. So , if they can do away with diesel sets, then lithium is a business case. But then there are some sites where the power cuts are so heavy that , they have to have a diesel backup. And therefore, their lithium comes in. So it 's a mixed bag.

I think most of the lithium solutions are going towards the green sites right now. So they have a good business case without the diesel generator. So I would like to believe that the lead-acid volume has bottomed out this fiscal year . However, i n our current year’s budget, we have not planned for any growth in Telecom

Kapil Singh: Okay, sure. S o, one question I had on the lithium -ion business. What would be in your assessment the right level of duty that should be there on this segment, the lithium -ion cell, the import duty I'm talking about ?

Avik Roy: Kapil, I will not like to be an advisory to the government. I think there are the associations where we are also part of, and we are working together and we'll soon -- .once t he capacities are. I think this is too early to be fair to the government also. Today, suddenly they put a duty

on cell, many of these businesses will -- pack business and module businesses will suffer because where will they get the volumes from.
So once people like us, we are up and running with certain scale suppose even if we come out with about 10 gigawatt -hour or -- 12 gigawatt -hour of production capacity annual ly, then it makes sense to approach the government. But now the cell manufacturing is almo st 0 or nearly

0 in megawatt level. So I think we still have a dependence -- the industry has a dependence on the import of cell.
But with the new geopolitics and the new regime that you see around, there has to be a local capability development on cell m anufacturing in India, not only for Indian market, but also possibly exports out of India to the Western world. So that is the time when we should actually bring this to the notice of the government. But we are actively discussing this in the associations where we are part of.
Kapil Singh: Sir, if you have done any assessment of the scenario analysis or breakeven level. What will be the range of utilization at which the business will be breakeven for the lithium -ion cell?
Avik Roy: So let me give you a little bigger context. Let me start from the demand side, right? So we still predict that about 120 gigawatt -hour to 130 gigawatt -hour will be the market size by 2030, and then we do a kind of a linear graph with 6 gigawatt -hour capaci ty in Phase 1, we do not see this to be much of a challenge to use our capacity.
The question is when, because this will not be a linear growth. This will be possibly back - ended growth, most probably. And there are certain applications and use cases, whic h are coming up, which was not originally in people's mind. Advanced cell chemistry production started with particularly with electric vehicles in mind. And now you suddenly see that the stationary storage demand has boomed, which is incremental in nature.
But this demand will be mostly back -end loaded because there are long gestation period of the projects. Quick information for you. I think a couple of months back, Ministry of Power announced, mandated the solar developers that if you have to reach 500 g igawatt -hour by 2030 as government has planned for all grid-connected solar, you should have a minimum 10% storage backup for 2 hour capacity, which means today, we have 500 gigawatt is aspiration Today, we are at, let's say, 100 or 80 gigawatt. So balance 400 gigawatt, 10% of that for 2 hours, which means 40x2, 80 gigawatt -hour of storage capacity alone is an incremental market. Just compare that with 6 gigawatt -hour capacity that we have put up. So in terms of demand, I don't see an issue if I do this mat h.
The only thing is that will it be linear? Will it be back ended? Will it be upfront? That's the question. Therefore, we have multiple use cases and multiple chemistry that some will move faster than the other. 2 -wheelers move faster we feel , 3-wheelers will move faster we feel , BESS will move fast, we feel. And this is how we see the market going.
Now our readiness. I think once we, as I mentioned to Aditya's question before, once we reach 80% of the utilization, which is around 4 gigawatt, 5 gigawatt, we should see how our manufacturing cost performs and we should see how the lithium price pans up. That time, we should do the real math because operationally, we will be also more efficient. As I mentioned, from initial hassles of battery scrap and yield losses will also come out of that. And also, we will see what the lithium prices look like.

So that is the time when we will be very confident that at what level we'll be breaking even. And if required, we'll decide on further capacity put up at that sta ge. So right now, I will not like to comment on a breakeven time line or a percentage utilization. Our target is to ramp up slowly over the couple of years to a minimum 80% utilization and a running factory.
Kapil Singh: Thanks, sir. Sir then how are you doing the pricing…
Moderator: Sorry to interrupt, Kapil, I would request you to rejoin the queue if you have any further questions so that management can answer as many participants as possible. Thank you . The next question comes from the line of Mohit Jain from Tara Capital Partners. Please go ahead.
Mohit Jain: My question is I'm assuming right now all the expenses relating to your lithium -ion plants are getting capitalized. So by when do they start, let's say , flowing into the P&L segment a nd what kind of an impact could it have in the interim period this becomes ful ly utilized?

Avik Roy: See, right now these are all capital work in pro gress, the project is ongoing.
Mohit Jain: When do they start sort of getting completed and starting growing in the...
Avik Roy: So as I said, we will take a call because we will be commissioning it stage by stage, not all together because not all will be ready on the same day. And also on priorities, like we said, one line, another line , will do stage by stage. And then we'll capitalize progressively.
Mohit Jain: And you mentioned that in the initial ly, the losses are higher rejection rates, et c etc. So can you help us understand so that we are clear whenever it hits the P&L, what sort of an impact overall can we expect so th at we are not caught on the wrong foot?
Avik Roy: So the global standard I can tell you , because we cannot tal

k about ourselves as we hav e not started producing. But if you look at international benchmarks of cell manufacturing, it's normally between 10% t o 12% rejections happen in first start -up phase. That is what we have been told.
Mohit Jain: No, my question was in terms of, let's say, impact on our margin because of all of this, what is the kind of impact that we can expect once it starts flowing into the P&L from the lithium -ion side on the overall margin reported by the company?
Avik Roy: Mohit, as I mentioned in the previous question, at this moment we will not like to make a comment on margins and ROCEs of lithium -ion business because this is largel y unknown. All I can tell you that we will be the first one to run or start a giga factory of cells in India. I have not heard anybody who has announced that in the next 12 months' time, they will come out with production of cells.
So industry has not grown. We will be the first one. We are saying that within this calendar year, we'll start trial production base on that. But I have not heard anybody saying that in the next 12 months, they'll start production of any manufacturing of cel ls.

So at this stage, I will really refrain , even if I do have my own calculation, but I would refrain from sharing that with you because industry has not picked up. Right now, all data you have is from Chinese manufacturers. So once the Indian manufactur ing starts, then you have a much better view. So as I said, our priorities are on the different line altogether, more on customer engagement, more on manufacturing efficiency, more on development of products, technology partnership with, so on and so forth.
Mohit Jain: Got it. Okay. Thanks a lot for answering my questions.
Moderator: Thank you. The next question comes from the line of Sonal Gupta from HSBC Mutual Funds. Please go ahead.
Sonal Gupta: Yes. Hi, good afternoon and thanks for taking my question. Just on the go-to -market strategy for the home inverters batteries that you mentioned. I just want to understand like you have a very extensive network of auto battery. Now you have separately built a network for the home inverter. So does that mean that there is actually a loss in sales because, I mean, like it will take time to build such a network, right, to replicate something like an auto -- the depth of your auto network on the dealer side. So is there a risk here? I mean, like in trying to build ano ther separate channel?
Avik Roy: So I think , probably I should have clarified a little more, Sonal. I did not mean that we exit from that channel completely. I said there are complementary channels which we never explored in the past , because, this busines s was under the automotive segment. And therefore, some of the white spaces or some of the channels we left out.
For example, the e-commerce channel, we have never participated. You see my competitors, they have substantial presence in the e-commerce market for both electronic inverter systems and inverter batteries. The white goods channel where they sell consumer durables, we were not pres ent in the past. We were still number one in India without even being present in thes e segments because we were fully going through the automotive network.
So what I mentioned is that now that the business is segregated, we have options to add these white spaces to our existing network. So whatever I'm telling whatever growth plans we have taken for next year is incremental in nature. And you will see many of our -if you do channel checks, Exide being a number one inverter brand, they did not have any participation in e - commerce or in consumer durable outlets.
So these are the things whic h I mentioned that these channels require a completely different set of market strategy, sales strategy. It is not same as you would sell in your conventional network of a

utomotive channel. So those things have been all streamlined. And we have a lot of -- that's why how we came out with a new value proposition for RP Home segment as we call it "Zindagi Nonstop" as a tagline.

And we are targeting the home user more than our automobile us ers. So that is how it is, that is not that we are exiting the existin g channel. It's just complementing the other places where we were not there.

Sonal Gupta: Got it. Thanks for the explanation. And I mean, we would be selling under this t ubular batteries as well, i t's not just flat plate ?
Avik Roy: No, no, this is tubular only.
Sonal Gupta: Okay.
Avik Roy: We do not have a strategy on flat plate inverters anymore.
Sonal Gupta: Got it. Because when it was part of the auto, it was large. I think a big chunk was flat.
Avik Roy: Yes. But this was margin dilutive and we had iss ues with that. So that's why this can continue and shifted completely to tubular.
Sonal Gupta: Got it. And on the lithium -ion side, could you tell us what sort of -- I mean, like in gigawatt - hour, you have 1.5 gigawatt hour of pack capacity. I mean where wo uld you be in terms of your quarterly level of supplies, I mean maybe in Q4 and what level of pack supplies are we doing?
Avik Roy: See, first of all, the plant we have for pack manufacturing, 1.5 gigawatt -hour is not good enough to even evacuate our own c ell capacity. Now the business is like this, the 2 -wheeler and 3-wheeler will be a pack business. The stationary telecom and the B ESS will be pack business. But the 4-wheeler passenger vehicle 4 -wheeler will be largely a cell business.
So at least my 6 gi gawatt minus the cell business , that capacity should be balanced with my pack manufacturing capacity, which is not there today. So we are also increasing our pack manufacturing capacity parallelly to align it with the cell capacity so that we can serve the pack customers adequately.
What we have been doing now is basically , the thing which is not very sustainable that is importing cells and making packs for our customers. And that is quite risky because this has a volatility of pricing, volatility of quality. There is a huge amount of warranty risk we will be sitting on because it will not be back -to-back warranty from a Chinese supplier. So we are just holding us up before we commit big time to big time customers because there's too much of the risk versus the reward.
Having said that, we are still making packs for some well -known, I would say, 2-wheeler and 3-wheeler manufacturers. I think one for of the top two OEMs we have started doing that. We are supplying packs for telecom applications. We have brought out solutions for the e - rickshaw business, the 3-wheeler electric tot o. This is a business where we want to serve through lithium solutions. And these are the additional portfolios we are bringing up on the pack side.
So far in Q4, the uptick is good because we see a lot of interest in the customers. In the past, you will know there was a huge shakeup of the 2-wheeler industry post the FAME -II subsidy withdrawal. So we were sitting on large orders from not so well -known smaller or midsized e2-wheeler m anufacturers. They have all gone bankrupt mostly, either bankrupt or in many

cases, there is a risk of payment. So we are holding to that because they were largely dependent on FAME -II subsidy.
While on FAME-II subsidy, let me also mention a little unrela ted but very relevant. While the FAME -II subsidy has been withdrawn, which was largely on the vehicle, a similar amount has been now declared, as you know, on this PM e -drive, which is mainly focused on investing or subsidizing or incentivizing the public charging infrastructure as well as the fast charging networks. So this includes charging infrastruc

ture for 2-wheelers, 3 -wheelers, ambulances, trucks, so on and so forth.
I think this is something which was very much required in advance because this crea tes the ecosystem for EV 2 -wheeler, 3 -wheeler, 4wheeler to really ramp up volumes. This was I think INR11,000 crores - INR12,000 crores. But in this next 2 years, government wants the public charging infrastructure to improve.
If that one happens, I think that's a leading indicator of a very faster adoption of 2-wheeler and 3-wheeler in the country. We'll be very happy to see that happening as quickly as possible.
Yes. This is just a supplementary comment on -- because I got reminded when I mentioned to

FAME-II subsidies.
Sonal Gupta: Okay. Great sir. Thanks that answers the questions. Thank you so much.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing comments.
Avik Roy: Yes. So thank you, ladies and gentlemen. Thank you. It was a very engaging session with all your questions. I hope we have been able to give you some clarity on the business and the way forward. We are personally extremely excited to enter into FY '26 with new management, new network, new portfolio.
We'll be able to ride through and we'll try to deliver on the promises. We still hold to our promises which we made to you in the recent past on our numbers. And thank you all for participating. If you have any further questions or would you like to know more about the company, we would be happy to be at your assistance. Please reach out to us. Thank you, and over to Aditya.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Investec Capital Services India Private Limited, that concludes this conference. You may now disconnect your lines.

Call: Nov 2025

&IXIDI
Ref no.: EIL/SEC/2024-25/54
21st November 2025
The Secretary The Secretary
The Calcutta Stock Exchange Limited BSE Limited
7 Lyons Range Phiroze Jeejeebhoy Towers
Kolkata -700 00 I Dalal Street, Mumbai -400 00 I
CSE Scrip Code: 15060 & 10015060 BSE Scrip Code: 500086
The Secretary -
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot no. C/1, G Block
Bandra-Kurla Complex, Sandra (E),
Mumbai -400 051
NSE Symbol: EXIDEIND
Sub: Transcript of the Earnings Call of Q2 FY 2025-26
Dear Sir/Madam,
This is in furtherance to our letter dated 17th November 2025 wherein the Company had submitted the I ink of the audio recording of the Earnings Call held for Q2 FY 25-26 business update.
Pursuant to the Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requireme nts), Regulations 2015, please find enclosed the transcript of the said earnings call, for your information and records.
The transcript of the earnings call is also available on the Company's website at https://www.exideindl1Stries .com/investors/earnin■s-call.aspx.
We request you to kindly take the same on record.
Thanking you.
Yours faithfully,
For Exide Industries Limited
Jitendra Kumar
Company Secretary and
President-Legal & Corporate Affairs
ACS No. 11159
Encl: as above
Exide Industries Limited, Exide House, 59E Chowringhee Road, Kolkata-700 020
Phone : (033) 2302-3400, 2283-2171, 2283-2118
e-mail : exideindustrieslimited@exide.co.in, www.exideindustries.com
CIN: L31402WB1947PLC0149 19

“Exide Industries Limited
Q2 FY '26 Earnings Conference Call ”
November 17, 2025

.

MANAGEMENT : M R. AVIK ROY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – EXIDE INDUSTRIES LIMITED
MR. MANOJ KUMAR AGARWAL – DIRECTOR FINANCE AND CHIEF FINANCIAL OFFICER – EXIDE INDUSTRIES LIMITED
MR. PRAVIN SARAF – EXECUTIVE DIRECTOR – EXIDE INDUSTRIES LIMITED
MR. JITENDRA KUMAR – PRESIDENT (LEGAL & CORP. AFFAIRS) & COMPANY SECRETARY – EXIDE INDUSTRIES LIMITED

MODERATOR : M R. ADITYA JHAWAR – INVESTEC CAPITAL SERVICES INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Exide Industries Q2 FY '26 Earnings
Conference Call hosted by Investec. As a reminder, all participant line s will be in the listen -only
mode , and there will be an opportunity for you to ask question after the presentation concludes.
Should you need assistance during this conference call, please signal an operator by pressing
star then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Aditya Jhawar from Investec. Thank you, and over to
you, sir.
Aditya Jhawar: Thank you. Good afternoon to you all. From Exide Industries, we have with us MD and CEO,
Mr. Avik Roy; Director, Finance and CFO, Mr. Manoj Kumar Agarwal; Pravin Saraf, Executive
Director and President and Company Secretary, Mr. Jitendra Kumar. Before we proceed, here is
a disclaimer for all.
We have a few statements by the compan y management in the call may be forward -looking in
nature, and we request you to refer to the disclaimer in the earnings presentation for further
details. We will start the call with a brief opening remarks from the management followed by
Q&A. I would now like to invite Mr. Avik Roy for opening remarks. Thank you, and over to you, sir.
Avik Roy: Thank you, Aditya. Good afternoon, ladies and gentlemen, and a warm welcome to you to the Exide earnings call.
At the outset, let me inform you and welcome Mr. Prav in Saraf and Mr.
Rajeev Khandelwal, who were inducted to the Board of Directors as Executive Directors
effective 1st of September 2025. Both Pravin and Raj eev bring vast wealth of experience in their
respective domain, which will add value to the next level of growth of Exide.
Pravin has been responsible for the entire operations of Exide since last 1 year, and Raj eev looks
after the entire B2C trade business of the company since last 1 year. As the moderator informed you, Pravin is also attending
this con call. Even before I talk about the key highlights of our
performance for H1 of financial year '26, I would like to talk about the positive news for our
industry that has happened during the year, which is that of GST 2.0 reform.
Reduction in GST rates f or almost all the segments in the auto industry is expected to drive
demand for the industry. The GST rate on batteries were reduced from 28% to 18% effective 22nd September and for solar
combo packs from 12% to 5%. The company is fully aligned to the gove rnment's goal of reducing burden to the end
consumer, and we have passed on the entire
benefit of GST rate reduction to the end consumer during this period.
Now let me talk about the performance of the company during the first half year. Nearly 88% of
our business has grown by about 7%. Within this, aftermarket, automotive, solar and IUPS
continue to contribute to the growth.

Industrial Infrastructure business , excluding telecom, performance has also improved on a year -
on-year basis as order inflow and or der execution picked up in sectors like power, railways,
motive power, etc.
Remaining 12% of the business witnessed a decline in revenues, impacted by a weaker demand
scenario, majorly in businesses like exports, last mile, which is the e-rickshaw busines s and our
telecom business, and I'll come to that a little later on.
The company started the year on a strong note with Q1 registering about 5% growth, but showed
a 2.1% degrowth in Q2, overall resulting in a modest 1.3% growth during H1. Even Q2 started
on a strong note with double -digit growth in trade business in July.
However, we suddenly saw a shift in momentum once the GST rate cuts were announced on 15th of August. Our distributors
and retailers started destocking and postponed their buying in
anticipation of receiving new stocks with upda

ted prices. The company took production cuts in
August and September, the second half of August and the full of September with foc us on cash
management.
Costs were kept in control at the manufacturing side and raw material procurement was kept
under check. We did it consciously to cut down our inventory and build only those goods, which
could be sold in September. As a result, lower production and lower sales impacted our
profitability.
However, it helped us to reduce our inventory to a large extent, and therefore, we generated an incremental cash flow of INR
500 crores plus by efficient working capital management.
Operating profitability was also impacted due to continuous pressure on input material cost. The
company is yet to fully pass on the input material price impact to the market.
We have started in Q1, a big portion was passed on. Remaining we have also started acting on

passing on the input cost to the market. However, once the GST rate cut was announced, we decided that we will put a stop to our price correction of the market because that sends a wrong
signal to the market, we wanted to pass on the entire benefit to the customer.
Going forward, we will see how much input cost inflation we can absorb. And pos sibly in the next quarter, we can think -- at least in quarter 4 beginning, we can think whether we can go ahead -- looking at the input cost, we can go ahead with further correction of the prices.
However, the constant focus on cash management helped in r educing inventory, as I mentioned just now, at the end of September. And between March and September, we have increased our cash by INR 500 crores plus at the end of H1.
On the operational front, the various operational improvement initiatives on cost exce llence and manufacturing technology upgrade that we had taken up and we have been informing to you since last 2 quarters, are showing results.

For example, we have moved a substantial part of our 2-wheeler battery production to Punched Grid Technology. All such initiatives have started delivering results and its full potential will be realized in the coming quarters. Domestic auto replacement demand was robust in H1, and auto OEM demand is expected to see uptick in Q3 as well.
Industrial UPS and solar witne ssed decent growth in demand, though there was a decline in Q2 for solar, but with the GST cuts and GST being brought to 5% and with PM Surya Ghar incentives that are in place, we believe there would be a strong rebound in Q3. October is already an indicat or and first 15 days of November is also indicating to that kind of outcome.
Home UPS remained soft due to an extended monsoon season until August in this year. And home UPS has a double whammy impact because of the extended monsoon and then the GST rate cut announcement . So 3 businesses, solar, home UPS and industrial UPS, these are aspirational in nature.
So this is where the customers deferred their purchase decisions. Whereas in automotive batteries or 2 -wheeler battery aftermarket replacement, we didn 't see that impact so much because it's more of a necessity than aspirational.
Tariff uncertainties have heavily impacted the export business for the second consecutive quarter, as you know. We expect the situation to continue in similar trend until geopolitical
tensions subside. However, as informed to you in the last call, we were making major active
strides to new geographies and new portfolios where our dependence on US and other countries reduce. Those activities are very much in place.
And Q4 onwards, we will report you again, an uptick in the export business because we have found out additional markets, additional portfolios. The trials are over. So from Q4 onwards, we hope that from January onwards, we'll again see a marginal tick -- positive tick on exports and thereby we'll reach a steady state in Q1 of ne

xt year.
One more point I would like to highlight in my opening remarks. Despite the tough macroeconomic environment, our performance has shown signs of resilience. Even when production wa s down, fixed costs were kept under control and raw material procurement was kept under check.
Our balance sheet remains very strong with zero debt and a high cash flow generation. As we enter second half of FY '26, the outlook for the lead acid business r emains positive across most business verticals due to expected uptick in auto OEM demand due to GST reduction. We already see the indicators in our data for October.
Just to give you some color, the retail data for October, a typical growth scenario for a passenger vehicle was -- October was 11% against the H1 growth of 4%. And accordingly, the primary production numbers have also increased as published by SIAM recently for October. Except 2-wheeler, I see in all segments in October, the SIAM primary produc tion data has been up.

But good news is in the retail sales for 2 -wheelers, the growth has been 52% in October, which means there is a huge destocking in the retail channels, which gives us hope that the primary productions will pick up again in Q3. I beli eve that Exide with its advanced product portfolio, pan-India distribution network and a strong brand recall will continue to benefit from the growth opportunities.

Moving on to lithium -ion cell manufacturing project. We have invested about INR 580 crores i n H1 in FY '26 and further INR 65 crores, we have already invested in the month of October. With this, the total equity investments made into Exide Energy, which is our 100% subsidiary, till date stands at INR 3,947 crores. Equipment installation and commissioning works in Exide Energy is nearing completion. The company expects to start production towards the end of FY '26. At this moment, we are going through process validation and sample preparation for some of our customers. Nearly 100% of the utility systems are nearing commissioning.

And we are also meanwhile, engaging with various OEMs of 2-wheeler, 3 -wheeler, 4 -wheeler as well as stationary energy providers across key end customer markets. With this, I close my opening remarks. And ladies and ge ntlemen, I'm happy to take your questions.

Moderator: Thank you very much, sir. First question is from the line of Vibhav Zutshi from JP Morgan. Please go ahead.

Vibhav Zutshi: My first question is on the lithium -ion business. First of all, congrat s on making a project of such big scale to near completion. Regarding the product that you have mentioned that will start in November, could you please provide a sense who are going to be the eventual customers?

Because it looks like you are starting at cy lindrical and prismatic lines. So , they have other OEMs approached us? Have we finalized any of that? And secondly, you know, given that we are close to commissioning, any sense how the margins can look like, maybe not now, but say, a year down the line? Thank you.

Avik Roy: So there are 2 questions. The first one is on the readiness of our lines. So as we mentioned earlier also Vibhav, that we will be starting with our first line, which is basically for 2 -wheeler application. This is the NCM line, with cylindrical cells, which we will be commissioning first. And we are talking to large OEMs for the offtake already.

This will be for 2-wheeler OEMs, I would not like to name them at this point. So they are going to be the first customers of us. So we are preparing samples for them. We are first validating our process. The process is under stabilization.

It's a very, very complicated process of electrode making and then formation. So that process is ongoing. And after that, we will give them the sam ples for their own validation. And mostly these two good OEMs for 2-wheeler will be our fi

rst customer. We are hopeful. So that's the first line.

The second line that will possibly come online is the prismatic line with LFP. The installation commissio ning of that line is almost over. So we will very shortly start our process validation and then same process of homologation. That product is generally targeted towards stationary applications at this moment. We have some customer engagement and we have so me customer interest to go with us. And these are the first two lines.

And then coming back to the Line 2 and Line 4, obviously, as Line 1 gets fully utilized, we will shift load to Line 2 also. So that is the plan. That is the sequence we will be following. Regarding the margins, I have been telling you that it's not the right time to talk about margins. What we are focused on is utilization. We want to ramp up the utilization to 60%, 70%, 80%.

And then at 80% or 90% utilization level, we'll definitely d o our mathematics one more time. But if you look at global benchmarks, that's the only benchmark available. In India, we do not have an industry benchmark on this. But if you look at global benchmark, I think on a steady - state level, the margins will still be similar to our current lead acid margins. That's our aim.

Vibhav Zutshi: Okay. Got it. So just a follow -up, when you say that two big 2 -wheeler OEMs could be the first customer. So given that with Hyundai, we have a binding MOU now, so are we kind of i n that similar process with the 2 -wheeler OEMs as well? Or that is something which is going to come next once the sampling work is done?

Avik Roy: So, no. I mean that I will not be able to tell you, but even the Hyundai agreement, if you recall, it was not us who made it public, it was Hyundai who made it. Otherwise, I'm not in favou r of making this information public because we signed nondisclosure agreement. And then next day, we go for a press release.

Somehow, we didn't want to come to the public domain because a lot of activities happen in parallel. It's not just a purchase order comes and you start supplying from next day. It's a co-development with OEM s, if you are on a particular platform, you're co-developing a product for a substantial amount of time. And they don't co- develop with 10 other manufacturers . So it's not possible. So if that answers your question.

Vibhav Zutshi: No, that is very helpful. Thank you. The second question is on the core business. Just curious on why such a sharp production cut was carried out. And obviously, because your peer posted a decent 8% top line growth. So when you say that consciously this was cut, is it demand which

is just deferred?
And are we confident that 3Q could be strong? Because just asking, sir, bec ause now it's been 6 -- 5 to 6 quarters of low single -digit growth for the overall company. So just wanted to get a sense on if you see that now we can go back to double -digit growth going forward.
Avik Roy: Let me not comment on the competitors. But we ha ve some businesses where we were very strong, where we had competitive advantage in terms of portfolio and market. Those businesses in this quarter did not grow. For example, inverter batteries and solar. They were heavily impacted both by extended monsoon as well as the announcement of GST 2.0.

Some other competitors have less dependence on this business portfolio. Automotive business, as you know, that we have grown very strongly. In 4-wheeler, 2 -wheeler, both put together, we grew by almost double -digit, very high single -digit in this quarter, which I believe was higher than what competitors reported.
So it is a mix that in some quarters work in favor of us. And in some quarter, it does not favor us. And in this case, the biggest businesses which were im pacted, which is almo

st 1/3 of our
business is the solar business and the inverter.
Just to give you a sense, Vibhav, in Q1, one number I can share with you. In Q1, solar was the highest growing. If you look at my public disclosures, solar business grew b y 35%. And in Q2
suddenly went to minus 5%. Now the market has not crashed, right? Neither our position in the market has crashed.
So from 35% in Q1 to minus 5% in Q2, you can imagine that this is a onetime hit which we had to take because of the circumstances. And I'm very confident that in Q3, all these pent-up demands or the deferred purchase decisions will come back and we will boun ce back because the demand is there. That shows up in my Q1 performance. This is just an example of how the mix played a role.
Moderator: Thank you. Next question is from the line of
Kapil Singh from Nomura. Please go ahead.
Kapil Singh: My question is on the lithium -ion business. Just wanted to understand how are you approaching pricing of the cells? Will it be at import parity? Or will it be cost plus? And the second thing is, when you talked about margins being in line with lead acid business, we know there is a wide variation between aftermarket and OEM. So is it in line with the OEM margins or with the aftermarket? Or should we look at the average?
Avik Roy: Thank you, Kapil. The first question is on pricing of the cells . pricing of the cells , obviously, will be a mix of both, depending on how we end up into negotiation with the customers. Of course, we expect that the customer to give value to " Make in India " cells over import Chinese cells. right?
We also hope that the gov ernment will structure the imports in a way that it promotes local manufacturing of cells as well because people have put up such heavy investments. So I think it's a mix of both. With geopolitics setting in and a lot of uncertainties in supplies, I'm sure the OEMs will prefer locally made cells.
You know very well that generally, the OEMs work on just -in-time inventory. And with Chinese imports, you have to have minimum 2 to 3 months of inventory in your stock, which has its own risk of price volatility as well as storage and quality issues.
Secondly, I would also like to assume that with the " Make in India " cell, the handling of quality, technology development, quality improvement, will become much more easier vis-a-vis dealing with an import vendor, say a Chinese vendor and dealing with quality issues, we have ourselves seen how complicated it is and how difficult it is.

So for ease of doing business, I'm sure we'll get a value from the OEMs as a local source. Now what will be the pricing? It's a matter of negotiation. In some cases, import landed or some cases, cost plus, we'll have to come to an agreement. But so far, whatever traction we have seen in the 2-wheeler market, at least, we see a huge interest for the local OEMs. T hey are doing very well
and they want to shift to local cell whenever we are ready for supply.
The second question is on margins in lead acid business . I mean, one thing you have to understand that this business is largely OEM, B2B business. This is not an aftermarket business.

So somewhere between -- and just to inform you, even OEM business for us, the margins are also improving.
I will let you know because we are also taking price corrections from the OEMs. So it will be somewhere in between the lead acid OEM and the aftermark et lead acid, I would say. So this is our internal calculation. We'll see as it comes.
The trick lies in operational efficiency and sourcing. Once we ramp up and fortunately, we have good collaboration with our principal partner, SVOLT, we have been abl e to access raw material at scale from reliable suppliers. So that's one lever.
And the second lever, which is most important, and that is basically operational

efficiency. The faster you improve your yield and reduce your wastages, that is a clear lever f or improving your profitability. This is one advantage I would like to say we will get as an early mover .
At least we have 18 to 24 months of additional learning curve to improve our yield and reduce our wastages . We are heavily banking on this, becaus e this will give us immense competitive
advantage in the market. Thank you, Kapil.
Kapil Singh: And sir, the other question was on lead acid. Can you just talk about what is your expectation of the replacement market growth? And we are seeing some more inflation in lead. So can we
expect in the near -term because you've not done a price hike, there can be more margin
pressure s?
Avik Roy: No. We have taken price hike this year a number of times. We only stopped after 22nd of September or 1st of September after the GST announcement was made. Before that, we have taken multiple rounds of price hike, which we wanted to pass on. In the replacement market, Kapil, our growth for subsequent two quarters were all strong double -digit. In 4-wheeler, we are still double -digit. This must be news to you.
But as I see the numbers in front of me, both 4-wheeler and 2 -wheeler at around 10% to 11% in Q2. And on a half year level, I would say it's 12% and 11%. So you see the aftermarket replacement growth is quite strong.
What was not growing in H1 was the automotive OEM market, as you know. But now – as I have just mentioned , the October numbers of OEMs. We feel H2, the OEM growth will be good, and I would say, robust. And therefore, this gives me confidence that 2 years down the line, my aftermarket demand will also boom.

With this GST card, whatever new vehicles are b eing sold, I'm sure this is giving a new life. Last time we got it during post-COVID period, if you recall. And now this GST would lead us to an aftermarket boom 2 years down the line. We are quite hopeful about it.
Moderator: Thank you. Next question is f rom the line of Sangeeta Purushottam from Cogito. Please go ahead.
Sangeeta Purushottam: Can you hear me?
Avik Roy: Yes, please Sangeeta.
Sangeeta Purushottam: What I wanted to understand was that , you know, in the lead -- in the lithium -ion business, is the replacement cycle of the batteries going to be longer than what we find in the lead acid battery? And therefore, in a sense, would the lifetime sales over the ownership period of a vehicle be lower than what we have in the lead acid battery? That's question one.
The second, I wanted to understand was that given the automation process improvements, etc. , that we are undertaking, is there a chance that our core margins on the lead acid batteries are likely to see any significant improvement going forward ? And also with improvement in the sales outlook, is there any operating leverage which can come into play?
Avik Roy: Thank you, Sangeeta. I think both the questions are very valid. So as I mentioned, lithium -ion business, primarily in EV, it's a B2B business, OEM business. For the simple reason, the life of the battery is more than the life of the car in general, at least the first life, I'm saying. So this is -- I'm talking about pass enger vehicles and all other commercial vehicles.
But it has an aftermarket opportunity in 2-wheelers and 3 -wheelers because of the applications because those are used for a lot of commercial purposes within the city shuttling. They run much more and ther e is an opportunity for aftermarket as we see in 2 -wheeler and 3 -wheeler.
But in terms of passenger vehicle and commercial vehicles, I would rather say that it's the OEM business. But the size of the battery is also not like lead acid. In lead acid, a bat tery is used only for starting and lighting and ignition. Whereas in lithium -ion, it's the entire engine, right? It's the entire engin

e of the car.
So therefore, the size of the market is also so big. Car-to-battery ratio completely changes in electric vehicles. So , the market itself is going to unit piece market rate is going to be very high.

And we also feel that this is so nascent in India, and the baseline is so low. Every OEM is coming out with -- you'll be happy to note that in the last 12 months, almost 10 new models have been announced by the Indian OEMs. So, these are the things.
This is not the speed at which maybe lead ICE engines models will be announced in the future. So that throws up a huge opportunity for us in the OEM segment . So that the aftermarket cycle is far, far bigger than lithium and lead acid because of the nature of the technology.

On the core business margin, the question you asked, you are absolutely right. And we have been running these projects for the last 1 year on various automation and the kind of productivity we are seeing in the motorcycle, in commercial vehicles, wherever we have invested.
I think we have gone public by announcing -- I think it's still there in the annual report as well that we have invested half of our motorcycle capacity to Punched Grid and the balance half is being invested this year, which means by end of December calendar year, our full motorcycle manufacturing will move to P unched Grid technology.
This has multiple leverages on cost side, material cost, labor cost as well as quality. So similarly, we have invested into continuous casting. This is another manufacturing technology where we are using our 4-wheeler batteries, wh ich also gives us -- apart from giving savings, giving us huge confidence in the quality of the output and thereby will impact our future warranty returns.
So we have invested and this year also, we are investing as we speak. T here are multiple automation initiatives, which Pravin Saraf, our new Executive Director, who is sitting with me, is running . He has come from a completely different environment. He work ed with Bosch, and he brings his knowledge to the table for us.
And we are taking his help in cha nging the manufacturing landscape of Exide, Some of this gives us operating leverage, of course. Competitiveness gives us the leverage and some of it will also help us to improve our margins.
Moderator: Thank you. Next question is from the line of Kapil Singh from Nomura. Please go ahead.
Avik Roy: I think Kapil just now answered -- asked the question.
Kapil Singh : Yes, sir. Actually, I came back in the queue. Just wanted to understand the solar business better. Last time you had talked about a pret ty big potential over there because of the regulations which were coming in. If you can give us an update how the outlook is progressing for that business. And in terms of technology, will this be lithium -ion only or lead acid also has applications over here?
Avik Roy: So first is, let me tell you about the market environment, Kapil. There are two types of solar. One is which is residential and commercial, which we see on rooftops. And the other one is grid scale solar, which is put up by large utilities an d power transmission companies. Now , their drivers are different.
The driver for grid scale solar plant by power utilities is a function of the renewable target that government has taken around 600 gigawatt by 2030. So , that is the driver for that . And there are a lot of outlets that are taking place. On the commercial and residential part, where we are more aggressively involved because that's our domain.
It's basically the PM Surya Ghar Yojana, which was announced 12 months back or 12 -- 14 months back , I think during last year's Independence Day speech, -- the government has decided

to electrify some 1 crore villages in the country through some subsid

ies. And -- they will also
get the subsidy provided a part of the content are manufactured or sour ced locally in India.
So this all put together, our solar business has really ramped up. They have also ramped up to the opportunity. We have put in a separate vertical in place last year with the new team. And the good part is that we have our existing c hannel network of batteries. So our reach in the country is phenomenal.
So very quickly, we could also reach out to the potential adjacent markets of solar rooftop as well as other solar applications, which is deregulated in the commercial, industrial space as well as in the residential space.
This franchise has reached -- I think last year, they reached about
INR800 crores very quickly.
And this year, they have plans to cross INR 1,000 crores. So we are really looking forward that 2 to 3 years' time, we wan t to make this franchise about INR 1,500 crores so -- and cash in on

the opportunity that the country is providing.
On top of that, the third lever is, as you must have seen, this month, government has reduced the GST for solar combo packs, means solar bat tery plus panel plus inverter, these combo packs from 12% to 5%. So on one hand, you have PM Surya Ghar.
On the other hand, you have our channel network to reach out and the portfolio that we have.
And lastly, you have the support from the GST. So, all this put together gives us a feeling that we'll be able to scale up this solar business very quickly to our aspiration levels.
Kapil Singh: Sir, just in terms of technology, this will be lithium -ion or lead acid also has some application here?
Avik Roy: This is the second question. Sorry, I missed out. See, the main purpose or main strength of lithium -ion batteries , is lower footprint because of high energy density and fast charging. For us, end consumer, these are the two values, fast charging and higher current density, therefore, lower footprint.
For solar installation, unfortunately, footprint is for battery is not so much of an issue because footprint is decided by solar panels, not by batteries. You see what I mean? And also, since it's a backup power application, the fast charging is not as relevant as possibly EV. So the two values or the two real value that lithium -ion brings on the table are not so relevant.
Does it mean in future, there won't be products for solar? Of course, somebody can come out with a fancy solar product. But at this moment, the use case does not demand the lithium -ion.
So we see, particularly in rural, we see that people are quite comfortable with lead acid and the solar panel and inverter. And yes, I mean, the business is growing .
Kapil Singh: Okay, great. Thank you so much.
Avik Roy: At the same time, on the lithium -ion side portfolio development also, we are not exactly focusing on solar as a priority because we know that it will take time, if at all.

Moderator: Thank you. Next question is from the line of Aditya Jhawar from Investec. Please go ahead.
Aditya Jhawar: Sir, on our base business profitability, historically, we have had a margin of about 13.5%, 14% consistently. But now the margin trajectory has come off quite a bit. Now looking at the projects that we are executing, like the segregating the company into B2B, B2C, the tech upgrade, cost savings, by when should we expect that the margin trajectory should go back to the earlier levels? If you can talk specifically on the margin drivers that you are seeing in the near future?
Avik Roy: So thank you, Aditya. I mean I would recommend that you do not consider this Q2 margins as a reference margin because in Q1 itself, if you go back , we have done 12% plus, that too in a very high lead environment. What you refer to 13.5% to 14.5% in the past, you will recall that time, the lead LME was far, at least 20% to 30% lower t

han what it is today.
Today, lead is hovering at a very, very high level. The forex was those days, INR 80. Today, it is INR90. If you look at those delta. So even in this delta, why we are still surviving and we are able to deliver double -digit EBITDA is only because of our cos t efficiency, cost excellence projects and our manufacturing technology and those kind of investments which we made.
Going forward, we still feel that in coming quarters, though we do not give a guidance, but I feel we will be substantially able to demo nstrate our margins, plus 12% to plus 13%. That's the corridor what we are looking at. We have a track record of doing it. We only hope lead remains at the current level, and we should be able to do it once the volume -- once the top line growth comes back .
Aditya Jhawar: Yes. Sure, sir. The next question is on the lithium -ion business. So with the recent restriction imposed by China on the export of rare earth magnets, equipment for lithium -ion as well as lithium -ion, are we seeing some challenges in commercialization of our lithium -ion cell facility, sir?
Avik Roy: Sir, as many of you know, the announcement, the notification was on 3 areas. One is technology know -how. The other one was equipment machinery, manufacturing machineries and third one was on raw material. Now regarding the first two , as you know, we are already with all the machineries and we have already received the know -how. We are lucky.
On the third , raw material, as you know, they have already announced , , they have relaxed -- delayed the import restriction by 1 year, to November '26. So until November '26, we should not worry. And after November '26, even the whole world doesn't know how the world will look like in terms of volatility and geopolitics.
So there is a reason why they put up in 9th August, they announced this restriction. And in 1 month’s time , they withdraw it or 2 months ’ time, they withdraw and delay ed it by 1 year time. So it has to do with geopolitics. This is our belief. So we have spoken to all our material suppliers. They are not expecting any impact so far.

In fact, they are also thinking there will be off and on restrictions. Restriction, by the way, it
means additional approvals. It does not mean stoppage. It means addi tional approvals somebody

has to go through. So we have spoken to all our raw material suppliers, and they feel that it's
possible to do business by taking these approvals in advance.
And -- in any case, they are waiting until November '26, which is anot her 12 months from now.
But we are lucky, Aditya, that we got all our equipment and all our know -how before all the
geopolitics started.
Moderator: Thank you. Next question is from the line of Raghunandhan NL from Nuvama Research. Please
go ahead. Mr. Ragh unandhan, your line is unmuted. Please go ahead with your question.
Raghunandhan NL: Sir, we have been hearing of costs relating to EPR or extended producer responsibility. Can you
indicate whether any such costs were factored in Q2 results? Your other expenses seem to be
higher compared to normal levels?
Avik Roy: Yes. A good observation, Raghunandhan. You know, we had to comply with the new battery
waste management regulations, which was not there last year or the year before last. And yes,
we had made accruals to fulfill the obligations in quarter 2. You're right. But I would not like to
give you a number at this moment because this does not require disclosures. But you are right,
we have made some accruals in Q2.
Raghunandhan NL : I understand, sir. But would it be like more of a onetime provision and on a regular basis, the
cost required will be much lower? And by when would you comply with the provision?
Avik Roy: You can't say onetime because now this is the order of the day. What we have done is tha t we
have regularized wh

atever backlog was there. But going forward, this is becoming a cost for us, regular cost. And the only solution for this
because we -- why are we doing this? We are doing
this or the government is doing this to encourage circularit y in the system for the environment,
for the benefit of the society.
So we firmly believe that at some point of time, we should be able to pass on this increase to the
product and customers who are buying a 100% recycled product from a customer -- from a
manufacturer should be able to give that X percentage premium once we market it as a 100% recycled. This has happened
with other commodities, as you know, this has happened across the
world. And at some point, we feel that this cost has to be factored in t he product price.
Raghunandhan NL : Thank you for that, sir. And on the lithium side, so can you indicate for the first year, would you
be able to achieve utilization ramp -up of 30%? Or can it be much higher if you get enough
orders? And over the next 1 yea r, would you further take up your investments to INR 5,000-odd
crores, which was the initially planned Phase 1 of the investment?
Avik Roy: Yes. So two questions. First is utilization. You are right. As I said, the first objective is to
commission Line 1 out of 4 lines. So roughly, you can say it will be 25% utilization. And going
forward, if I do at least a portion of Line 3 in the same fiscal year, then it will be more than that.
So it's close to the number which you mentioned. So that will be good enough in terms of
polishing our hands.

Because we'll have -- the biggest learning curve that we are having is that we have multiple
chemistries and multiple form factors. So we need to polish our hands in both the technologies.
So Line 1 and Line 3 running helps us to do that. And yes, that will be roughly the utilization
that you said. The second question was...
Management: Will we reach INR 5,000 crores?
Avik Roy: So this is the second phase investment. Now we will just complete first round Phase 1 of 6
gigawatt hours. We have been the pioneer. We have been the first mover. We'll see how the
market adoption takes place. The land which we have purchased, we have purchased for 12-
gigawatt hour.
The utilities, what we have invested is for 12 gigawatt hours. Only the shed and machine we
have installed for 6 -gigawatt hour. So we can very quickly ramp up at much lesser cost, means
the Phase 2 investment will not be same as Phase 1 investment. It will be much lesser.
But we should be able to do it once we see a faster adoption in the country, which we are hopeful
with stationary requirement in BESS coming up so fast, I feel that in a year or 2, we'll have a
much better visib ility of the adoption, and we'll take a call after that. But till such time, our focus

is to run this 6-gigawatt hour plant efficiently.
Moderator: Thank you. Next question is from the line of Ashish Jain from Macquarie. Please go ahead.
Ashish Jain: Sir, my first question is on the PM Surya Ghar Yojana. Is the battery being installed by rural? Because my understanding was that battery is optional from...
Avik Roy: You're right. You're right. I did not mention battery. Battery is used for off -grid systems. For on-grid systems, it's panel and inverter. We are not only selling batteries. Our combination also includes pure -play solar panels and inverter installation in on -grid systems. So we are working both in on-grid systems and off -grid systems.
Ashish Jain: No, no, sir. So , my question was like -- so do we see battery installations as a big opportunity at least on the resi dence side driven by...
Avik Roy: Yes, yes. Because there's a huge off -grid market, and there, the GST has been brought down to 5%.
Moderator: Thank you. Ladies and gentlemen, we'll take this as the last question for the day. I would now like to hand the con

ference over to the management for the closing comments.
Avik Roy: So thank you, ladies and gentlemen. It was really a pleasure to have this conversation with all of you. I hope we have been able to answer all your questions satisfactorily. If you have any further questions or if you would like to know more about the company, we would be happy to be of assistance. Please get in touch with us or with Investec as you please. Over to the moderator.
Moderator: Thank you, sir. On behalf of Investec, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2026

Ref no.: EIL/SEC/2025-26/69
09th February 2026
The Secretary
The Calcutta Stock Exchange Limited
7 Lyons Range &EXIDE
The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers
Kolkata -700 00 I Dalal Street, Mumbai -400 00 I
CSE Scrip Code: 15060 & 10015060 BSE Scrip Code: 500086
The Secretary -
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot no. C/1, G Block
Bandra-Kurla Complex, Sandra (E),
Mumbai - 400 051
NSE Symbol: EXIDEIND
Sub: Transcript of the Earnings Call of Q3 FY 2025-26
Dear Sir/Madam, .
This is in furtherance to our letter dated 03rd February 2026 wherein the Company had submitted the link of the audio recording of the Earnings Call held for Q3 FY 25-26 business update.
Pursuant to the Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the transcript of the said earnings call, for your information and records.
The transcript of the earnings call is also available on the Company's website at https://www .ex idei ndustries.com/i nvestors/earn i ngs-cal I .aspx.
We request you to kindly take the same on record.
Thanking you.
Yours faithfully,
For Exide Industries Limited
Jitendra Kumar
Company Secretary and
President- Legal & Corporate Affairs
ACS No. 11159
Encl: as above
Exide Industries Limited, Exide House, 59E Chowringhee Road, Kolkata-700 020
Phone: (033) 2302-3400, 2283-2171, 2283-2118
e-mail : exideindustrieslimited@exide.co.in, www.exideindustries.com
CIN: L31402WB1947PLC014919

"Exide Industries Limited
Q3 FY26 Earnings Conference Call "
February 03 , 202 6

.

MANAGEMENT : M R. AVIK ROY – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER –EXIDE INDUSTRIES LIMITED
MR. MANOJ KUMAR AGARWAL – DIRECTOR FINANCE AND CHIEF FINANCIAL OFFICER – EXIDE INDUSTRIES LIMITED
MR. PRAVIN SARAF – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – EXIDE ENERGY SOLUTIONS
MR. JITENDRA KUMAR – PRESIDENT OF LEGAL AND CORPORATE AFFAIRS AND COMPANY SECRETARY – EXIDE INDUSTRIES LIMITED

MODERATOR : M R. ADITYA JHAWAR – INVESTEC CAPITAL SERVICES INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Exide Industries Q3 FY '26 Earnings Conference Call hosted by Investec Capital Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that thi s conference is being recorded.

I now hand over the conference to Mr. Aditya Jhawar from Investec Capital. Thank you and over to you, sir.

Aditya Jhawar: Yes. Thank you. Good afternoon to you all. From Exide Industries, we have with us MD and CEO, Mr. Avik Roy, Director Finance and CFO, Mr. Manoj Kumar Agarwal; Mr. Pravin Saraf, MD and CEO of Exide Energy Solutions; President of Legal and Corporate Affairs and Company Secretary, Mr. Jitendra Kumar. Before we proceed, here is a disclaimer for the call. Few statements by the company's management in the call may be forward -looking in nature, and we request you to refer to the disclaimer in the earnings presentation for de tails. We will start the call with a brief opening remark from the management, followed by Q&A session. I would now like to invite Mr. Avik Roy for the opening remarks. Thank you and over to you, sir.

Avik Roy: Good afternoon, Ladies and Gentlemen, and a w arm welcome to you all to the Exide earnings call. At the outset, let me congratulate Mr. Pravin Saraf who has been appointed as MD & CEO of Exide Energy Solutions Limited, the wholly owned subsidiary company of Exide. You are already aware of Pravin’s credentials and expertise, which is there in public domain.

Before I take you through the key highlights of our performance for Q3 and 9M FY 2026, I would like to reiterate the positive news for our industry – the GST 2.0 reforms towards the end of Q2. Reduction in GST rates drove demand across multiple segments of the Company in Q3. The Company remained fully aligned to the Government’s goal of reducing burden to the end-consumer.

Therefore, in Q3 despite commodity prices heating up, we decided not to t ake price correction for the end consumer ’s benefit. The overall macroeconomic scenario in Q3 was positive, driven by low inflation rate, low repo rates etc., all contributing to increased purchasing power of the end customer.

Coming to the performance of the company during Q3, nearly 92% of the business has grown by around 12% on the top line. Within this, Auto OEM, Auto Aftermarket, Industrial Infra and the Inverters continue to contribute to good growth. Industrial Infra performance improved year -on-yea r basis as order flow and execution picked up in B2B sectors like Railway s, Traction and Industrial UPS for OEMs.

The headline growth numbers still remain muted because 8% of the remaining businesses had a strong decline, namely our telecom business as we ll as the exports business. This led to a total of around 5% year -on-year sales growth during the quarter. And this was the first ever Q3, which is supposed to be our smallest quarter, where we crossed our top line of INR 4,000 crores. Our domestic growth ex telecom is at 10%.

In Q3, the company ramped up production, leading to higher capacity utilization and positive impact on the bottom line from Q2 levels . Cost pressures continued due to increase in raw material prices, especially the metals we use for our alloys, silver, tin, copper and sulfur for sulfuric acid. They were at near their all -time highs. Weakening of rupee against dollar added further pressure to the input costs.

However, all our cost excellence projects helped improve the gross margin by 175 basis points on a sequential quarter basis. Despite this, the company was able to maintain the year -on-year EBITDA margin at 11.7% for Q3, buoyed by strong volume growth, improved product mix, better realization and b enefits accruing from the various cost excellence projects.

All the above efforts have resulted in expanding the EBITDA margin on a sequential quarter basis by 220 basis points. Our adjusted pretax profit s, if I take out the onetime impact of both last ye ar's quarter 3 and this year's quarter 3 is at plus 12.8%.

Auto OEM and Domestic 2W/4W replacement demand was robust - both these verticals hit their highest ever quarterly revenue in Q3. Auto OEM was up +25% YoY, while 2W/4W replacement

market continued its double -digit growth. T his momentum is expected to spill over into Q4 as well.
Home inverters and S olar verticals returned to growth trajectory after the extended monsoon and the GST -led slowdown in Q2. Industrial Infra continued to deliver double -digi t growth on a year-on-year basis. Tariff uncertainties and geopolitical tensions continue to impact the exports business and is still a work in progress. We expect the situation to continue in similar trend in Q4. Given the announcements which we heard las t night, it only gives us more hope that those markets, where we were struggling due to tariff barriers, will open up.
As we enter the last quarter of FY '26, the outlook for the lead acid business remains positive across most business verticals due to up tick in automotive OEM demand, growing aftermarket demand, drive for solar energy and rising power backup demand from customers.
Some of you may have noticed, this quarter, we have just launched AGM batteries for premium passenger vehicles. We'll soon be announcing launch of our Ultra and PowerBox range of inverter batteries, catering to premium and economy segments as well as well as S olar Grid-Tie Inverters.
In addition, we have also supported Tata Sierra Petrol model and the new domestic Kia S eltos model as 100% supplier to these 2 SKUs of our customers. I'm told both both these models are doing very well in the market. I believe that Exide, with its advanced product portfolio, pan-

India distribution network and strong brand recall will continu e to benefit from growth opportunities.
Moving on to the lithium -ion cell manufacturing project. We have invested about INR 320 crores in Q3 and further INR 50 crores in January. With this, the total equity investment made in Exide Energy till date stands a t INR4,252 crores. Product validation from the cylindrical cell line is ongoing, which is meant for 2- wheelers, while installation and commissioning is nearing completion in the other lines. Meanwhile, the company continues to engage with various OEMs for 2-wheeler, 3 -wheeler and 4 -wheeler and stationary energy providers across key end markets.
With this, I close my opening remarks. I'll be happy to take your questions now. Thank you.
Moderator: Thank you very much. W e will now begin the question and answe r session. The first question is from the line of Siddhartha from Nomura. Please go ahead.
Siddhartha: Sir, first question is on the industrial side of the business. If you can sort of give some more breakup about what percentage of our total revenues will be coming from telecom, solar, and also on the export side, given that some of these segments have faced challenges? And by when do you think we sort of see the weakness bottoming out and probably growth coming back? And second, on the export side also, a gain, I think you highlighted that we also faced some tariff -linked challenges. Which are these countries where you are sort of facing the challenge and how big they are in our exports?
Avik Roy: So thank you for the question. So to answer the first question, see, today, as we speak, telecom and exports, these contribute to about 7% to 8% of our turnover. It used to be very h

igh. Once upon a time, telecom used to be alone 10% when there was a boom of 5G rollout and things like that. But now the technology has shifted to lithium -ion and therefore, the lead acid volumes in telecom have come down as a share of business. So this is a business which is declining because there is a technology shift.
Exports, right now is about 5% to 6% of our total business. It used to be 8% a few quarters back. And this is basically due to some of the markets, we just simply had to reduce our supplies because of all this geopolitical tension. We know some of our Central Asian markets, were impacted because of the geopolitics. And we developed certain products, some premium products for the developed markets like U.S. and Europe, which didn't pick up because of the tariff barriers. But with the announcements what we heard yesterday, we know that, yes, our customers, our distributors are ready. Our product is ready. We can very soon ramp up those supplies once we see the final details of the new tariff announcements.
You wanted to know how much is the industrial part of the business?
I can tell you in qua rter 3, the industrial UPS business has grown by about 13%, both trade and OEM put together. Solar has also grown single digit, but solar had a negative growth in quarter 2. So they have at least come back, I can see. On a 9 -month basis, solar is still at 12%. Railways and Motive Power, they are doing extremely well. They have both grown double digit.

So Infra business, if I take telecom away, is still at double -digit growth. And regarding exports, as I said, a few quarters back last year, we developed and homologated a lot of new premium products for Western market for both Europe and U.S., but the sales did not pick up immediately because of the uncertainties. But now it has bottomed out, I would like to feel so, because we have also found out new partner s and new geographies in the meantime. And actually, this tariff -led disruption helped us to find out new countries and new partners, new distributors in other parts. And in Europe, we found out a new partner with whom we have an exclusive arrangement, which we might make public very soon.

And in U.S., also with this announcement of yesterday, I think this is a great boost for us, and this makes the team energetic because the products were just waiting to be exported. We'll find out a way to increase the exports. Next year's budget of exports looks quite robust, particularly because of the low base of this year. And there will be substantial incremental growth coming from exports. Thank you.

Siddhartha : Got it, sir. Two follow -ups, solar contribution of the revenues also, if you can highlight? And second is on the commodity side. I think last few quarters, we continuously have been seeing a consistent increase in commodity costs, which is why we have been operating at a sort of lower gross margin?

So currently, if you can elaborate a bit more how and what percentage of costs are yet to get passed on? And if we have taken any price hike till date in the current quarter? And if you can also highlight for nex t year, what is the margin range you are targeting to achieve, given the cost pressure we are seeing in the near term?

Avik Roy: Thank you. So solar at this moment is 4% to 5% of our total revenue. So that's to answer your first question. Secondly, regardi ng commodit y prices, in last previous couple of quarters, we have talked about antimony shooting through the roof and antimony alloy, which we largely use in our t ubular batteries, they went from $11,000 to $66,000 a ton.

That has softened up in Q3. That has come down to about, let's say, $35,000 - $33,000 as we speak. But still year -on-year, it is 3x, right? Say, it is no longer 6x, but 3x. So on a Q -on-Q, this has come down. But as luck would have it, tin has gone up,

I'm saying sequential quarter. Silve r has gone up by 50%. You all know this. And January is even higher than Q3, except for the recent fall what you saw in a couple of days. Tin has moved plus 12%, sulfur has moved plus 40%, and copper has moved plus 13%. So these are the essential commoditi es, which we use for our battery manufacturing for alloys as well as for making sulfuric acid. They got a big hit in Q3. And that has been further weakened by the about 6%, 7% increase sequentially on rupee versus USD.

So the cost savings, they came in very handy. And that's why on a sequential basis, you see an improvement of the gross margin by 175 basis points. We have not taken any price correction in Q3, as I mentioned in my opening remarks, particularly because we wanted to pass on the entire benefit of the GST reduction to the end customer.

So we had to absorb a bit of it. Some of the increases, we offset it through the cost savings initiatives. But in January, we have taken one round of price correction, we had to take because otherwise, this curre ncy and these commodities were killing us. So we took it in January, and we hope to take stage by stage as the situation develops, we'll see what next to do.

But yes, to answer your question, we have taken a price correction in January because of this commodity other than lead, which is so essential for our battery manufacturing. So yes, I hope I've answered all your questions. Next year's margin, we would not like to give you a guidance. But during the course of conversation, probably you can make out whe re we stand today in terms of EBITDA margin and what is our profit pool. Possibly, we can improve by another 100, 150 basis points next year from where we stand today. That is clearly visible, provided we get some support from LME.

Moderator: The next ques tion is from the line of V inay Singh from Morgan Stanley.

Vinay Singh: First question is, in the presentation, we talk about industrial infrastructure, railway opportunity, data center opportunity. So two questions linked to that. One is that, are we suppl ying to any of these segments today? Could you give percentage of revenue share, if so, we are doing? Like even for industrial, you've given us the growth, but we don't get a sense on what is percentage growth. If you could comment on that?

Second is that , like in telecom, we see that the industry moved away to lithium and that was in a way a disruption to our business. Is there a risk in these segments also that they later move to lithium? So to an extent, the opportunity doesn't come to us or are lithium facilities you are

gearing up for supply to these segments also?
Avik Roy: Okay. Thank you. So industrial business, which is the non-automotive business, comprises to about 30% of the revenue , between, let's say, 30% to 32%. And it used to be 32%, maybe 2 years back. Now with this telecom declining, this is about 30% of the whole business. Now as I said in the opening remarks, other than telecom, we see an uptick in the government spend. We saw it till H1, and we saw it some in Q3 as well.
Our B2B industrial business generally comes at the late cycle of the c apex cycle. So what we are doing right now is basically the end of the previous c apex cycle of the infra spend. And therefore, we see a st rong uptick in railways, industrial UPS, led by data center and also on the forklift equipment, the motive power equipment and of course, industrial UPS for the typical OEM business.
Now, the drivers are different. Railways, as you know, they have now made a policy that they do not wait until the end of life of a battery for replacement. They have made a strict cadence that once it comes to the main workshop for overhauling, whether irrespective of the life of the battery, they change the battery because i t's such a critical equipment for their vehicle --

for the train. So this replacement or overhauling regime has led to increase in tendering activity in railways.

Motive power clearly is a driver of industrial investment as well as e -commerce. This new e-commerce and quick commerce businesses are throwing up a lot of third -party warehouses where you need material handling equipment. And therefore, we are benefiting out of it.
Data centers, you know, I mean, it's written every day in the newspaper, data center is a key component of increase of industrial UPS business. Is it all lead acid? No. There are segments of data centers where it is served through lithium ion. There will be segments of data centers, particularly in the enterprise data centers, where t here will be lead acid.
So it's a mix of both. So we are getting good orders from those. We have a dedicated product in lead acid for data centers, which is called front access. These are high -power batteries, and this can be accessed from the front instead from the top. So this product is picking up pretty well and well appreciated by our customers.
But this data center business has a long gestation period because these have so many approval processes. Norma lly, it takes anything between three to four quarters from zero date to order date because there are multiple consultants, multiple approval processes which are involved.
The only area where possibly we are developing our portfolio in our lithium -ion, and later on we can talk about it, is the BESS. BESS largely will be served through lithium -ion in India because of its footprint issue, where lithium has a much better case than l ead-acid . And therefore, we are developing a cell format in LFP prismatic, particularly with this end market in mind.
Vinay Singh: That is helpful. So for data centers and all, how meaningful are the revenues now? Are they very small? Like you gave this 20% CAGR growth that I believe is for the industry that you would have given?
Avik Roy: Yes. Data center revenue at this momen t, as I said, in a quarter, it will be about, let's say, INR 75 crores to INR 100 crores, only data centers. But the pipeline is very strong. The number of tenders, the number of RFQs that we have received is pretty strong.
Vinay Singh: And sir, just on the lithium side, we earlier talked about one large EV OEM customer and then 2-wheeler customer. What is the progress? When do we actually start to see commercial dispatches fr om you? Is it this year?
Avik Roy: I'll take the first part of the question. We have already told you that 2 of the 4 large OEMs we have been working for quite some time. Our designs and the samples got validated and well accepted by the client. Actually, we delivered more than the specifications in some cases. Now our 2-wheeler, the cyli ndrical line process validation, our internal validation has already started in Bangalore.
And we are now building cells validating it. And next step, we are sending samples to these customers for their own testing. So that process is going on. And the th ird customer has also, meanwhile, started discussion with us. So till last quarter, there were 2, now you can say 2.5 or 3. And the discussions are pretty positive. And the first line, which will be about 1.5 gigawatt,

we don't see a challenge in utilizing it once we are through with all the process validations. I'll

request Pravin, who is sitting with me to give some more color on the time lines.
Pravin Saraf: So like mentioned by Avik, in the cylindrical line, Line 1, the internal validation samples are made and internal validation is in progress . The next step will be to send the samples to customer. What I would like to mention that, we are in a very close interaction with customer. We have a clear clarity what is the expectation of customer. So

tests wh ich have to be done is aligned, and we are closely working with them.
Similarly, for prismatic line, Line 3, one of the line, is almost on the verge of completion of internal acceptance criteria, and we will start next month the sample manufacturing, which will again get internal ly validat ed and then we reach out to our customers. So I will say considerable progress has happened from last time to this quarter. Line 4 will be our last line, so which we are planning to complete the installations and commissi oning by April.
Avik Roy: And the LFP line, the prismatic line, which Pravin just now mentioned, primarily will be used for 3 -wheelers as well as for the E -rickshaw market, again, where the trend is shifting from lead acid to lithium and this is a huge mar ket. We will use the Exide distribution network for that and the service network. And this will be faster to the market because this does not require too much of validation and homologation by the OEMs. So therefore, this will be possibly the first revenue stream from the cell side.
Vinay Singh: So sir, but even the EV OEMs and 2-wheeler OEMs, fair to assume that commercial dispatches will be this financial year? Or do you think that trickles to next financial year?
Avik Roy: I mean sometimes, see, it depends on the customer also. So I would not like to say whether it is strictly by 31st of March, but plus/minus 1 month, it should happen because the testing protocols and things have been agreed and signed off. It's just a matte r of sending samples to them after we complete our internal validation and then they'll do it. So we are not too much concerned on whether it is a March or April as long as we are on track for that.
Moderator: The next question is from the line of Vibhav from JPMorgan.
Vibhav : Firstly, on the core business, on telecom now, we've been seeing a degrowth for some time now for a few quarters at least. So is it fair to say that the business has now stabilized or bottomed out, and we can see some growth over ther e?
Avik Roy: So Vibhav, you know telecom business, once upon a time, though it was not very profitable, but it was a big time lead-acid business for this best transceiver stations, BTS towers. Now most of the customers, whether it's Jio or Indus, the tower operators, they have shifted to lithium. And therefore, the volume has shifted. Now we are also present over there.
We have supplied the large quantity , actually, we were the first one to supply to Indus , our lithium packs. And we still have orders. We still have projections from Indus for next fiscal year.
So that business will be largely a lithium business.

This has come dow n. We are still executing l arge orders by BSNL and others, b ut we have a feeling that telecom tower business will soon shift to lithium ion as we expected in the past. This was known, and this is factored in our business plan. So right now, telecom has com e to only 1% of our revenue in Q3. So you can say, yes, it's largely bottomed out.
Vibhav : Okay. It's just 1% of the business now, so it's bottomed out ?
Avik Roy: Right, now, yes.
Vibhav : Okay. That's helpful. Just a follow -up on this. On the replacement demand, now, again, for a lot of quarters now, we've been seeing very strong growth. So do you expect this to continue or could there be like a brief phase where replacement demand could be a bit soft?
Avik Roy: See, to be fair, we were a little worried til l H1 of this year because the automotive OEM business was not picking up. And we were worried that what will happen 2 years down the line to our aftermarket. But fortunately, in H2, the market has grown up and growing strongly. And by January and February projections, we know that this has come back because of the impact of GST. And we grew quarter 3 by 25%, which is purely led by the production growth, mostly. Out

of this quarter 3, December was the highest. I t was plus 30%. Even if I talk about this month, January, which we just now closed, it's again in that range. So we would like to believe that since the OEM market has come back, that lull, which we were expecting in aftermarket after 2 years, I think that 's largely covered.
Vibhav: Okay. That's good to know. And second question is on the lithium -ion business. Now that you are close to, obviously, commissioning and commencing commercial production, any sense on the margins, at least not with, say, the first 1.5 gigawatt hour line, but once all the 4 lines get commissioned, then will we make like positive margins o r how should we think about it over a

period of time, given that now you are very close to starting commercial production?
Avik Roy: I think, Vibha v, we replied to this question in the last quarter call also. See, what we expect is that the only difference between lead acid and lithium -ion is that, this is largely a B2B business, and unlike lead acid, where you also have a trade component, aftermarket component. Now here with our portfolio, which we are starting, we will have a smaller share of trade business, which is the e -rickshaw, as we said.
And the 2-wheeler business also has some aftermarket potential. Other than that, it's largely OEM driven. Now though I'm saying OEM, but here, the OEM margins are not like the SLI batteries of lead acid. Here, this is the engine of the vehicle. So it will be lesser than the lead acid trade margins, of course, but it will be higher than the lead acid OEM business.
So somewhere in between, we expect the margins to come. And we will get a lot of benefit. First of all, commodity is now indexed and it will be largely pass -through, which is derisking the business. But secondly, when we utilize our lines to the leve ls where you mentioned, our competitiveness and our efficiencies will actually be the differentiator.

We are trying very hard to improve our metal yields in the factory. Yield and raw material sourcing, these are the two biggest drivers for competitivenes s. On the raw material side, we have been lucky that with our technology partner, we have been able to access their supply chain. As a result of that, we have signed a large number of master purchase agreements with the suppliers already on a long -term bas is.
So with all this, I think we'll be able to deliver a decent positive gross margin, which may not be as high as 30%, 40% of aftermarket where you have more pricing power. But definitely, it will be far better than the OEM margins of lead acid.
Moderator: The next question is from the line of Pramod Amthe from InCred Capital.
Pramod Amthe: Two questions. With regard to lithium, you have taken an enabled resolution to further infuse equity into the business. What's the time line you are looking for that INR 1,400 crores to be consumed, first? Second, also related is, there has been a lot of senior level exits in that business. How does it impact your operations or the medium -term business profile?
Avik Roy: So to the first question, in the January Board mee ting, we got an approval from the Exide Board for infusing INR 1,400 crores to Exide Energy for the full fiscal year. That's the approval we got. But how much we invest in which part of the year or which part of the quarter will be decided by the need of ca pital. I will hand over to Manoj to explain the utilization, and then I'll come back to the next question.
Manoj Agarwal: So the idea of this funding basically, as we said earlier, also, is to ensure that our leverage is lower in EESL. And second, because we are going into a commissioning mode, SOP mode, so this funding is basically a mix of both payout of c apex, spending c apex, and to manage the working capital requirement. This is what we have kept for the next year for EE

SL.
Avik Roy: So regarding the senior level exits, first of all, you have to understand this industry is a new industry, and there will be a lot of poaching and migration of talents because there is very few talent who are competent enough in this country, which are avail able. So we are aware of that.
This is not only happening with us because we are also hiring people from other similar adjacent industries at the senior level.
So whatever you have heard, something was very planned. It was already planned, and that is why you saw that the day the exit happened, the same day the successor has been announced, which only shows that we have been planning and preparing ourselves. So this is part of the leadership journey for a new industry. There will be churning happening. And there will be a lot of movement of senior leaders because they are in demand now in the country. But like we'll have exits, we'll also have leadership entries, I'm sure about it.
Pramod Amthe: Sure. And similar follow -up is, it's good to know your product s are getting accepted and you are delivering better than the expected performance on the lithium -ion side. Are you now close to, and since you're also talking about gross margins, are you now close to the finalization of pricing? If that is so, how does i t compare versus import? Because that's the threat which everybody was looking at. It's very difficult to make money versus the import pricing. Would

you give some color in terms of the pricing negotiation with the customers, how they are looking at?

Avik Roy: So I told you in the last quarter, I think this question again came up, and I will repeat the answer which I gave. It's a bilateral negotiation. There is no standard formula, whether it is import parity,
whether it is cost plus, it's a mix of both. So it varies from customer to customer. And this is an ongoing process, I will tell you.
Only thing is that we have some temporary , but we have to see that the imports , we just heard that the imports are getting a little costlier because of withdrawal of certain duties by China. This will have a positive impact on us because at least it will help us to reach import parity faster than we thought.
The percentages you were aware, so I'm not mentioning, so to that extent. But I would like to believe that for Indian supplier of cells for the OEM customers, it will not be the price factor only. I strongly believe. Having a local supplier with big capabilities and helping me to receive the material on a daily basis or thrice a week basis and then operate at a 24 -hour or 48- hour inventory, this is a great value for any OEMs.
We have seen in our other lead acid OEM business that they operate, they sit in our factory and take every day's quota. This kind of value cannot be delive red by import because there you have to keep minimum 3 months to 4 months of inventory. And when you do that, first is there is a risk of quality because you can see surprises after 2 months when you start using that product, number one.
Secondly, also the volatility of the valuation of the inventory because the lithium prices are fluctuating so much, you may be sitting with a high-cost inventory for 3 months and suddenly realize that after 3 months, the prices have fallen. So these are the values I would like to believe that our OEMs will still see in a local supply, which can be largely solved by people like us.
Moderator: The next question is from the line of Raghunandhan from Nuvama Research.
Raghunandhan: Firstly, can you indicate how much was the pric e increases taken in January? We hear from dealers that there was a 2% price hike taken. And post the price hike, is there still any under recovery?
Avik Roy: Yes. So you're right, we have taken a 2% price hike in January. Right now, as we see because it's 2 days back, the metals have crashed, we do n

ot know. Nobody knows the impact unless you cross the bridge. So I cannot forecast what will be the percentage recovery going ahead. But in December, we were thinking that we'll be able to pass on the whole inc rease in January, which could not happen because this is also a function of competitive strategy. But we passed on 2%, and we'll gradually see how we can pass on the remaining impact. But to assess that impact, the metal prices need to stabilize.
Raghunand han: Can you indicate for Inverters, you are looking at a positive growth in the upcoming quarter. Can you broadly indicate the revenue share of inverters?

Avik Roy: Yes. See, as a share, obviously, inverters, it's a season time. The season picks up from -- mainly from March and moves to July, unless there is an early summer onset this year, which I cannot predict. From March to July, the inverter volumes go up by almost 3x with respect to off -peak, which means whatever volumes you see in December, normally , the May volume is 3x of that. That's a typical cycle.
And that is why you will see the quarter 1 of Exide is always the highest in revenue. So we expect the same to happen this year because last year, because of early onset of monsoon and a very prolonged monsoon, we did not get that benefit so much. But I'm sure this year, the season will pick up. Normally in a season time, the share of inverte r is about 25% of our revenue.
Raghunandhan: Got it, sir. And on a full year basis, would it be like 15% to 20%, broad range?
Avik Roy: Yes, you're right about 20%, yes.
Raghunandhan: Got it, sir. And how much would be the current price of imported LFP and NMC cell? There has been increase in the underlying commodity prices recently, and there is also the reduction of the export rebates in China. So broadly, can you indicate how much has the lithium prices gone up in the recent times?
Avik Roy: I think this information is available in the public domain. So I cannot give you a specific information for Exide, I'm sorry.
Raghunandhan: Understood, sir. And in the initial lithium capacity, what would be the mix of LFP and NMC for us?
Avik Roy: It will be half -half. So let Pravin answer this.
Pravin Saraf: Yes. So it will be 50%.
Raghunandhan: Lastly, can you indicate the share of revenue from 2 -wheeler and 4 -wheeler OEM and replacement segment?
Avik Roy: Yes. The ratio for automotive replacement to OEM is, as we s peak, is about between 73% to 75% in trade and 25% to 27% in automotive. So that's how it is, yes.

Raghunandhan: And what would be the share of revenue, sir?
Moderator: The next ques tion is from the line of Mumuksh from Anand Rathi Institutional Equities. Please go ahead.
Mumuksh : Sir, congrats on the commencement of recently on the cylindrical line capacity and the new OEM wins. Sir, I just want to understand in Q3, the gross margin expanded 220 bps. Is it mainly due to inventory change and the antimony pr ices coming down? And any other reason for this,
sir?

Avik Roy: See, antimony prices, though it came down, but this is not an inverter season. Antimony is generally used for the inverter batteries, which is tubular plate. So the volume offtake of antimony also for us came down. So we'll get the real benefit of this in the peak season time, which is just coming up.
And in Q2, if you recall our discussion, we took a very conscious effort to cut our production to cut our inventory and manage working capital and that is why we generated about INR 500 crores of additional free cash. So we are more or less at the same level of inventory at Q3 end also because in Q3, the production went up, and therefore, the working capital requirement also went up, maybe marginally higher.
Mumuksh: So that played out on the gross margin for this quarter, right

, sir?
Avik Roy: Yes. Yes, yes.
Mumuksh: Got it, sir. Sir, on the RM side, if you can help us what could be the RM mix cost for some of the key elements like tin, silver, sulfur, copper, sulfuric acid. If you can just broadly help us understand what kind of RM mix they contribute to us, sir?
Avik Roy: So I should not be giving you the exact percentages, which is a little technical. But I can tell you, tin, silver, sulf uric acid is required across the whole revenue base because that's the lead acid battery, right? It's required for all kinds of batteries. So 100% revenue coverage, you need sulfuric acid.
For tin, silver is required mainly for our automotive batteries wh ere the growth is higher. But at the same time, the commodity cost is also increasing. Antimony is required for our tubular plate, which is our inverter battery, where the prices are softening, but it's also the off -peak season. So I think this is the best that I can share with you at this moment.
Mumuksh: Got it, sir. Finally, what would be the battery packs revenue? And anything on the c apex for this year and next year, sir?
Avik Roy: So I'll leave this to Pravin to answer battery packs. INR 98 crores.
Pravin Saraf: Yes. So it is INR 100 crores right now. Yes, in the first 9 months.
Mumuksh: Any capex in battery packs?
Avik Roy: No, right now . Right now, we do not plan anything on this, because pack capacity can be done through your efficient supply chain ma nagement also. So we have 1.5 gigawatt hour worth of pack -making capacity in Gujarat. So we'll stick to that until we make a further decision.
Mumuksh: And just continuing on this, overall, sir, how do you see c apex for FY '26 and '27, including the lithium and the lead, sir?
Avik Roy: So as I said, INR 1,400 crores equity we have planned for lithium . And we'll have about another INR500 crores roughly for lead acid core business. That is what we do every year because, we

have a strategy policy to inves t back to the business about same amount equal to our depreciation, which is around that number.
Moderator: The next question is from the line of Sangeeta from Cogito Advisors.
Sangeeta : Can you hear me?
Avik Roy: Yes, please.
Sangeeta: Okay. Thank you for the opportunity. S ir, what I wanted to get a sense was that when we're looking at the impact of raw material prices on our margins, all our competitors would also be facing similar impact. So where does the competitive pressure come from, which really prevents you from passing on these prices fully or is it just a question of a lag effect in passing them on and over the period, the entire industry passes it on? That's one question. My second question was that just like RM fluctuations seem to be a key risk to your margins in your lead acid business, what would be the main risks that you see in the lithium -ion business?

Avik Roy: Thank you for the question. To answer to the first part that the entire industry will be affected, then why not everybody take a price correction. I'm also hunting for the answer for the last many years. Sometimes it happens that somebody follows the other. Sometimes it does not happen because I think both the sales forces are fighting for the shelf spaces on the counters of the distributors or dealers or sub dealers. So possibly, this has not happened.

But if you have , if you see the history, Exide has always been the first one to take the price correction, at least for the last 5 years that I've been in the industry. And irrespective of whether someone follows or not, we used to pass on . We never take price correction unless there was a cost pressure. That's clear. So wherever there was a cost pressure, we were the first one to announce price increases and the secondary checks reveal that.

So on how and what kind of commodity risks you see in lithium -ion? See, lith

ium -ion, as I mentioned, is largely a B2B business. Like in our automotive OEM, the prices are largely indexed.

So our main problem of cost push comes in the trade market in terms of input incr ease. But generally, lead, at least the prime item which is lead, it is indexed through a formula with our OEMs. So similar thing will be indexed in lithium -ion also, at least for the main component, main raw material.

Sangeeta : So does that mean that the margins in lithium -ion will be more stable?

Avik Roy: Should be, should be, should be. If it is only material driven, then should be logically, unless there is some duty mismatch of country versus country. In some country, we get duty benefit. But as far as the prime index is concerned for material, it should be same for all.

Sangeeta: Right. And sir, if I can squeeze in one more question. If you look at the different segments of your business, the sense I'm getting is that a lot of the areas where you felt pressure are actually bottoming out. There are tailwinds in many of the segments that you operate in. Now if we put

all of this together, what kind of growth number should we , the top line growth should we look at for next year?

Avik Roy: I think on the c ore business, we will fight very hard, but I can see the market will give us opportunities to grow at a very high single digit to early double digit for sure. Because once I add back the declining businesses, that is where we come in. Because as I mentioned, 92% of our business in this quarter grew by about 12%. So if I can fix the balance 8% to that level, so we should at least come to double -digit level.

Moderator: The next question is from the line of Preet from InCred AMC.

Preet : I just have one question. I would like to know the margin differential betwe en OEM and aftermarket business?

Avik Roy: No, this is not in public domain, I'm sorry. But you can do your self, because this is stacked margins and the channel margins also add up. So you may do your se condary check, sir, but it's not fair for me to share this.

Moderator: The next question is from the line of Sucrit D Patil from Eyesight Fintrade P rivate Limited . Please go ahead.

Sucrit D Patil : My first question to Mr. Roy is -- first of all, thank you for the detailed commentary. Just want to understand this beyond what was covered in the opening remarks across Exide's core lead acid business and the newer energy storage initiatives, how does the management decide where to prioritize capacity, capital and management attenti on as market conditions evolve. As you track the business, what changes in customer demand, product mix or competitive intensity typically signal the need to rebalance the particular set of things? Just want to understand your view on this?

Avik Roy: So I'll give you a broader outline. Exide is in this business for the last 78 years, and it has been a market leader since then. This is not a pompous statement. I just wanted to make a point that we have a very well laid out method of allocating capital. And we have done it in the past, and we'll continue to do that.

And all these 78 years, we have been positive and we generated positive cash flow, and we remain debt -free touch wood, which means we were largely funding our investments through our own accruals. So that is -- that has been our strength, and that should remain our strength going forward also.

Now how we allocate capital, of course, in the last 3, 4 years, we decided though lead acid is a very mature or supposed to be a very m ature technology or mature business, we should constantly look for opportunities for capacity expansion for the future and to bring out new products. And the c apex should be around the depreciation amount every year for the core business.

So that

has been a policy, and we worked on various areas. In some areas, we expanded -- in some years, we expanded capacity by investing. And in the last 2 years, we were investing heavily on manufacturing technology to achieve cost competitiveness, cost excellence. And if you look at our last disclosures of the last few quarters, you will read more about it.
So last 2, 3 years, we have been focusing more on manufacturing technology. We were putting up new machines to achieve cost competitiveness and quality improvement, which has largely been completed, and now we have taken the Phase 2 for the next few years. The second area of capital allocation is -- I think there is a noise somewhere in the background.
Sucrit D Patil : Sorry I'll just mute myself, yes.
Avik Roy: Yes, please. So the first principle was investing in manufacturing technology to gain competitiveness and quality improvement. The second area of our capital allocation is on automation, factory automation mainly. And we have been investing for the last 2, 3 ye ars in a lot of automation in our factories to improve productivity.
And third is, of course, investment for tomorrow, which is the lithium -ion project. And therefore, we are very bullish on this project that we have to be future ready. So with core business reaching its desired competitiveness in terms of capacity as well as automation and a big equity infusion to make ourselves future ready for lithium -ion business. That has been the domain of our capital allocation.
Sucrit D Patil : My se cond question is to Mr. Agarwal. Same -- similar question from a monitoring point of view and the outlook. Beyond the margins discussed, what are the key internal indicators you track closely, such as raw material passing through, mix shifts between automotive and industrial segments or working capital trends to assess profitability and cash flow sustainability before these trends show up on the balance sheet. I just want to understand your point of view on this ?
Manoj Agarwal: Thank you for the question. S o see, it's a mix of everything. So we see the trend of mix also, what is the trade and OEM mix, right? How the entire metal family is going on. As we said, that entire metal family from last two , three quarters is going into a skyrocket, right? And then w e also see how to manage our cash. Now in quarter 2 also, we have said the same thing because of the uncertain market because GST 2.0, the call we have taken as a management that will not accumulate inventory, but focus on cash.
So in quarter 2, the idea was to focus on cash to manage inventory. Then we again ramp up in quarter 3 with the fact that entire momentum has shifted to the demand side because GST 2.0. And hence, we again move to the growth story, where we talk about running the factory at full capacity, right, again, having an eye on the cash management as well. So if you see our H1 numbers also the cash management improved a lot if you compare to March.
And then we monitor basis the entire metal indices to see what is the market capacity to absorb the price increase. And hence, we have taken a first price increase in January also, right? So this is the levers we see. Apart from that, the huge focus on the cost optimization. So there are a lot

of program goes, how can we save money, how ca n we optimize resources to ensure that we bring benefit into the bottom line through the cost effectiveness. That's what we do.
Moderator: The next question is from the line of Abhishek Kumar from Neste Wealth.
Abhishek Kumar: Given the move towards high density and high reliability power solutions in hyperscale and edge data, how is Exide evolving technologically to capture this opportunity?
Avik Roy: So as I mentioned, there are multiple tiers of data centers from a hyperscaler to the colo to an enterpris e. And based on the reliability o

f power required, the level of redundancy of UPS is decided. And more the redundancy, which means the shorter or tighter the footprint. And the tighter the footprint means higher energy density and therefore, where lithium -ion plays a better role than lead acid.
But there are -- because in those cases, real estate, is real money. They save real estate some footprint on reducing footprint. But there are data centers of various tiers where footprint or energy density is not a n immediate value. It's the reliability of the product and performance because the redundancy requirement is not as high as, let's say, hyperscaler. And we see their

demand coming from lead acid -- for lead acid batteries.
And that is where we have our , what we called our EHP series, which is the Exide high -power series, as we call it, and with front access. So, so far, we are the only one we have it in India, and it's doing reasonably well, I would say. But a lot of RFQs are also pending. So data center is not only and please don't look at only the Metas and Googles of this world. There are various data centers are coming up in various shapes and sizes and various scales, yes.
Abhishek Kumar: Okay. And is the company looking to have some kind of alliances with data center developers or cloud operators, something like that to capture the opportunity?
Avik Roy: So we are in constant touch, but they are generally our customers. And we want to remain a supplier and not get into a partnership mode and expose our selves more because if I go with one, then I have 5 other customers who might not be happy with that. So we would like to stay as a supplier to all the customers.
Abhishek Kumar: Okay. And just last one, the Exide, how does the -- in terms of competitive r isk from global power solution providers, how company is trying to insulate and to defend and grow its revenue share -- market share?
Avik Roy: So at this moment, you are talking about our core business or lithium -ion?
Abhishek Kumar: Lithium -ion in terms of the global power solution OEMs and UPS battery supplies coming to India?
Avik Roy: Frankly speaking, if you look around, we have not seen much of movement of global players setting up cell manufacturing capacity of lithium -ion in India. The people who have taken the maximum steps are all Indian industrial companies. You name us and you know three or four other names, they are all Indians.

So we have not seen that kind of an effort by a global company to come and set up, maybe they still want to wait and watch, number one. And secondly, China factor, ultimately, they are so much dependent on China for their competitiveness and maybe therefore they are not taking any risk. I have not heard. I don't know whether you have heard any global company planning or announcing to set up...
Abhishek Kumar: Because like the budget has proven there's, a lot of like taxation holidays and all. So maybe a lot of companies w ill start contemplating now?
Avik Roy: Yes. But for lithium and battery, I think a lot of industrial -- large industrial houses in our country have also committed their investments. So they will also receive similar kind of support, I'm sure.
Abhishek Kumar: Okay. Thank you. That's it from my side.
Avik Roy: Thank you. I hope that was the last question.
Moderator: Thank you. L adies and gentlemen, that was the last question for today. I now hand over the conference to management for closing comments. Over to you, sir.
Avik Roy: So thank you. Thank you, everybody. It was a very engaging conversation we had. I hope we have been able to answer all your questions satisfactorily. If you have any further questions or if you would like to know more about the company, we would be happy to be of assistance.
Thank you very much. Over to the moderator.
Moderator: Thank you. On behalf of Exide In

dustries, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

Ref no.: EIL/SEC/2026-27 /I 2
I I th May 2026
The Secretary
The Calcutta Stock Exchange Limited
7 Lyons Range &IXIDI
The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers
Kolkata -700 00 I Dalal Street. Mumbai -400 00 I
CSE Scrip Code: 15060 & 10015060 BSE Scrip Code: 500086
The Secretary -
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot no. C/1, G Block
Bandra-Kurla Complex, Bandra (E),
Mumbai -400 051
NSE Symbol: EXIDEIND
Sub: Transcript of the Earnings Call of Q4 FY 2025-26
Dear Sir/Madam,
This is in furtherance to our letter dated 06th May 2026 wherein the Company had submitted the link of the audio recording of the Earnings Call held for Q4 FY 25-26 business update.
Pursuant to the Regulation 30 read with Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, please find enclosed the transcript of the said earnings call, for your information and records.
The transcript of the earnings call is also available on the Company's website at https://www.exideindustrics.com/inve rors/eamimr -all.a p ..
We request you to kindly take the same on record.
Thanking you.
Yours faithfully,
For Exide Industries Limited
Jitendra Kumar
Company Secretary and
President- Legal & Corporate Affairs
ACS No. 11159
Encl: as above
Exide Industries Limited, Exide House, 59E Chowringhee Road, Kolkata-700 020
Phone: (033) 2302-3400, 2283-2171, 2283-2118
e-mail : exideindustrieslimited@exide.co.in, www.exideindustries.com
CIN: L31402WB1947PLC014919

"Exide Industries Limited Q4 & FY26 Earnings
Conference Call "

May 06, 202 6

Moderator : Ladies and gentlemen, good day and welcome to the Exide Industries Q4 FY26 Earnings Conference C all hosted by Investec Capital Services.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I will now hand the conference over to Mr. Aditya Jhawar from Investec Capital Services. Thank you and over to you, sir.
Aditya Jhawar: Yes, thank you. Good afternoon to you all.
From Exide Industries, we have with us MD and CEO – Mr. Avik Roy, Director of Finance and CFO – Mr. Manoj Kumar Agarwal, Mr. Pravin Saraf – MD and CEO of Exide Energy Solutions, President (Legal & Corporate Affairs) and Company Secretary – Mr. Jitendra Kumar and Mr. Prashant Saraswat – Head of Investor Relations.

Before we proceed, there is a disclaimer for the call :
Few statements made by the Company 's Management in the call may be forward -looking in nature and we request you to refer to the disclaimer in the Earnings Presentation for further details. We will start the call with brief opening remarks from the Management and followed by Q&A session. I would now like to hand over the call to Mr. Avik Roy for opening remarks.
Thank you and over to you, sir.
Avik Roy: Thank you, Aditya. Good afternoon, ladies and gentlemen, and a warm welcome to you all to the Exide Earnings Call .
Before taking you through the key highlights of our performance, I would like to talk about some of the macro and industrial drivers that shaped our operating environment in the last quarter :
Globally, the West -Asia conflict continues to be an ongoing threat. With regard to availability and pricing of commodities such as LPG, sulfuric acid and plastics, the situation is quite alarming. Rapidly increasing commodity rates, coupled with rupee depreciation, continue to pressurize our input costs.
But in contrast, the Indian demand situation remained favorable. Low inflation rates, low interest rates and the consequence of GST 2.0 Reforms increased end -consumers' affordability, especially in the second half of FY26. Rural India experienced strong broad -based revival as well, driven by rising income, upbeat sentiment and infrastructure development.
Coming to the Company 's performance during Q4 of FY26 :

Nearly 92% of the business has grown by 16%, including our entire domestic business ex-Telecom . All key verticals grew around double -digits, headlined by 2 -wheeler and 4 -wheeler OEM, followed by home UPS, solar, 2 -wheeler and 4 -wheeler replacement market, as well as industrial infrastructure business, ex -Telecom . Remaining business witnessed strong decline in revenues, Exports being one of them, which was subdued by the given geopolitical situation, and Telecom and E-Rickshaw continue to see shifts towards lithium -ion technology. This translated to about 9.4% year -on-year overall revenue growth. And in Q4, we generated our highest -ever quarterly revenue. Domestic business sales grew by 12.5% year -on-year.
For the full year FY26, the Company has delivered 4.1% year -on-year revenue growth. Again, nearly 92% of the business grew by double -digits. The domestic business grew by about 7.5% year-on-year.
In Quarter 4 , the Company continued to ramp up production, leading to higher capacity utilization, better absorption of fixed costs, and positive impact on the bottom line. The Company was also able to maintain, on a sequential quarter basis, the EBITDA margin of 11.7%, buoyed by strong volume growth, improved product mix, and better realization, which was also helped

a lot by various manufacturing excellence projects. All the above efforts resulted in expanding the EBITDA margin year -on-year by nearly 50 basis points.
The GST 2.0 -led demand surge continued in Q4, as auto OEM business recorded its second consecutive quarter of (+25%) year-on-year growth, also hitting its highest -ever quarterly revenue, breaking the mark set in Q3. Home UPS business recorded its highest -ever Q4 sales, uplifted by early onset of summer. Solar vertical returned to double -digit growth. I am happy to inform you that we have incubated and nurtured this solar vertical for the last few years and this year they have crossed the Rs. 1000 crore mark for the full year. Two-wheeler and four -wheeler replacement demand remained robust, as it continued in its mid -teens growth rates as in the past quarters. Industrial infrastructure, excluding Telecom , continued its strong performance, maintaining double -digit year -on-year growth. Order in flow and execution remained healthy across sectors like railways, motive power, and industrial UPS. Geopolitical tensions continue to impact Exports business. We expect these uncertainties to remain for at least in the first half of this current year. We have been briefing you for the last couple of years on our new 'One -Exide' operating model. So, a few comments on that. The Company transformed from a strategic business unit -led model to a 'One -Exide' operating model in FY25. This was intended to recalibrate our go -to-market approach across business verticals. During the last year, FY26, this operating model has enabled the Company to be more agile and customer -focused, while bringing synergies across the organization, reflecting in the overall Company performance.
As we enter the next fiscal year, the outlook for the lead -acid business remains positive across most business es. However, we remain cautiously optimistic and will constantly watch and monitor the domestic demand situation in view of the expected inflationary economy, if at all.
The Company remains focused on tight cost control, despite the global headwinds.

I believe that Exide , with its advanced product portfolio, pan -India distribution network, and a strong brand recall, will continue to benefit from growth opportunities. I will move on to our lithium -ion cell manufacturing project, where we have invested Rs. 600 crores in Q4 and about Rs. 1,500 crores in FY26. With this, the total equity investment made in Exide Energy, our subsidiary till date, stands at Rs. 4,802 crores.

Our cylindrical lines are expected to start customer sample delivery by around this month onwards, while the prismatic line will be initiating product trials shortly thereafter. Meanwhile, the Company continues to engage with various OEMs of two -wheeler, three -wheeler and four -wheeler and stationary energy providers to build the off take across key end -consumer markets.

With this, I close my opening remarks. We will now be happy to take your questions.

Moderator: Thank you very much. We will now begin with the question -and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We will take the first question from the line of Vinay Singh from Morgan Stanley. Please go ahead.

Vinay Singh: Hi team, thanks for the opportunity. In the opening remark, we talked about 8% of the business declining, which is Telecom and Exports . Fair to say that Exports will be around 5% of top line and Telecom around 3%. Will that be the breakup?

Avik Roy: Yes, Vinay, you are right in the ballpark.

Vinay Singh: And, you know, which leads me to the question.

Avik Roy: 3% would also include a bit of E-Rickshaw business.

Vinay Singh: Okay, because that brings me to my next question. When you look at next year on this core business, Exports will have volatility

for the first half but will recover. So, then we should be actually quite set for a much better top line growth than this year, next year, right?

Avik Roy: Because I would like to believe the positive side is, Vinay, the baseline is now low for these businesses because we have declined. And next year, we have a strategy in place given global geopolitical tensions ease out a little bit. I see a substantial ups ide for the Exports because our main export markets are also in Western Europe and the US where we were targeting as a strategy. So, Exports was already 8% of our revenue a couple of years back. So, we came down to 5%. So, I think there's a good chance to increase our share of Exports and therefore the incremental revenue.

Vinay Singh: And the overall top line growth also next year should improve from this year, right? Because all the other businesses commentary that you gave was quite strong.

Avik Roy: Yes. The exits have been quite strong. Q3, Q4 has been quite strong. And as you will recall, we were a little pulled down because of the Q2 washout when this GST announcement was made

in the month of mid -August. And it was effective from 22nd September, if you recall. So, that 1.5 months to 2 months, we almost had a washout because there was no offtake from our distribution network. So other than Q2, I think all 3 quarters, we have been doing well and also riding on the demand wave. I would still believe that the core business at this situation has a potential to do at least a high single -digit to early -double digit growth. Today, even despite the Telecom decline, domestic, we are 12.5% in the quarter. So, I would like to believe that high -single to double -digit growth for the overall core business is possible.

Vinay Singh: And secondly, on the new energy business, I think in the press release, we had added that for cylindrical, the trial runs have started. Prismatic will be few quarters down the line. So, to that extent, is prismatic also for this year only?

Avik Roy: Yes, prismatic is the LFP line. And this is also scheduled for this year. The difference between a cylindrical line and prismatic would be that the start of revenue will be quicker in LFP, because that product will not go through so much of validation and customer homologation, like the two -wheeler batteries in cylindrical. So, though the production of cylindrical will start first but possibly the revenue stream will come first from the prismatic lines.

Vinay Singh: And could you talk a little bit about the industrial side of the opportunity? Because globally, what we have seen that that opportunity pie has surprised on the positive side and margins are also actually better. So, when you think about data centers, ESS, in your view, the 6-gigawatt capacity allocation, what could be the industrial share in that? How is the reception of clients on the industrial side?

Avik Roy: See, we have two lines of LFP prismatic, which is meant for industrial stationary storage applications. Every cell what we are going to manufacture will have multiple use cases. It could be both automotive as well as stationary , the form factor is prismatic in any case. So, we have the cell formats, which we will be producing in Prismatic Line -3 and Line-4 will also cater to the stationary storage use cases. You have heard I have made in the opening commentary that the Telecom is shifting towards lithium io n. E-Rickshaw is shifting towards lithium ion. And there are some other use cases shifting towards lithium ion. And now, in many cases, we are already present with our pack business. Only thing that we are doing it through imported cells. We will just reach over to our own Made in India cells. That's the plan.

Moderator: Thank you. We will take the next question from the line of Krupashankar Nj from the Avendus Spark. Please go ahead.
K

rupashankar Nj: Good afternoon and thank you for the opportunity. My first question will be on the commodity cost. Just wanted to get a sense around the extent of impact, what we are seeing in 4th Quarter and what sort of escalation is anticipated in the 1st Quarter of FY27 considering the initial comments. And continuation to the question is that what would be the extent of price hikes taken in the after-market and the expectation on further price hikes going ahead?

Avik Roy: Thank you. Thank you for the question. So, first question on the commodity situation. Our impact on material cost for Quarter 4 was roughly net -net impact was Rs. 150 crores, I would say, a negative impact. So, the gross margin, if you see, has come down by about 90 basis points. Though we have been able to improve our EBITDA but even if you see quarter -on-quarter movement, the gross margin has come down from, let's say, it was in Q3, it was 31.6 and in Q4, in the last quarter, it was 30.1. But despite that, we have been able to maintain our EBITDA sequentially at 11.7% because of our tight controls on the other cost elements. We have been very successful in controlling our factory costs as a percentage of sales, employee cost , you will see that and best part is we could be able to reduce the warranty cost as a percentage of sales. So, mostly these three elements have offset the increase in the commodity cost. So, therefore, we could offset the drop in gross margin through our internal controls. But as far as price hike is concerned, I think I have mentioned this in the past that in Q3, we did not take a price rise consciously because the revised GST rates were announced and we thought we would pass on the entire benefit to the end consumer. But from January onwards, we could not sustain the cost inflation of material. Therefore, we started taking price increases stage -by-stage. So, 1st January, 1st March, 20th March, I think in three tranches, we have taken increases which maybe amounts to about, let's say, about 5% to 6% - this varies on different businesses . But across all businesses - in the trade, in the aftermarket, we have taken course corrections. And even on 1st of April, we announced the last round and in April we took another round of correction. So, we have been trying to pass on as much as possible of our commodity inflation. And that has also resulted in our resilience in Quarter 4 margins. Have I left anything?
Krupashankar Nj: Nothing, sir. I think one follow up is that what was the quantum of price hike taken on April 1st as well? If you c an you share that?
Avik Roy: It was around 3%.
Krupashankar Nj: Alright. And do you anticipate further hikes coming in - given that the commodity inflation is being quite sharp? So, just wondering, given the competitive dynamics, do we see further price hikes coming in to pass through this inflation?
Avik Roy: See, right now, it's difficult to comment. But the leading indicators, if you see the April exit prices of commodity, it is far more than March exit. Whether it's steel, whether it's sulfuric acid, we are very, very badly hit. The March exit was Rs. 58 per kg. And April exit is already Rs. 74. And just imagine one year back, it used to be only Rs. 15 per kg. So, 15 to 74 -75 is 5x. So, obviously, we will be watching it. And going forward, we will have to take the price hikes. We have no other optio n.
Krupashankar Nj: Got it. And with respect to OEM contracts, the escalation comes in with a lag. So, what would be the time period of that lag? And what will be covered? Is it only the lead acid piece which will be covered? So, the other aspects, are you negotiating with them to pass this on?

Avik Roy: Yes, you are right. The good news is that last year also, when we were going through this h

uge
non-lead inflation on commodities, we have been able to make our OEM customers agree to a certain amount of price increases. We have been successful. We have given them evidences that how we are suffering, and some of them have been extremely logical, and they gave us a price correction last year. So, that helped us in the full year performance as well as the Quarter 4 performance of auto OEM also. Having said that, we have again approached them, and everybody knows this, it's not a surprise that the way the commodities ' prices are growing, particularly the commodities which are esse ntial for batteries, acids, plastics, LPGs, and of course, currency is also hitting the lead prices. I think we are constantly in touch with the major OEMs, some of them agreed, and with some of them the negotiations are on.
Krupashankar Nj: So, the lead time is typically two months to three months? Is that the right metric?
Avik Roy: I will rather say it's a quarter.

Krupashankar Nj: Sure, understood. That's it from my side. Thank you for answering my question. Thank you.
Avik Roy: Thank you.
Moderator: We will take the next question from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera : Yes, thanks for the opportunity, sir. Sir, first question is on this lithium -ion business. We have invested close to Rs. 4800 crores till now. How much investment do you see in the next one or two years going ahead in this business? And second is, I mean, when we have started the trials, when we sort of look at the commercial supplies, do you think the pricing will be at par with the imported or there can be some premium we can derive? And how should we think about the learning curve? Where are the yields? Do you expect that we may be in the normal sort of yield by Quarter 3 when we start or that may take some time to settle down?
Avik Roy: So, let me take the first part of the question and then I will hand over to Pravin Saraf who is on the call to answer about pricing and yields. The first part is, Siddharth a, we have already got a Board approval and this has been announced in the past of investing Rs. 1400 crore in the Fiscal Year '27, which is a mix of both CAPEX as well as the OPEX working capital requirement which we have to fund. So, that's the number for FY '27. I think that should be sufficient for Phase -I. We will see how i t works. Regarding our pricing strategy and yields, I will request Pravin to take over. Pravin .
Pravin Saraf: Yes, thank you. So, I will start with the reply to yield. So, you are absolutely right. Yield is the most critical factor governing the price, the cost of cell manufacturing. And how we control and improve the yield is we must have good machines, train people who are operating the machines as well as having the process knowledge and good technology support. So, you know that we have very good technology support from SVOLT . Then , we have good machines already installed which are very capable. But what yield wil l govern is only by experiencing. And we

all learn that once we start three -shift running and having continuous running, then the yield will improve. So, it takes time, but definitely we will work towards it. And how much we will get it will be better once we start the manufacturing, then we will be able to exactly predict that how much time it takes. I can only assure that whatever required things and parameters control yield are in present. So, once we start, we will try to quickly reach the yield level. The best yield level should be 90 %. Comin g to the pricing, yes, today the raw material we are getting all from import from China. So, the pricing today is definitely will be a little higher. But what we are targeting is that with maximum utilization of the plant more than 85 %, yield is 90 %, and with some amount of localization, whi

ch you already know that a lot of local suppliers are coming, we will also be able to meet the targeted price, what is the landed price today. So, what will help us in achieving this is also if you may be knowing, recently there is a change in the VAT structure in China. So, for the imported cells today, there i s a 3 % increase in the VAT due to the VAT structure already implemented. And by January next year, it will be an additional 6 %. So, it will be overall 9 % increase that will happen. So, this will also help us. Parallelly, we are also working with the government to have subsidies and incentives for the localization of raw material as well as for manufacturing of cells. So, put together, our target will be meeting the landed cost of the imported cell.
Avik Roy: Thank you, Pravin . Thank you. I think the key will be to also the Government has to also develop this industry locally. There has to be a value for Make in India cell, like I have been repeating quarter -after-quarter, that we are the first one and Make in India cell has to have its learning curve because otherwise, nobody else will come up for investment like this if they are not encouraged. So, that's also our take. Thank you.
Siddhartha Bera : Got it. Thank you, sir. I will come back in the queue .
Moderator: Thank you. We will take the next question from the line of Arvind Sharma from Citi. Please go ahead.
Arvind Sharma: Thank you for taking my question. On the lithium -ion business, have you seen any revenue commitment over the past few months given the trial supplies have started or are supposed to start? So, when should the companies actually start seeing revenue accrued from the lithium -ion business and versus the plans, say, when you launched in 2022? I remember you had said around 27 to 30 months is the time it takes for operationalization. Where are you in that plan right now in lithium -ion business?
Avik Roy: I think, to bring clarity to the question, first one is what is your status of revenue flow? That's simple. So, far, we have been doing Pack business, which is around, let's say, Rs. 100 crores to Rs. 200 crores of Modul e and Pack businesses, which we were doing through imported cells. Now, we will be making cells. Now, regarding start of cell revenue rate, I think I already mentioned in the previous question, in the first question itself, that when is likely the revenue to start. And so , it will probably start with the LSP Prismatic Line because that product does not need so much of approvals and things like that. But as a start of production, the NMC cylindrical

line will be first. And we have not started the supplies of cells, just to correct you. We have completed our process validation. The sample supplies will start possibly by end of this month or next month. Pravin , would you like to add on this?
Pravin Saraf: Yes. So, our internal validations for the cylindrical cells have been completed, and we will be able to give the cell to our customers in this month. Of course, as you all know that the custom validation will take time. And for the prismatic cell, right now, we are running the trials for making the customer samples. We are targeting by June and July, we can say. We want to give the samples for customer validation.
Arvind Sharma: Got it, sir. So, it will still be some time before there is any significant revenue recognition from the cell plant.
Avik Roy: See, this will be a material disclosure for us. So, be assured that we will let you know much in advance about our start date officially.
Arvind Sharma: Sure, sir. Thank you. Sir, second question on the core business - the legacy business. Will it be possible to share the proportion of autos and non -autos and the OEM replacement share in the mix, is it possible to give that?
Avik Roy: I think we have shared many times in the past. Auto a

nd non -auto is almost half -half, roughly, or maybe 53 :47, kind of. Auto is OEM and aftermarket put together is about 50%. And the ratio between auto replacement and non -auto, as you know, it's standard is 70 :30, (+/-1%).
Arvind Sharma: Sure, sir. Thank you so much. That's all from my side. Thank you.
Moderator: Thank you. We will take the next question from the line of Vijay Pandey from Axis Capital. Please go ahead.
Vijay Pandey: Hi, sir. Thank you for taking my question. Sir, a couple of questions I wanted to check in terms of the commodity inflation. How much impact are you seeing currently ?
Avik Roy: You have to repeat your question. I am afraid you are not very clear. Can you say that again?
Vijay Pandey: So, sir, I wanted to check in terms of commodity inflation ?
Moderator: Sorry to interrupt in between. Vijay, could you please use the handset mode and speak?
Avik Roy: Yes, there's some background noises coming in.
Vijay Pandey: Is it okay now?
Avik Roy: Yes, please.

Vijay Pandey: Yes, I wanted to check the commodity inflation of 4th Quarter and the 1st Quarter till date. So, what is the level of price increase you are seeing?
Avik Roy: This question we just answered a little back, I think, to Vinay Singh. If you read the transcript, I think we have mentioned it already.
Vijay Pandey: Sir, not about the price hike but the inflation.
Avik Roy: We have mentioned that as well. We have mentioned that as well. Exactly what was the impact on the material rate impact that we have mentioned.
Vijay Pandey: Okay.
Avik Roy: Yes.
Vijay Pandey: Okay. And secondly, the prismatic cell, so the customer validation will take around, should we expect around three months or is it longer than two to three months?
Avik Roy: See, prismatic cells, what we are making is primarily for three wheelers and some stationary applications. For these applications, basically, these are either through trade channels or to institutional customers, where we do not have that kind of homologat ion process like an auto OEM runs. So, therefore, the time -to-market and the time for revenue will be quicker than auto OEM.
Vijay Pandey: And for cylindrical cell, it will be around three months.
Avik Roy: It depends on the customer because it depends on how much mileage the vehicle will run or they want to run. So, but yes, around that ballpark, I think, Pravin ?
Pravin Saraf: Two to three months. Yes. But of course, depends on customer again. So, we are also discussing with them, but it depends on that. Yes.
Vijay Pandey: Okay.
Moderator: Thank you. We will take the next question from the line of Aditya Jhawar from Investec Capital Services. Please go ahead.
Aditya Jhawar: Yes, thank you for the opportunity. Sir, I think this commodity question is quite important in the current context. If you can refresh, you know, that if you look at our bill of material, what are the ballpark big commodity , in terms of percentage exposure that we have, the top three -four commodities, whether it is lead, polymer, how much percentage of COGS it represents and for

specific commodity, if you can talk about that, what is the near -term outlook that you are looking at?

Avik Roy: Okay. So, if you, let's see how much we can give you. I will give you both quarter -on-quarter and year-on-year rises.
Aditya Jhawar: I would recommend that for FY26 on a full year basis what is the breakup of our bill of material in terms of exposure to key big commodities?
Avik Roy: I think Aditya, perhaps this is a little not in public domain. All I can say is that our key components is lead, acid and plastic are mainly the bill of material items. This covers about 95 %-96%. Lead as an index has been softer year-on-year. But, in India, lead is sold, even recycled l

eads and pure leads are sold on import parity prices. So, because the currency has softened by about 10%, the reduction in LME has been over offsetted by the Rupee depreciation. Okay, so we did not get a net -net ben efit on lead also. So, regarding plastics, because we use polypropylene containers, this was directly hit in Q4. Q1 to Q3 was pretty stable. But Q4, we got a hit because of shortage of crude, which is coming to India. Sulfuric acid, this for the first time, we used to buy sulfuric acid for Rs. 15, as I said, one year back. Sulfur is a byproduct of the petrochemical refinery plants, right? And since the petrochemical refiners ' plants are operating at a lower capacity utilization, because of crude shortage, even the generation of sulfur has also come down. And therefore, just to run the business, sulfuric acid costs have gone to Rs. 75 April exit, compared to Rs. 15 in the beginning of the year.
Aditya Jhawar: What I am trying to understand, clearly, I think lead prices not going up is also a better situation for us in R s. terms. And lead might represent more than 50 %-60% of cost, and even the polymer prices would be the remaining 20 %-30%. So, what I am trying to understand that yes, sulfur has seen a big spike, but is it that it is less than 10% of BOM?
Avik Roy: See, I mean, we have to go into details. There are other alloys, which also come in play based on seasonal demand. Are you looking for kind of a picture of Q1 or last Quarter 4 ?
Aditya Jhawar: No, so I mean, the outlook, if you look at on a blended basis, depending upon how much exposure we have, because now the street is worried about the commodity inflation. Now looking and our exposure is significantly different to commodities as compared to OEM s. So, we are just trying to understand from FY27 perspective, what should we think about commodity inflation and how much price increase would be required to offset that.
Avik Roy: So, the short answer is this, that this year, at least quarter -on-quarter , we will pass -through the non-lead price increases to the customers. The lead will be governed by the formulas that we have with at least the OEMs and industrial customers. But otherwise, everything we will try to take price correction because at this moment, we believe that our sourcing efficiency is at its best. So, we have been successful in passing on in both, as I said, January, February, March, April, four months conse cutively, we could be able to take price corrections from the market. If I do not know the situation of Rupee, this Rupee to Dollar is a kind of uncertainty. But if it stays at this level, then probably even if LME goes down, we will not get benefit in Rupee terms. Just for your information, Aditya, that till March, though LME was softer, but in April, LME has

again shot up to 1950. So, it is really volatile. We are navigating through calibrated price increase from the market.
Aditya Jhawar: Sure. Thank you, sir.
Moderator: Thank you. We will take the next question from the line of Sriram from MLP. Please go ahead.
Sriram: So, if you can just help us understand that within the acid consumption, is it only sulfuric acid or other type of acid also that we use?
Avik Roy: No, it's sulfuric acid.
Sriram: Okay. That's it. That's the only question I had. Thank you so much.
Moderator: Thank you. We will take the next question from the line of Viren Sameer Deshpande from Alphapeak Investments . Please go ahead.
Viren Sameer Deshpande: Hello, sir. Good afternoon.
Avik Roy: Good afternoon.
Viren Sameer Deshpande: The results have been quite decent in the current scenario and our dominance in the market share is really helping us. We are getting good results. And another important thing, to become the first Company in India to make this lithium -ion batteries will be a good feather in the cap. But as y

ou rightly said, is the government likely to be significantly supportive to the companies with these benefits or incentives like PLI or any other incentives? Because otherwise, the imports are going to hurt with the Rupee depreciation. So, what is the status on that?
Avik Roy: So, imports are going to be expensive. That's what you meant?
Viren Sameer Deshpande: Yes.
Avik Roy: So, precisely, there are two parts of it. One is, of course, government has to develop this industry and give a value for or give attention to a Make in India cell. And believe me, when I say manufacturing, it's electrode manufacturing. It's not importing complete electrodes and just assembling it as a cell and then supplying it. So, if government wants us to really integrate backward in manufacturing our own electrodes, sourcing our own anode and cathode material from within the country, they have to suppo rt the industry. And that will happen eventually. Otherwise, the investments will not come, not only in the cell manufacturing, but also in the supply chain. There is a second angle to it. The second angle is the comfort of the OEMs. Now, how long do you think a large OEM like, let's say, the top two name s, Maruti, Tatas, Mahindras of this world will depend on completely imported batteries from China for their vehicles? The OEM runs on one day inventory. That is how their supply chain works. And here, they are investing in three months inventory of imported material. So, their operational sequence, their

total supply chain management also improves for make in India sourcing. So, I am sure there are scales. Once there are players like us, even the OEMs would also like to have localized supplies. We have seen those trends already in some cases, because of course, they want to have at least two sources. Even if not, even if they don't want to disrupt their import, they would like to have an alternative source, because otherwise it is too expensive and too volatile, too big an exposure to depend on imported complete batteries from China on the long term. So, yes, we are looking forward that both the government as well as the au to OEMs will be driving this market, which will encourage more players to come in.
Viren Sameer Deshpande: I think definitely with the Atman irbhar policies of the government and the current situation in the Gulf, which is always exposing the country to these huge risks, because if there are no imports possible, then the things really can come to a standstill and hit India in a big way. So, definitel y the government support will come. And I hope with the big investments we have made around Rs. 5,000 crores to date. And I think in this year also, we are likely to invest about Rs. 1,000 cror es, you mentioned?
Avik Roy: Rs. 1,400 crores .
Viren Sameer Deshpande: Okay. So, it will be about Rs. 6,000 crores . About Rs. 6,500-odd crores will be the total investment. And when we sold our life insurance business, we got approximately the similar amount, I think, in terms of the shares of HDFC Life.
Avik Roy: Yes, roughly that amount.
Viren Sameer Deshpande: Yes. So, we are currently in the investments in the balance sheet. Now, non -current investments have fallen by about Rs. 850 crores. So, have you sold some part of the shares of HDFC Life during this?
Avik Roy: No, I will hand over to Manoj Agarwal – our CFO, to answer this question.
Manoj Kumar Agarwal: So, it is mainly because of the mark -to-mark et of valuation of the shares, we have not sold any shares as of date.
Viren Sameer Deshpande: Okay. So, the mark -to-market valuation has come down by about Rs. 850-odd crores?
Manoj Kumar Agarwal: Yes, as of 31st March 2026 .
Viren Sameer Deshpande: Yes. And that the second effect has been given to the reserves or what?
Manoj Kumar Agarwal: It went through OCI, right . We route through OCI.

So, it does not have impact on the P&L account.
Moderator: So, before we interrupt, I would request you to please re -join the queue again for more questions.

Viren Sameer Deshpande: Okay. Thank you and all the best. Thank you.
Moderator: Thank you. We will take the next question from the line of Suraj Chheda from Bandhan AMC. Please go ahead.
Suraj Chheda: Yes. So, a couple of questions from my side. First, on the core lead -acid battery business, in the earlier comments, during the call, you mentioned that you are expecting mid -to-high single -digit growth to early double -digit growth. This you mentioned with respect to FY27. Do you think over the next three to four years, that should be the medium -term CAGR for your business?
Avik Roy: I think even in the medium -term CAGR, it should be. If you see, the five -year CAGR was 11%. And I don't see any reason for the next five -year CAGR to be different from that, (+/-1%) maybe. Because clearly, if you look at the OEM business today, which is for at least consecutive two

quarters, as well as Q1 outlook of this year, the automotive OEM business is growing by, you know, (+20%) to (+ 25%). These are all going to get reflected in aftermarket after two years.
Suraj Chheda: Understood. Okay. And what is the UPS revenue mix for you right now in FY26?
Avik Roy: The UPS revenue would be, just a minute, it would be more than INR 2000 crores, around INR 2300 crores.
Suraj Chheda: Okay. And Telecom you mentioned is maybe around 2 %-3% of your revenues right now.
Avik Roy: Yes.
Suraj Chheda: And second question was with respect to your first Phase -I of, you know, 6 gigawatts capacity for lithium -ion cell manufacturing. How do you see this capacity being allocated between, say, automotives and maybe stationary applications or Telecom or BESS segment? Any plan you are having over the next one, two years?
Avik Roy: I will request Pravin to take this.
Pravin Saraf: Yes, sure. Thank you. So, the 6 gigawatts , we have two chemistries. I think it's a good thing that because of two chemistries, we can be able to cater the various applications. So, we have cylindrical and prismatic. So, our capacity is divided cylindrical in 3 and prismatic in 3 gigawatt s. So, as you know, cylindrical today's application is two -wheeler s. And in prismatic, we have applications like four-wheelers , buses and stationary like Telecom sector as well as BESS. So, this is how today the capacity is allocated.
Suraj Chheda: Okay. Any breakup of these 6 gigawatts between the two chemistr ies ballpark numbers?
Pravin Saraf: So, three - three. So, 3 for cylindrical and 3 for prismatic.

Suraj Chheda: Okay. Okay. And for these 3 gigawatts of prismatic one, this will also cover your tie -up with the Hyundai Kia which you announced, right?
Avik Roy: No. That's a little different. This will not have an impact on the Hyundai.
Suraj Chheda: Okay. So, that will be part of your…
Moderator: Sorry to interrupt in between, Suraj. I would request you to please rejoin the queue again.
Suraj Chheda: Sure, sure. It's a follow -up on that. Just last question on this.
Moderator: Thank you. We will take the next question from the line of Karan Kokne from Tata AIA Life Insurance . Please go ahead.
Karan Kokane: Yes, sir. Thanks for the opportunity. So, I just had a clarificatory question. So, if I heard right, you said that sulfuric acid prices have gone up from Rs. 15 per kg to Rs. 75 per kg.
Avik Roy: It's a sulfur price, not sulfuric acid. Sulfur price.
Karan Kokane: Okay. Sorry. So, sulfur prices have gone up from Rs. 15 per kg to Rs. 75 per kg. You said this has happened since the start of the year. So, is this since Jan uary or this is since April?
Avik Roy: No, t his is for one year. Gradual increa

se. Gradual increase, quarter -on-quarter . The baseline is Q1 of 2025. Four quarters.
Karan Kokane: For the last one year?
Avik Roy: Trailing four quarters. Yes.
Karan Kokane: Okay. And on a sequential basis, what will be the jump?
Avik Roy: Sequential basis in Q4, sulfur was (+40%) and quarter -on-quarter , sequential basis will be about 20%. April exit is higher than March exit by a lot.
Karan Kokane: Yes. Okay. And this increase in price, does it get reflected in the same quarter or will it get reflected in the upcoming quarter?
Avik Roy: More or less same quarter. That's why, if you recall, I just said that from 1st of April itself, we took the price hike. And because we did not wait, normally acid and others impact immediately. So, that's why first we announced on 1st of April. Actually, we took on 20th of March one round. If you check your channels, you will know. The 20th of March we announced and then 1st of April back -to-back after 10 days we announced. And now we again, if ongoing in May and June, you will also hear some ann ouncements.

Karan Kokane: Okay. Got it. That's it from me. Thanks a lot. Yes. Thank you.
Moderator: Thank you. We will take the next question from the line of Deepak Ajmera from IG E India. Please go ahead.
Deepak Ajmera: Yes. Hi. Thanks for the opportunity. We would like to understand your thought process that you have invested Rs. 5,000 crores, will be investing another Rs. 1,000 crores and what sort of return metrics now looking at the raw material price and the demand and the availability. What's your internal projection on the return metrics and the margin metrics?
Avik Roy: So, sir, at the moment, we are completely focused on ramping up the production, as Pravin has mentioned. We do not know what will be the level of commodity prices when we commercialize

our production. Today, lithium has again gone up by double digit in the last couple of months due to various supply -demand constraints. So, it's not proper for me to do a math based on assumptions on commodity prices because all those things will depend on that. What is good is that the customer has realized that li thium is also volatile. Today, last one year, lithium was dropping because there was high overcapacity in China. Today, if you look at last two, three months, the situation is reversed because of this West Asia crisis, because of crude shortages, the production of electric vehicle and electric vehicle batteries in China has shot up. Everybody has loaded their factori es because primary fossil fuel is in crisis at this moment. So, this has led into a demand -side boom locally and therefore, the prices are goin g up. So, people also understand that lithium prices are not exactly predictable because this type of volatility will happen going forward. And then, China suddenly, the government has come up with a policy that you can't bleed anymore. The EV manufacturer canno t make losses anymore. They have to be profitable. So, they are forced to raise prices. That's why Pravin told you that they have withdrawn lot of VAT benefits and export benefits. So, this is the environment of lithium. So, I have a feeling that we will have a much better case than last year when we start production because prices will stabilize, number one. Number two is the prices are also indexed to a great extent so that the risk is also a pass -through like lead. And third is, as I said, the OEMs will definitely take a deeper look of developing local supply chain for cells and packs. So, I think with this, we will have a much stronger case. But the time to announce that has not come. Let us ramp up our plant. Let us operate at 85% utilization with 90% yield. And that will be the time when I will come back and reply to this question.

Deepak Ajmera: Noted. Thank you. Thanks for your observation.

Avik Roy: Please

have in mind, we are the first one in the country to manufacture cells with this kind of scale.

Deepak Ajmera: Yes. That's a really great comment and commendable . The second question is, while likely with Ministry you are discussing on the policy framework on the cell-manufacturing localization, what is their feedback? What they are exactly waiting for, for any policy measures?

Avik Roy: It's like a kind of a chicken and egg. You also have to have sufficient capacity locally to announce a policy for Make in India. So, I would like to believe unless there is about 20 -25 gigawatt of capacity in India, or let's say 20 gigawatt s, that is a minimum base where we will get a lot of support from the government. In fact, today, the whole EV market in automotive, the EV market in India is also 20 gigawatt hour. So, just to have that in mind, a scale. So, once we have 2 -3 players coming up w ith 15 -20 gigawatt hour, I think we will have substantial scale for the government to intervene and take some policy changes.

Deepak Ajmera: Noted, sir. Thank you all the best.

Avik Roy: Thank you very much.

Moderator: Thank you. We will take the next question from the line of Sagar Parekh from Renaissance Investment. Please go ahead.

Sagar Parekh: So just, I was confused actually, you said 6 gigawatt s, 3 is in NMC and 3 is in LFP cylindrical. NMC cylindrical, 3 in LFP this thing and then you said Hyundai is separate. So, what exactly do you mean by that?

Avik Roy: So, with Hyundai, we have a separate contract, which where there is a co -investment. So, we are delinking it with our own internal investment. So, that will be an incremental capacity over 6 gigawatt s when we commission that.

Sagar Parekh: So that is not a part of that 6. So, when will that be commissioned? And is that a part of R s. 4,800 crores that we have invested ?

Avik Roy: No. So, that will make a disclosure when the time comes.

Sagar Parekh: Yes. But it's not a part of FY27.

Avik Roy: I am not commenting on that. This is still not in public. Could be, but I am not commenting on this because this is a material disclosure.

Sagar Parekh: Noted.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question for today. And with that concludes the question -and-answer session. I now hand the conference back to the Management for closing comments.

Avik Roy: So, thank you, everybody, for the extremely engaging questions. We have been pretty confident of the quarter coming by because last consecutive two quarters w ere pretty satisfying, particularly after a weak Quarter 2. I think we have been able to deliver a growth which normally is in line with the expectation , both in top line and bottom line. And our April having gone, I think we also have a similar view on Quarter 1 of this year as well. I hope we have been able to answer all your questions satisfactorily. If you have any further questions, I mean, we would be very happy to be of assistance. Kindly reach out to us. Thank you. Over to the moderator.

Moderator: Thank you, members of the management. On behalf of Investec Capital Services, that concludes this conference. Thank you all for joining with us today. And you may now disconnect your lines.

This transcript may contain edited or paraphrased statements for clarity. Forward -looking statements included here are subject to risks and uncertainties that could cause actual results to differ materially.